



# KOSPI Market Listing Regulation

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## **PART I. GENERAL PROVISIONS**

### **CHAPTER I. GENERAL PROVISIONS**

#### **§1. Purpose**

The purpose of this Regulation is to prescribe the matters necessary for the Korea Exchange (hereinafter referred to as “the Exchange”) to review the securities to be listed on the KOSPI Market and manage the listed corporations and listed securities, pursuant to Article 390 of the Financial Investment Services and Capital Markets Act (hereinafter referred to as “the Act”).

#### **§2. Definitions**

(1) The terms used in this Regulation shall be defined as follows: (Amended on June 18, 2014; November 4, 2015; June 8, 2016; March 20, 2019; June 26, 2019; August 28, 2019; August 25, 2021)

1. The term “listing” in this Regulation means, except for the cases specified otherwise in this Regulation, granting of eligibility for securities of a particular company (or an issue) to be traded on the KOSPI Market. In such cases, the types of listings shall be classified into each of the following items:

(a) Initial listing: Case where a security of an issue that has not been listed on the KOSPI Market is listed for the first time. Provided that, the listing after merger of a special purpose acquisition company pursuant to item (d)(ii) shall be excluded;

(b) Re-listing: Case where, as stipulated in [§38] or [§39], a common stock or a debt security that was delisted from the KOSPI Market is listed again or a common stock of a corporation that was established through spin-off, merger after spin-off or merger of a common-stock-listed corporation is listed;

(c) Backdoor listing: Case where, as stipulated in [§32] or [§54], the management right of a KOSPI market-listed corporation is changed and there is an effect of listing equity securities of an unlisted corporation, with respect to a merger, all-inclusive stock swap, acquisition of business or assets, investment in kind, etc.;

(d) Listing after merger: Case where a special purpose acquisition company lists stocks subsequent to a merger with an unlisted corporation. In such case, the types of listing after merger shall be as follows:

(i) Listing of stocks issued newly by the special purpose acquisition company in the case where the relevant special purpose acquisition company continues to operate after the merger; and

(ii) Listing of stocks issued by the unlisted corporation in the case where the relevant unlisted corporation continues to operate after the merger.

(e) Supplementary listing: Case where a listed corporation newly issues and lists the securities of an issue that is identical to that of the securities that are already listed, as a result of the increase in the capital stock, amount of corporate bonds or trust principal, etc.; and

(f) Listing change: Case of a listing after changing the class, name of issue, par value, quantity, etc. of a listed security. Provided that any listing that falls under supplementary listing shall be excluded.

2. The term “listing applicant” means a person who applies for preliminary listing review or listing review in order to list securities. In such cases, the types of listing applicants shall be classified as follows:

- (a) Applicant for initial listing;
- (b) Applicant for re-listing;
- (c) Applicant for backdoor listing;
- (d) Applicant for listing after merger;
- (e) Applicant for supplementary listing; and
- (f) Applicant for listing change

3. The term “listed corporation” refers to a corporation of which securities are listed on the KOSPI Market.

4. The term “KOSPI market-listed corporation” refers to a corporation of which stock certificates or depository receipts (DRs) of foreign stocks (referring to DRs related to foreign common stocks; the same shall apply hereinafter) are listed on the KOSPI Market.

5. The term “KOSDAQ-listed corporation” refers to a corporation of which stock certificates or DRs of foreign stocks are listed on the KOSDAQ Market.

6. The term “unlisted corporation” refers to, unless otherwise stipulated in this Regulation, a corporation that is not a KOSPI market-listed corporation.

7. The term “target company for backdoor listing” refers to an unlisted corporation (including a group or an association or other issuers of which equity securities are not listed on the KOSPI Market) that is subject to backdoor listing.

8. The term “stock certificate” refers to, as a certificate representing stock ownership, each of the followings:

(a) Common stock certificates and different class of stock certificates that are issued by a joint stock corporation incorporated pursuant to the Commercial Act; and

(b) Foreign common stock certificates and different class foreign stock certificates that are issued, according to the laws and regulations of the home country, by a foreign company (referring to a corporation incorporated pursuant to the laws and regulations of a foreign country; the same shall apply hereinafter.) that is equivalent to a joint stock corporation incorporated pursuant to the Commercial Act

9. The term “stocks, etc.” refers to the securities that fall under any of the following items:

(a) Stocks;

(b) Subscription rights;

(c) Convertible bonds;

(d) Bonds with warrant;

(e) Corporate bonds that are exchangeable or redeemable with the securities under items (a) through (d);

(f) Contingent capital securities under subparagraph 5-3 of [§85];

(g) Those that have been issued by a foreign company and fall under the securities under items (b) through (f); and

(h) DRs of foreign stocks

10. The term “foreign stocks, etc.” refer to the foreign common stocks and DRs of foreign stocks.

11. The term “the largest shareholder, etc.” means a person who falls within either of the following categories:

(a) The largest shareholder under Subparagraph 6(a) of Article 2 of the Act on Corporate Governance of Financial Companies (hereinafter referred to as “the largest shareholder”). In such cases, “financial companies” shall be construed as “corporations” (the same hereinafter in this Article); and

(b) A person who has a special relationship with the largest shareholder pursuant to each subparagraph of Article 3(1) of the Enforcement Decree of the Act on Corporate Governance of Financial Companies (hereinafter referred to as “specially related person”).

12. The term “general shareholders” refers to the shareholders of a relevant corporation excluding the largest shareholder, etc. and the major shareholders under Subparagraph 6(b) of Article 2 of the Act on Corporate Governance of

## Financial Companies.

12-2. The term “electronic registration” means entering information on the creation, modification, or lapse of a right to securities in the electronic register, according to an electronic method, pursuant to the Act on Electronic Registration of Stocks, Bonds, Etc. (hereinafter referred to as “the Electronic Securities Act”).

13. The term “mandatory holding” means electronically registering stocks, etc. owned by persons subject to mandatory holding under this Regulation for a certain period of time with the Korea Securities Depository (hereinafter referred to as the “KSD”), so that the transfer between accounts and the establishment and deletion of a right of pledge (hereinafter referred to as “disposal, etc.”) are restricted. Provided that, in the case of initial listing of foreign stocks, when deemed necessary by the Exchange, an agreement on the sale restriction concluded with a managing underwriter may be an alternative to mandatory holding.

14. The term “home country” means a country where a foreign corporation, etc. under Article 9(16) of the Act (hereinafter referred to as “foreign corporations, etc.”) has been incorporated. Provided that, in cases where it is deemed inappropriate to designate the country concerned as the home country, the Exchange shall determine the home country by taking into account the actual address of the foreign corporation, etc.

15. The term “equity capital” refers to an amount that is calculated by subtracting the total liabilities from the total assets as of the end of the latest business year. Provided that, in cases where the capital stock and capital surplus have changed after the end of the latest business year, the equity capital shall be determined by factoring in the details of such changes.

16. The term “return on equity” refers to the proportion that the net income of the latest business year takes up in the equity capital as at the end of the latest business year. In such cases, the details of changes in the capital stock and capital surplus which have occurred after the end of the latest business year shall not be factored in at the time of calculating the equity capital.

17. The term “outside director” means an outside director under Article 542-8 of the Commercial Act.

18. The term “managing underwriter” refers to a financial investment company which determines the terms and conditions of underwriting after directly receiving a securities underwriting request from a listing applicant.

19. The term “paper company” refers to an unlisted corporation that meets all of the requirements specified in the Enforcement Rules of this Regulation (hereinafter referred to as “the Enforcement Rules”).

20. The term “holding company” refers to a company which falls within either of the following categories:

(a) A holding company (hereinafter referred to as a “general holding company”) under Subparagraph 7 of Article 2 of the Act on Monopoly Regulation and Fair Trade (hereinafter referred to as the “Fair Trade Act”); (Amended on July 9, 2025)

(b) A financial holding company under Paragraph (1)1 of Article 2 of the Financial Holding Companies Act (hereinafter referred to as the “financial holding company”); and

(c) A domestic company of which core business (referring to a case where the aggregate value of stocks of subsidiaries held is at least 50/100 of the total asset value; the same shall apply hereinafter.) is to control the business activities of a foreign company through stock ownership and that meets all the requirements specified in the Enforcement Rules (hereinafter referred to as a “holding company controlling a foreign company”)

21. The term “foreign holding company” means a foreign company, the primary business of which is to control the business activities of other companies through stock ownership, and shall be classified as follows:

(a) Foreign holding companies in recognized locations:

Any foreign holding company established at the location of a recognized overseas securities market (referring to a recognized overseas securities market under [§13(4)]); and

(b) Foreign holding companies outside recognized locations:

Any foreign holding company that is not the foreign holding company in a recognized location.

22. The term “subsidiary” means a corporation falling under any of the following items:

(a) In the case of a general holding company, a corporation under Subparagraph 8 of Article 2 of the Fair Trade Act; (Amended on July 9, 2025)

(b) In the case of a financial holding company, a corporation under Article 2(1)2 of the Financial Holding Companies Act; and

(c) In the case of a holding company controlling a foreign company and a foreign holding company, a company subject to the consolidation in

accordance with the accounting principles adopted by the holding company concerned.

23. The term “major subsidiaries” means a subsidiary, of which the amount derived by adding the book values of subsidiaries written on the statement of financial position (the statement of financial position at the time of incorporation or conversion, in case where less than one (1) year has elapsed since the incorporation of or the conversion into a holding company) of a holding company as of the end of the latest business year reaches 75/100 of the book values of the subsidiaries aggregated in descending order from the highest to the lowest .

24. The term “subsidiary” means a subsidiary prescribed in Article 3(1) of the Enforcement Decree of the Act on External Audit of Stock Companies, Etc. (hereinafter referred to as the “Enforcement Decree of External Audit Act”).

25. The term “special purpose acquisition company” means a special purpose acquisition company specified in the part other than each Item of Article 6(4)14 of the Enforcement Decree of the Act.

26. The term “overseas stock market” refers to a market located abroad which is similar to the KOSPI Market or the KOSDAQ Market established by the Exchange.

27. The term “auditor” means an accounting firm that is capable of conducting an accounting audit in accordance with domestic or foreign laws and regulations.

28. The term “financial statement” shall refer to the individual and consolidated financial statements that have been prepared pursuant to the accounting standards determined by domestic laws and regulations (hereinafter referred to as the “domestic accounting standards”) or the accounting standards generally accepted in foreign countries (hereinafter referred to as the “foreign accounting standards”).

29. The term “business days” means the days excluding holidays, Saturday, and Labor Day.

(2) The terms, other than those specified in paragraph (1), used in this Regulation shall have the same meanings given to them in the related Acts and regulations as well as in the regulations governing the business of the Exchange.

### **§3. Application Standards**

(1) For domestic corporations, unless otherwise provided in this Regulation, it shall apply based on the individual financial statements in the audit reports prepared by the auditors, but it shall apply based on the financial statements, the auditor’s audit

opinion on which on the audit reports is ‘unqualified’ (including ‘qualified’ opinion due to the uncertainty about the ability to exist as a going concern). Provided that, in cases where, as a result of the audit taken by the auditor, a qualified opinion has been expressed following the confirmation on noncompliance with the domestic accounting standards, it shall apply based on the financial details adjusted to reflect the matters on which the qualified opinion was expressed. (Amended on March 20, 2019)

(2) For foreign corporations, etc., unless otherwise provided in this Regulation, it shall apply based on the consolidated financial statements in the audit reports prepared by the auditors, but it shall be based on the financial statements, the audit opinion on which on the audit reports is ‘unqualified’ (including ‘qualified’ opinion due to the uncertainty about the ability to exist as a going concern). Provided that, in cases where, as a result of the audit taken by the auditor, an opinion equivalent to ‘qualified’ has been expressed following the confirmation on noncompliance with the foreign accounting standards, it shall apply based on the financial details adjusted to reflect the matters on which the qualified opinion was expressed. (Amended on March 20, 2019)

(3) In cases where the largest shareholder of an applicant for listing is a paper company, each of the following standards in addition to the mandatory holding standards stipulated in this Regulation shall apply. (Amended on August 28, 2019)

1. With respect to persons subject to mandatory holding, the largest shareholder, etc. of the applicant for listing shall include the largest shareholder, etc. of the paper company; and

2. With respect to securities subject to mandatory holding, the stocks, etc. owned by the largest shareholder, etc. of the applicant for listing shall include the securities under each of the following items, which are held by the largest shareholder, etc. of the paper company:

(a) Stocks, etc. issued by the paper company; and

(b) Securities issued by a third party on the basis of stocks, etc. of the paper company.

## **CHAPTER II. GENERAL OPERATION OF LISTING OF SECURITIES**

### **§4. Listing by Application**

(1) The securities shall be listed following the application by an applicant for listing

(2) The Exchange, in the case of falling under any of the following subparagraphs,

may turn down the application for listing:

1. Case where the application for listing and supplementary documents do not conform to the format determined by this Regulation and the Exchange separately;
2. Case where material matters on investor protection are falsely stated in or omitted from the application for listing or supplementary documents; and
3. Case where it is deemed that the application for listing of securities is inappropriate for the sake of public interest, investor protection and market management.

(3) The Exchange shall conduct the preliminary listing review or the listing review following the applicant's application as noted in paragraph (1). In such cases, the matters necessary for the relevant procedures, methods, application of review criteria, etc. may be stipulated in the Enforcement Rules. [November 4, 2015]

#### **§5. Restrictions on Listing**

(1) In cases where the application for preliminary listing review that has been submitted by the companies falling under each of the following subparagraphs is turned down by the Exchange due to noncompliance with the accounting standards or the result of preliminary listing review is invalidated, such companies shall be barred from resubmitting the application for preliminary listing review of the securities concerned within the period of three (3) years from the date of such dismissal or invalidation:

1. An applicant for initial listing (excluding the applicant for initial listing of different class of stocks, different class of foreign stocks and equity-linked warrants)
2. An applicant for re-listing
3. A corporation targeted for backdoor listing
4. An unlisted corporation that is a counterparty in the listing after merger

(2) The noncompliance with accounting standards for which the listing is restricted pursuant to paragraph (1) shall refer to a case falling under any of the following subparagraphs concerning the financial documents specified in the Enforcement Rules. In such cases, if the corporation in each subparagraph of paragraph (1) is a foreign company, it shall be based on the foreign accounting standards and the regulatory measures taken by the home country (referring to the measures equivalent to the ones noted in subparagraphs 1 and 2). (Amended on June 18, 2014; March 20, 2019; June 26, 2019)



1. Where, as a result of the supervision of financial statements under [§23] of the Regulations on External Audit and Accounting, Etc. (hereinafter referred to as “supervision of financial statements”), the Securities and Futures Commission files or notifies a corporation to the prosecution on charges of noncompliance with the domestic accounting standards; and

2. Where, as a result of the supervision of financial statements, the Securities and Futures Commission has taken measures against a corporation such as the restriction on issuance of securities or the levy of penalties (including the penalty levied by the Financial Services Commission; the same hereinafter.) and such a corporation fails to meet the preliminary listing review requirements in terms of the business size and business performance after adjusting the financial documents by taking into account the results of measures taken against noncompliance.

(3) Paragraph (1) shall apply *mutatis mutandis* to the case where a person who has applied for preliminary listing review (hereinafter referred to as an “applicant for preliminary listing review”) voluntarily withdraws the application for preliminary listing review and such an event falls under paragraph (2). In such cases, the “date of decision on the dismissal or invalidation concerned” shall be the “date of confirmation on the fact concerned.”

(4) In cases where a restriction on application for preliminary listing review has been imposed pursuant to paragraphs (1) and (3), the Exchange shall notify the applicant for preliminary listing review and the listed corporation of such a fact and the duration of restriction.

## **§6. Prohibition of Partial Listings**

(1) Any applicant for listing shall not be allowed to apply for the listing of a part of the particular securities to be listed.

(2) Notwithstanding paragraph (1), in cases where a corporation that has listed a part of the particular securities on an overseas securities market intends to list the same securities on the KOSPI Market, it shall apply for the listing of the entire quantity of the securities which are not listed on the overseas securities market. In such cases, the Exchange shall apply the listing requirements on the basis of the quantity of securities to be listed on the KOSPI Market.

## **§7. Delisting by Application**

(1) Listed corporations shall be allowed to file the application for delisting with the Exchange by the class of listed securities. Provided that any corporation that has listed the securities noted in each of the following subparagraphs shall not be allowed to apply for delisting:

1. The stocks of a special purpose acquisition company;
2. The securities of Exchange Traded Fund (ETF) and securities of foreign ETF; and
3. The stocks and beneficiary certificates of an investment company for which the requests for redemption are prohibited

(2) Notwithstanding paragraph (1), the application for delisting of Equity-linked Warrants (ELWs) or Exchange Traded Notes (ETNs) shall be allowed to be filed only in cases where they fall under any of the following subparagraphs: (Amended on August 27, 2014; July 22, 2020)

1. ELWs: The issuer or the liquidity provider holds the entire quantity of the listed ELWs; and
2. ETNs: In the case where ETNs fall under any of the followings:
  - (a) The issuer or the liquidity provider holds the entire quantity of the listed ETNs; and
  - (b) In the case where the concerned ETN has been listed for more than one (1) year and the issuer or the liquidity provider holds 95/100 or more of the total number of the ETNs.

(3) In cases where a listed corporation intends to apply for delisting noted in paragraph (1), it shall submit to the Exchange the application for delisting and supplementary documents stipulated in the Enforcement Rules.

(4) The Exchange shall determine delisting after undergoing the review conducted by the KOSPI Market Listing and Disclosure Committee (hereinafter referred to as the "Listing and Disclosure Committee") pursuant to [§164]. Provided that, for the cases which fall under each of the following subparagraphs, the review of the Listing and Disclosure Committee may be bypassed. (Amended on August 27, 2014):

1. Case where a KOSPI market-listed corporation has applied for delisting in order to become a KOSDAQ-listed corporation;
2. Case where a corporation has applied for the delisting of ELWs or ETNs pursuant to paragraph (2);
3. Case where an application for the delisting of debt securities and foreign debt securities has been filed; and

4. Other cases where the Exchange has deemed that the review of the Listing and Disclosure Committee is not needed from the perspective of investor protection

(5) The Listing and Disclosure Committee shall review an application for delisting in consideration of whether the matters for investor protection stipulated in the Enforcement Rules have been implemented.

#### **§8. Delisting without Application for Delisting**

In the cases where listed corporations or listed securities fall under the reasons subject to delisting noted in this Regulation, the Exchange may delist such securities even if such listed corporations have not applied for delisting.

#### **§9. Trading before Delisting**

(1) The Exchange, in the case of delisting particular securities, may permit the trading of such securities (hereinafter referred to as the “trading before delisting”) by determining a certain period for trading thereof.

(2) The period permitted for trading before delisting noted in paragraph (1) shall be seven (7) days (based on trading days) unless determined otherwise by the Exchange.

#### **§10. Documents for Listing**

(1) The documents submitted by an applicant for listing pursuant to this Regulation shall not be returned even if listing has been turned down or the application for listing has been withdrawn.

(2) In cases where an applicant for listing or a listed corporation is a foreign corporation, etc., the documents submitted to the Exchange by the foreign corporation, etc. concerned or its listing agent shall be prepared in Korean. Provided that the documents concerned may be prepared in English when the Exchange deems it necessary, and, in such cases, the summary version prepared in Korean shall be attached.

(3) From among the details stated in the documents under paragraph (2), the matters concerning amounts shall be converted based on the foreign exchange rate stipulated in the Enforcement Rules and marked in Korean currency.

#### **§11. Accounting Standards**

(1) The financial statement attached to the application for listing shall have been prepared in accordance with the domestic accounting standards.

(2) Notwithstanding paragraph (1), in cases where the financial statements that are

attached to a listing application are those of a foreign company, such statements shall have been prepared in accordance with any of the following accounting standards. Provided that an exception may be made in cases where a foreign company which is a subsidiary or a subsidiary of the listing applicant, pursuant to the laws and regulations of its home country, has adopted the international accounting standards other than those specified in each of followings, and submits the matters set forth in the Enforcement Rules. (Amended on June 8, 2016; March 20, 2019)

1. The international accounting standards accepted by Korea (hereinafter referred to as the “K-IFRS”) which are stipulated in Article 5(1)1 of the Act on External Audit of Stock Companies, Etc. (hereinafter referred to as the “External Audit Act”);

2. The international accounting standards established by the International Accounting Standards Board (hereinafter referred to as the “International Accounting Standards”); and

3. The accounting principles that are generally accepted in the United States (hereinafter referred to as the “US GAAP”)

(3) Any corporation that has listed foreign stocks, etc. (hereinafter referred to as “foreign stocks, etc.-listed corporation”) shall not change the accounting standards [limited to the accounting standards noted in any of the subparagraphs under paragraph (2)] adopted at the time of submitting the application for preliminary listing review for the purpose of initial listing into other types of accounting standards after listing. Provided that, as a change in the accounting standards noted in each subparagraph of paragraph (2), if the Exchange deems that there are unavoidable reasons such as the change in laws and regulations of foreign countries, the accounting standards may be changed.

## **§12. Appointment of Listing Sponsor**

(1) An applicant for listing falling under each of the following subparagraphs shall appoint a listing sponsor. Provided that, if the applicant for listing is a public corporation, etc. under subparagraph 9 of [§18] or in other cases the Exchange deems that the appointment of a listing sponsor is not needed, the applicant for listing may not appoint a listing sponsor. [June 18, 2014] (Amended on August 25, 2021)

1. Initial listing, backdoor listing, re-listing, and listing after merger of common stocks;

2. Initial listing and backdoor listing of foreign stocks, etc.;

3. Initial listing of the stocks of a real estate investment trust; and

4. Other cases where it is deemed necessary to appoint a listing sponsor for the sake of public interest and investor protection and thus determined by the Enforcement Rules

(2) Each listing sponsor shall undertake the following tasks: (Amended on June 18, 2014; August 28, 2019)

1. Matters relating to preparation and submission of the documents such as application for preliminary listing review and supplementary documents that are submitted to the Exchange for listing. In such cases, the documents that are submitted to the Exchange shall meet the requirements set forth in the Enforcement Rules;

2. Matters relating to fulfillment of stock distribution requirements; and

3. Matters relating to the mandatory holding under this Regulation

(3) Each listing sponsor shall be a financial investment company that obtained authorization for the investment trading business (referring to the business that includes the underwriting business) as well as the investment brokerage business targeting securities. In such cases, with regard to the qualification of a listing sponsor, Subparagraph 7 of [§4-9] of the Regulations on the Financial Investment Business shall apply *mutatis mutandis*. (Amended on June 18, 2014)

(4) Notwithstanding paragraphs (1) through (3), if a managing underwriter has been appointed, the managing underwriter shall become a listing sponsor. (Amended on June 18, 2014)

### **§13. Obligations of Listing Sponsor**

(1) Each listing sponsor shall faithfully examine the financial conditions, business activities, corporate governance, and internal control system of the applicants for listing by using the corporate due diligence checklist that is separately determined by the Exchange to evaluate if they meet the listing requirements.

(2) In cases where it is confirmed that the causes or events under [§21] or [§100] have occurred to an applicant for listing, the listing sponsor shall inform the Exchange of such fact without delay.

(3) In cases where an applicant for listing is the corporation intending to conduct initial listing of foreign stocks, etc., a listing sponsor shall also comply with each of the following subparagraphs:

1. As of the date of listing application, it shall have under its possession the foreign stocks, etc., which were purchased at the price of public offering or

secondary distribution, in a quantity equivalent to 5/100 (in case where the purchase amount is higher than KRW 5 billion, it refers to the number of stocks equivalent to KRW 5 billion) of the foreign stocks, etc. publicly offered or sold in Korea after an applicant for listing has submitted the application for preliminary listing review. In such cases, the matters such as the methods of acquiring the stocks concerned and the standard of determining the purchase quantity shall be determined in the Enforcement Rules.

2. It shall not sell the stocks acquired pursuant to subparagraph 1 within six (6) months from the date of listing. Provided that this provision shall not apply to the cases deemed necessary by the Exchange, such as the compliance with legal obligations.

3. At the time of applying for preliminary listing review, it shall submit to the Exchange a confirmation letter stating that it shall comply with the obligations of the sale restriction specified in subparagraph 2.

4. It shall function as a disclosure agent pursuant to [§26] of the KOSPI Market Disclosure Regulation (hereinafter referred to as the “Disclosure Regulation”) for a period of two (2) years after the listing. Provided that this provision shall not apply to the case where an applicant for initial listing has established an office in Korea and a person responsible for disclosure who is capable of communicating in Korean (referring to the employee responsible for disclosure pursuant to [§26] of the Disclosure Regulation; the same shall apply hereinafter.) works fulltime in the office; and

5. It shall prepare a corporate analytical report on the listing applicant and submits the report to the Exchange in accordance with the criteria stipulated in the Enforcement Rules and shall post the analytical report on its Internet homepage for a period of two (2) years after listing. Provided that this provision shall not apply to the case where the financial investment company is prohibited from making public the analytical report or making available the report to a specific person pursuant to the Regulation on the Business Conduct and Services of Financial Investment Company established by the Korea Financial Investment Association.

(4) Notwithstanding paragraph (3), in the case where three (3) years have elapsed since the applicant for initial listing listed its stocks on an overseas securities market specified in the Enforcement Rules (hereinafter referred to as the “recognized overseas securities market”), the provisions of subparagraphs 1 through 3 of paragraphs (3) shall not apply.

#### **§14. Appointment of Listing Agents**

(1) Each applicant for listing of the securities noted in each of the following subparagraphs shall appoint a listing agent who is based or has an address in Korea

and acts as an agent for all the activities pursuant to this Regulation between the corporation concerned and the Exchange:

1. Foreign stocks, etc.;
2. Foreign debt securities; and
3. Securities of foreign ETFs.

(2) The appointment contract for a listing agent under paragraph (1) shall be maintained as long as the relevant securities are listed.

(3) Any applicant for the listing of securities noted in each of the following subparagraphs may appoint a listing agent who acts as an agent for all the activities pursuant to this Regulation between the corporation concerned and the Exchange:

1. Stocks of an investment company;
2. Stocks of a real estate investment trust. Provided that stocks of the self-managed real estate investment trusts referred to in subparagraph 1(a) of Article 2 of the Real Estate Investment Company Act (hereinafter referred to as the “self-managed real estate investment trusts”) shall be excluded; and
3. Stocks of a ship investment company.

(4) The listing agent noted in paragraph (3) shall be limited to a person who falls under the classification in each of the following subparagraphs:

1. For the stocks of an investment company; the general administration companies prescribed in Article 254 of the Act;
2. For the stocks of a real estate investment trust; the companies entrusted with general administrative affairs, etc. prescribed in Article 22-2 of the Real Estate Investment Company Act; and
3. For the stocks of a ship investment company; the ship management companies prescribed in Subparagraph 2 of Article 2 of the Ship Investment Company Act.

(5) In cases where an applicant for listing has appointed the listing agent or a listed corporation has changed the listing agent after listing pursuant to paragraph (1) or paragraph (3), such a fact shall be notified to the Exchange without delay.

#### **§15. Qualifications, Etc. of Auditor of Foreign Corporations, Etc.**

(1) The audit reports and review reports that the applicant for initial listing of foreign stocks, etc. and foreign debt securities submits pursuant to this Regulation shall be the ones prepared by a person who falls under any of following subparagraphs:

1. Any person who is an accounting corporation under Article 23 of the Certified Public Accountant Act, and satisfies all of the qualifications set forth in the Enforcement Rules; or

2. Any person who is a foreign accounting corporation eligible to perform accounting audit pursuant to relevant foreign laws and regulations and satisfies all of the qualifications set forth in the Enforcement Rules.

(2) Notwithstanding paragraph (1), the audit reports and review reports that a foreign holding company outside recognized locations submits shall be the ones prepared by a person who satisfies any of the following qualifications: [June 26, 2019]

1. The member firms shall be distributed in at least one hundred (100) countries and the number of affiliated certified public accounts shall be at least one hundred thousand (100,000); and

2. A contract for audit quality control shall have been concluded with the person under subparagraph 1.

(3) Each foreign stocks, etc.-listed corporation shall appoint the auditor [referring to the person falling under any of the subparagraphs of paragraphs (1) and (2) respectively, who has audited the financial statements of the latest business year which was submitted at the time of filing the application for preliminary listing review] at the time of submitting the application for preliminary listing review as the auditor for the three (3) consecutive business years, including the business year which includes the date of application for preliminary listing review. (Amended on June 26, 2019)

(4) When the contract for appointment of auditor under paragraph (3) is terminated, each foreign stocks, etc.-listed corporation shall appoint the same auditor [referring to a person who falls under any of the subparagraphs of paragraphs (1) and (2) respectively] for each three (3) consecutive business years. In such cases, the contract for appointment of auditor shall be concluded within three (3) months from the start date of each business year. (Amended on June 26, 2019)

(5) Notwithstanding paragraphs (3) and (4), in the case of falling under any of the following subparagraphs, each foreign stocks, etc.-listed corporation may substitute its auditor with a person who falls under any of the subparagraphs of respective of paragraphs (1) and (2): [June 26, 2019]

1. Where the auditor has closed its business or was imposed of a measure of suspension of practice in accordance with the statutes of Korea or foreign countries;



2. Where any ground for dismissal of auditor which falls under Article 19 of the Enforcement Decree of the External Audit Act occurs;

3. Where the ground for delisting under [§48(1)2] occurs; and

4. Where any ground falling under the provisions of subparagraphs 1 through 3, which is recognized by the Exchange, occurs.

(6) In cases where the ground for dismissal of auditor referred to in paragraph (5)2 has occurred, each foreign stocks, etc.-listed corporation shall dismiss the auditor within four (4) months from the end of the business year, and within two (2) months from the dismissal, it shall appoint a person who falls under any of the subparagraphs of respective of paragraphs (1) and (2) as the auditor. [June 26, 2019]

#### **§16. Listing Agreements**

(1) Each applicant for listing shall enter into a listing agreement with the Exchange in order to list securities. Provided that this provision shall not apply to a case which falls under any of the following subparagraphs:

1. Case where a request for listing government debt securities has been made; and

2. Other cases where the application for listing the same class of securities as securities already listed has been submitted

(2) The listing agreement noted in paragraph (1) shall take effect on the listing day of the securities concerned.

(3) The applicant for listing noted in paragraph (1) shall submit the listing agreement specified in the Enforcement Rules to the Exchange.

#### **§17. Listing Specifications**

(1) In cases where a public offering or secondary distribution is not made after the application for preliminary listing review was submitted by an applicant for listing, such an applicant shall prepare the listing specifications specified in the Enforcement Rules and submit the same to the Exchange.

(2) The Exchange shall make public the listing specifications noted in paragraph (1) by using an electronic information delivery mechanism.

## **PART II. STOCK CERTIFICATES**

### **CHAPTER I. GENERAL PROVISIONS**

#### **§18. Definitions**

The terms used in this Part shall have the following meanings. (Amended on June 18, 2014; August 28, 2019)

1. The term "common stocks" refers to the stock certificates of the common stocks (excluding different class of stocks noted in Article 344 of the Commercial Act; the same shall apply hereinafter.) issued by Korean companies and the capital contribution certificates issued by a corporation directly incorporated under the special laws. Provided that the common stocks exclude the stocks of a special purpose acquisition company and collective investment securities.
2. The term "different class of stock certificates" refers to the stock certificates of different types of stocks prescribed in Article 344 of the Commercial Act (hereinafter referred to as "different class of stocks") which have been issued by a Korean company.
3. The term "different class of foreign stocks" refers to the ones, issued by a foreign company pursuant to the laws and regulations of its home country, of which rights are equivalent to those of different class of stocks.
4. The term "stocks of a special purpose acquisition company" refers to the common stocks that have been issued by a special purpose acquisition company.
5. The term "the base market capitalization" means the amounts calculated according to each of the following methods on the basis of the issue to be listed.
  - (a) In the case of a corporation that makes public offering or secondary distribution after an applicant for listing has submitted the application for preliminary listing review, the amount determined by multiplying the issuing price at the time of recent public offering or secondary distribution by the number of stocks to be listed as of the listing application date;
  - (b) In cases where an applicant for listing is a KOSDAQ-listed corporation, the arithmetic average of the aggregate market capitalization of listed stocks of each day established in the KOSDAQ Market for the past ninety (90) days retroactive from the listing application day; and
  - (c) Notwithstanding items (a) and (b), in the case of a corporation that lists DRs of foreign stocks (limited to a case where the underlying foreign common

stocks have been listed on a foreign stock market) or lists its stocks through public offering or secondary distribution in Korea and abroad at the same time or in the case of a corporation of which base market capitalization is difficult to calculate, the amount determined according to the methods stipulated in the Enforcement Rules while taking into consideration the market price in a foreign stock market or the issuing price applicable at the time of public offering or secondary distribution.

6. The term “aggregate market capitalization of listed stocks” refers to the amount calculated by multiplying the number of listed stocks with the closing price.

7. The term “number of floating stocks” refers to the number of stocks determined by subtracting the number of the stocks under each of the following items from the total number of common stocks or DRs of foreign stocks issued (hereinafter referred to as “total number of common stocks”):

(a) Stocks held by the government and the Korea Deposit Insurance Corporation (KDIC) (hereinafter referred to as "the Government, etc.");

(b) Stocks held by foreign investors in a foreign investment company incorporated under the Foreign Investment Promotion Act. Provided that this provision shall be applicable only in cases where the Korean investors hold at least 51/100 of the total common stocks;

(c) Stocks that were issued in accordance with the procedures under the Debtor Rehabilitation and Bankruptcy Act or the Corporate Restructuring Promotion Act and are under mandatory holding by court rulings or restrictions on resale under the Regulations on Issuance, Public Disclosure, Etc. of Securities. Provided that this provision shall be applicable only in cases where documents that certify the mandatory holding have been submitted to the Exchange; and

(d) Stocks that are under mandatory holding pursuant to this Regulation and documents issued by the KSD to verify such mandatory holding is submitted to the Exchange, or that are held continuously by listing sponsors pursuant to [§13(3)].

8. The term “public offerings in Korea and abroad at the same time” refers to a case where the stocks are publicly offered in Korea after the application for preliminary listing review has been submitted and, concurrently, the stocks or DRs of stocks are publicly offered pursuant to the laws and regulations of the foreign country concerned for the purpose of listing on a recognized overseas securities market.

9. The term “public corporation, etc.” refers to an entity falling under any of the

followings:

- (a) Any public purpose corporation prescribed in Article 152(3) of the Act (hereinafter referred to as the “public corporation”);
- (b) Any corporation incorporated in accordance with the special laws (hereinafter referred to as the “special corporation”);
- (c) Of the public institutions pursuant to Article 4(1)3 of the Act on Operation of Public Institutions, an institution of which at least 50/100 stake is held by the government (hereinafter referred to as the “public institution controlled by the government”); and
- (d) Any corporation prescribed in Article 2 of the Act on Improvement of Management Structure and Privatization of Public Enterprises (hereinafter referred to as the “public enterprise targeted for privatization”).

10. The term “closing price” means the closing price pursuant to [§2(8)] of the KOSPI Market Business Regulation (hereinafter referred to as the “Business Regulation”). Provided that, in case where there is no closing price for the date concerned, it shall be the base price of the date of that day).

11. The term “opening financial position statement” means the financial position statement of a company newly incorporated as a result of spin-off, merger after spin-off or the conversion into a holding company.

12. The term “annual report” means the business report prescribed in Article 159 of the Act, which details the business and financial conditions for the twelve (12) months from the starting date of a business year.

13. The term “half-yearly report” means the half-yearly report prescribed in Article 160 of the Act, which details the business and financial conditions for the six (6) months from the starting date of a business year.

14. The term “quarterly report” means the quarterly report prescribed in Article 160 of the Act, which details the business and financial conditions for the three (3) months and the nine (9) months from the starting date of a business year.

## **§19. Application Standards and Scope**

(1) The provisions of [§13(3) &(4)] concerning the additional obligations of a listing sponsor which are applicable to a foreign company, the proviso of [§21(1)4] concerning the submission of an audit report by an auditor, [§53(1)2(b)] concerning the application standards for stock distribution requirements, [§58(1)11] concerning the application methods for listing maintenance review, and [§79(5)] concerning the documents on operation of internal accounting management system shall apply

*mutatis mutandis* to a holding company controlling a foreign company. (Amended on August 25, 2021, December 7, 2022)

(2) This Part shall not apply to the stocks which fall under any of the following subparagraphs:

1. The stocks of an investment company;
2. The stocks of an ETF;
3. The stocks of a foreign ETF;
4. The stocks of a ship investment company; and
5. The stocks of a real estate investment trust.

## **§20. Obligations for Prior Consultation**

Each applicant for listing shall consult with the Exchange on such matters as the procedures for listing, the time for listing and whether the case concerned falls under backdoor listing before the submission of preliminary listing review or listing review.

## **§21. Submission of Additional Documents after Filing of Application for Preliminary listing review**

(1) In cases where any cause or event falling under any of the following subparagraphs has occurred after the submission of application for preliminary listing review until the listing date (the date specified in the Enforcement Rules, in case of the applicant for backdoor listing), an applicant for preliminary listing review shall submit to the Exchange the documents about the relevant incident. With regard to an applicant for listing after merger or applicant for backdoor listing, Provided that this provision shall apply only to a case where the applicant for listing after merger or applicant for backdoor listing falls under subparagraph 3 and the unlisted corporation that is the counterparty in the merger or the backdoor listing target company falls under any of subparagraphs 1, 2, 4 or 5:

1. In cases where the board of directors or general meetings of shareholders has resolved on the matters relating to securities, a copy of the minutes concerned;
2. In the case of an event that is significant to the company operation (in case of a holding company, it shall include the events regarding its subsidiaries), the report on such matters;

3. In cases where the report on public offering or secondary distribution has been filed, the prospectus (including the preliminary and summary prospectus). In such cases, any correction made to the details recorded shall be included;
  4. In cases where forty-five (45) days have elapsed since the end of semiannual period of the business year concerned, the semiannual financial statements and the auditor's review report thereon. Provided that, when, as an applicant for preliminary listing review of foreign stocks, etc., the Exchange deems it necessary by considering the place of incorporation, accounting environment and listing experiences in the recognized overseas securities market of the company concerned, the "auditor's review report on the semiannual financial statement" shall be replaced with the "auditor's audit report on the semiannual financial statement or semiannual consolidated financial statement"; and
  5. In cases where the general shareholders meeting or board meeting was held for the approval of closing financial statement of the latest business year, the financial statement for the latest business year and the auditor's report thereon.
- (2) "Event that is significant to the company operation" in paragraph (1)2 (hereinafter referred to as "matters significant to business operation") shall refer to any of the following subparagraphs:
1. Case where a check or bill is dishonored;
  2. Case where business activities are suspended;
  3. Case where disaster or excessive loss has occurred;
  4. Case of sale of fixed assets that are high in value;
  5. Case of filing of lawsuits;
  6. Case of a change in the largest shareholder and officers (including the executive officers for the company which has executive officers appointed; the same hereinafter);
  7. Case of a merger, spin-off/merger after spin-off (including spin-off/merger after spin-off through carving-out) and transfer/acquisition of business;
  8. Case of leasing of key assets or the resolution on business management delegation; and
  9. Other cases where the Exchange deems it fall under a cause or event that is significant to the business operation of the applicant for preliminary listing review.

## **§22. Notification of Result of Preliminary listing review**

- (1) Upon receiving the application for preliminary listing review, the Exchange

shall notify, in writing, the applicant for preliminary listing review concerned and the Financial Services Commission of the result of the preliminary listing review within forty five (45) days (based on business days) from the date of having received the application for preliminary listing review. Provided that, in the case of listing foreign stocks, etc., the period of notification may be determined differently if the deliberation of a corporation as a going concern is not conducted pursuant to [§30(2)] or in other cases that are deemed necessary by the Exchange and thus stipulated in the Enforcement Rules. (Amended on June 18, 2014)

(2) Notwithstanding paragraph (1), in case where it is necessary to correct or supplement the application for preliminary listing review or supplementary documents or an additional review is necessary, the Exchange may extend the notification period for the review result. In such cases, the Exchange shall notify, in writing, the applicant for preliminary listing review concerned of the reasons and estimated processing time.

(3) In cases where an applicant for preliminary listing review (referring to a backdoor listing target company in the case of backdoor listing, and a counterparty non-listed corporation in the case of listing after merger) has been reported or notified to the prosecutor's office or subject to such disciplinary measures as the restriction on securities issuance or penalties by the SFC, with respect to the financial documents stipulated in the Enforcement Rules, before the Exchange notifies the result of preliminary listing review pursuant to paragraph (1), the Exchange may turn down the application for preliminary listing review concerned. In such cases, if the applicant for preliminary listing review is a foreign company, it shall be conducted on the basis of foreign accounting standards and regulatory measures of the home country (referring to the measures equivalent to those specified in the former part of this Paragraph).

(4) The Exchange shall make the final decision on the result of preliminary listing review by way of deliberation by the Listing and Disclosure Committee. Provided that, in the cases falling under any of the following subparagraphs, the Listing and Disclosure Committee's deliberation may be bypassed:

1. Case of turning down the application for preliminary listing review pursuant to paragraph (3)
2. Case of initially listing the securities noted in the following items:
  - (a) Common stocks issued by a public corporation, etc.;
  - (b) Common stocks issued by a holding company under [§31(2)];
  - (c) Common stocks issued by a special purpose acquisition company;
  - (d) Foreign stocks, etc. to which the qualitative review requirements shall not

apply pursuant to [§53(2)]; and

e. Different class of stocks and different class of foreign stocks

3. Other cases that are determined by the Enforcement Rules by taking into account the public interest and investor protection

### **§23. Invalidation of Results of Preliminary listing review**

(1) In cases where, after having notified the result of preliminary listing review pursuant to [§22], any of the following incidents occur which the Exchange deems to have a significant implication on the result of the preliminary listing review concerned, the Exchange may discard the validity of the result of the preliminary listing review concerned: (Amended on June 18, 2014; August 25, 2021)

1. Case where an applicant for initial listing or re-listing falls under any of the following items:

(a) Where matters significant to business operation have been occurred;

(b) Where the fact that important matters on investor protection are falsely stated in or omitted from the application for preliminary listing review has been identified;

(c) Case of having been accused or notified to the prosecutor's office or subject to such disciplinary measures as the restriction on securities issuance or penalties by the SFC with regards to the financial documents stipulated in the Enforcement Rules. In such cases, if the applicant for preliminary listing review is a foreign company, it shall be based on foreign accounting standards and regulatory measures of the home country (referring to the measures equivalent to those noted in the former part of this Item);

(d) Where the details of prospectus, preliminary prospectus and summary prospectus is different from those of the application for listing;

(e) Where an application for initial listing or re-listing has not been submitted within six (6) months from the date of having been notified of the result of preliminary listing review. Provided that, if the Exchange approves the extension of the period for application submission at the request of the applicant concerned for initial listing or re-listing due to an unavoidable reason such as sudden change in the KOSPI Market conditions, the period for application submission may be extended up to six (6) months; and

(f) Other cases stipulated in the Enforcement Rules, which the Exchange deems to have a major influence on the result of preliminary listing review



2. Case where the applicant for listing after merger or backdoor listing falls under any of the following items:

(a) Case of falling under item (b) or (d) of subparagraph 1;

(b) Where an applicant for listing after merger has not submitted the listing application pursuant to each subparagraph of [§76-2(1)] within six (6) months from the date of having been notified of the result of preliminary listing review; and

(c) Where an applicant for backdoor listing has failed to complete the transaction equivalent to backdoor listing within six (6) months from the date of having been notified of the result of preliminary listing review.

3. Case where an unlisted corporation that merges with a special purpose investment company falls under item (a), (c) or (e) of subparagraph 1; and

4. Case where a backdoor listing target company falls under item (a), (c) or (e) of subparagraph 1.

(2) In cases where an applicant for listing intends to apply again for listing of the stocks concerned after the validity of the result of preliminary listing review has been discarded pursuant to paragraph (1), the applicant shall submit the application for preliminary listing review to the Exchange and undergo preliminary listing review.

(3) The Exchange shall, when having made a decision to discard the validity of the result of preliminary listing review pursuant to paragraph (1), disclose such a fact and notify the applicant for preliminary listing review and the FSC of the fact.

#### **§24. Approval and Deferment of Listings**

(1) In cases where the Exchange received an application for listing, it shall notify the relevant applicant for listing without delay of whether the listing has been approved or not.

(2) The Exchange may, when an applicant for listing falls under any of the following subparagraphs, defer the listing until the causes thereof are resolved:

1. Where a lawsuit regarding matters such as the validity of the issuance of new stocks has been filed. Provided that this provision shall not apply to the cases stipulated in the Enforcement Rules, such as where there is little concern that the safety of transactions may be undermined; and

2. Where the record dates for dividends are varied for each class of stocks.

(3) In cases where a listing applicant falls under the main sentence of paragraph (2)1, the Exchange shall notify the relevant listing applicant in writing of the matters under each of the following subparagraphs:

1. The reasons and grounds for the deferment of listing;
2. Details that an objection may be raised against the deferment of listing; and
3. Other matters that the Exchange deem necessary with regards to the deferment of listing and raising of an objection

(4) In cases where the notified applicant noted in paragraph (3) has an objection to the deferment of listing, an objection may be filed with the Exchange within seven (7) days (based on business days) from the date of having received the notification.

(5) In cases where an objection noted in paragraph (4) has been raised, the Exchange shall determine whether to defer the listing, etc. after undergoing deliberation by the Listing and Disclosure Committee.

(6) In addition to the provisions of paragraphs (3) through (5), the method and procedures of filing objection and the matters necessary for deliberation by the Listing and Disclosure Committee shall be stipulated in the Enforcement Rules.

## **§25. Filing of Official Objection to Delisting Decision**

(1) In cases where a KOSPI market-listed corporation falls under the reasons for delisting, the Exchange shall notify, in writing, the corporation concerned of each of the following matters. Provided that this provision shall not apply to the case of not falling under the reasons for filing of an objection permitted pursuant to the provisions of this Part:

1. Reasons and grounds for delisting;
2. Details that the relevant corporation may file an objection to the decision on delisting; and
3. Other matters concerning the delisting and filing of an objection, which the Exchange deems necessary.

(2) When having an objection to the delisting decision upon receiving the notification noted in paragraph (1), the KOSPI market-listed corporation may file with the Exchange an objection to delisting within fifteen (15) days (based on business days) from the date of having received the notification by attaching the documents stipulated in the Enforcement Rules. (Amended on June 18, 2014)

(3) In cases where there is an objection noted in paragraph (2), the Exchange shall

make a decision on whether to delist or grant a period for improvement by way of deliberation of the Listing and Disclosure Committee.

(4) When the period for improvement granted pursuant to paragraph (3) has expired, the Exchange shall make a decision on delisting by way of deliberation of the Listing and Disclosure Committee with regards to the matters such as the implementation of improvement plan. Provided that if a KOSPI market-listed corporation falls under any of the following subparagraphs, the Exchange may decide whether to delist the stocks even before the end of improvement period after the deliberation of the Listing and Disclosure Committee: (Amended on Mar. 8, 2021)

1. Case of failing to implement the improvement plan;
2. Case where there is doubt about the company as a going concern for such reasons as the lack of assets needed for business operation or suspension of core business; and
3. Case where an application has been submitted by the KOSPI market-listed corporation concerned.

(5) Notwithstanding paragraphs (3) and (4), the Exchange may grant an improvement period or decide not to delist in cases where the Enforcement Rules stipulate that the deliberation of the Listing and Disclosure Committee is not necessary in consideration of the reasons for the official objection, the content, and the implement of the improvement plan, etc. (Amended on March 8, 2021)

(6) In addition to the provisions of paragraphs (1) through (5), the matters concerning the methods and procedures of filing an objection and the deliberation by the Listing and Disclosure Committee shall be stipulated in the Enforcement Rules.

## **CHAPTER II. COMMON STOCKS**

### **Section 1. Initial Listing**

#### **§26. Preliminary listing review**

An applicant for the initial listing of common stocks shall, prior to filing an application for the initial listing pursuant to [§28], undergo the preliminary listing review by submitting to the Exchange the application for preliminary listing review and the supplementary documents stipulated in the Enforcement Rules.

## §27. Mandatory Holding

(1) In relation to initial listing of common stocks, any person falling under any of the following subparagraphs shall mandatorily hold the stocks, etc. in his/her possession until the period specified in the relevant subparagraph. In such cases, the stocks, etc. shall include the stocks that have been acquired through exercises of rights granted to the stocks, etc., capital increase without consideration (limited to capital increase without consideration in the event of conducting capital increase with consideration and capital increase without consideration at the same time), and stock dividends within the period specified in the relevant subparagraph (in cases where the period of mandatory holding is extended pursuant to paragraph (2), it shall be until the extended date): (Amended on August 28, 2019; March 16, 2022)

1. The largest shareholder, etc. of an applicant for initial listing (officers of the applicant for initial listing shall include a person falling under each subparagraph of Article 401-2(1) of the Commercial Act; the same hereinafter in this Article): Six (6) months from the listing date. Provided that, in cases where the largest shareholder, etc. of the applicant for initial listing is a private equity fund under Article 9(19) of the Act, the period of mandatory holding applicable to the largest shareholder, etc. shall be one (1) year from the listing date;

2. The largest shareholder, etc. of an applicant for initial listing who has acquired stocks by exercising stock options after listing (in such cases, it shall be limited to the quantity of the relevant acquired stocks): Six (6) months from the listing date (in cases where the largest shareholder is the private equity fund specified in the proviso of subparagraph 1, it shall be one (1) year);

3. Any person who has acquired the stocks, etc. issued by way of the third-party allotment by an applicant for initial listing within one (1) year prior to the application date for preliminary listing review (in such cases, it shall be limited to the quantity of the relevant acquired stocks): One (1) year from the issuance date. Provided that, in cases where the date is within six (6) months from the listing date, the period of mandatory holding shall be extended for six (6) months from the listing date;

4. Any person who has acquired the stocks, etc. held by the largest shareholder, etc. of an applicant for initial listing within one (1) year prior to the application date for preliminary listing review (in such cases, it shall be limited to the quantity of the relevant acquired stocks): Six (6) months from the listing date; and

5. Other shareholders, etc. that the Exchange deems mandatory holding is necessary for the sake of public interest, investor protection, etc. (referring to a person who holds the securities under each item of [§2(1)9]): Up to two (2) years from the listing date after a discussion with the Exchange.

(2) Notwithstanding the provisions in subparagraphs 1 through 4 under paragraph (1), in cases where a person subject to mandatory holding makes a request in consultation with his/her listing sponsor or the Exchange deems it necessary for the sake of management transparency, management stability and investor protection, the Exchange may extend the mandatory holding period up to two (2) years in addition to the mandatory holding period stipulated in subparagraphs 1 through 4 after a discussion with the person subject to mandatory holding. [March 16, 2022]

(3) Notwithstanding paragraph (1), the Exchange may not request for mandatory holding in the case of falling under any of the following subparagraphs. Provided that, in the case of items (c) and (d) of subparagraphs 1, this provision shall apply only to the relevant specially related person: (Amended on June 18, 2014; August 28, 2019; March 16, 2022)

1. Case of falling under any of the followings in relation to paragraph (1)1 and 2:

(a) Where an applicant for initial listing is a public corporation, etc.;

(b) Where an applicant for initial listing is a KOSDAQ-listed corporation. Provided that this provision shall be applicable only in cases where the period of mandatory holding under the KOSDAQ Market Listing Regulation has elapsed as at the date of application for initial listing;

(c) Where a specially related person of the largest shareholder holds less than 100 stocks; and

(d) Where the Exchange deems that the exemption from mandatory holding is inevitable in consideration of the purpose of shareholding by the specially related persons of the largest shareholder, the relationship with the largest shareholder and the likelihood of change in management rights, etc., and accordingly stipulated in the Enforcement Rules.

2. Case where an applicant for initial listing is a public corporation, etc. or a corporation under subparagraph 1(b) in relation to paragraph (1)3 and 4.

(4) When calculating the quantity of stocks, etc. under paragraph (1), the quantity of stocks, etc. stipulated in the Enforcement Rules shall be excluded.

(5) With respect to the mandatory holding in paragraph (1), documents to be submitted, submission deadlines, etc. shall be specified in the Enforcement Rules.

## **§28. Application for Initial Listing**

(1) In cases where an applicant for the initial listing of common stocks, etc. intends to initially list the common stocks concerned after passing the preliminary listing

review conducted by the Exchange, the applicant shall submit to the Exchange the application for initial listing and supplementary documents stipulated in the Enforcement Rules within six (6) months (up to the extended date in case where the deadline for submission has been postponed for reasons noted in the proviso of [§23(1)(d)]) from the date of having received the result of preliminary listing review.

(2) Notwithstanding paragraph (1), in case where public offering or secondary distribution is not made after an applicant for initial listing has submitted the application for preliminary listing review or where no change has been made on the documents submitted at the time of filing the application for preliminary listing review, the submission of supplementary documents concerned may be omitted.

(3) An applicant for initial listing, who makes public offering or secondary distribution after applying for preliminary listing review, shall, except for the cases deemed necessary by the Exchange, submit to the Exchange the application for initial listing and supplementary documents noted in paragraph (1) by the payment due date for stock subscription.

## **§29. Formality Review Requirements**

(1) Each applicant for initial listing of common stocks shall meet all the following formality review requirements noted in each of the following subparagraphs: (Amended on June 18, 2014; November 4, 2015; June 8, 2016; June 26, 2019)

1. Period in operation: As of the application date for preliminary listing review, at least three (3) years shall have passed since its incorporation and its business shall have been conducted without interruption;

2. Size of business: As of the application date for preliminary listing review, the corporation shall meet all the requirements specified in each of the following items. In such cases, for a corporation that makes a public offering or secondary distribution after filing the application for preliminary listing review, it shall be judged based on the date of application for initial listing:

(a) The total number of common stocks to be listed shall be at least 1,000,000; and

(b) The equity capital shall be at least KRW 30 billion. In such cases, the equity capital of a corporation that owns a subsidiary (if the company is not a holding company, it shall be limited to the business year for which the K-IFRS was applied) shall be the amount obtained by excluding the non-controlling interests from the total capital on the consolidated financial statement. The same shall apply hereinafter in this Article.

3. Stock distribution: As of the application date for preliminary listing review,

each of the following requirements shall be met on the basis of common stocks. In such cases, the corporation, which makes public offering or secondary distribution after filing the application for preliminary listing review, shall be judged based on the application date for initial listing.

(a) The number of stocks held by general shareholders, etc. shall satisfy any of the following requirements. Provided that this provision shall not apply to the bank holding companies noted in Article 2(1)5 of the Financial Holding Company Act which fall under the cases stipulated in the Enforcement Rules

(i) The total number of common stocks owned by general shareholders shall be at least 25/100 of the total number of common stocks. Provided that, in cases where the number of stocks owned by general shareholders is at least five million (5,000,000), which shall be equal to or higher than the quantity specified in the Enforcement Rules, it shall be deemed that this requirement has been met;

(ii) The total number of stocks issued or sold through a public offering (excluding the case that is deemed a public offering pursuant to Article 11(3) of the Enforcement Decree of the Act; the same shall apply hereinafter in this Article) or a secondary distribution shall be at least 25/100 of the total number of common stocks. Provided that, in cases where the total number of stocks issued or sold through public offering or secondary distribution is at least five million (5,000,000) shares, which shall be equal to or higher than the quantity specified in the Enforcement Rules, it shall be deemed that this requirement has been met;

(iii) The total number of stocks issued or sold through public offering or secondary distribution after applying for preliminary listing review shall be at least 10/100 of the total number of common stocks as of the date of application for initial listing and shall fall under any of the followings:

Ⓐ On the basis of the equity capital as of the date of application for preliminary listing review, it shall fall under any of the followings:

① For a corporation of which equity capital is KRW 50 billion or more, but less than KRW 100 billion: No less than one million (1,000,000) shares;

② For a corporation of which equity capital is KRW 100 billion or more, but less than KRW 250 billion: No less than two million (2,000,000) shares; and

③ For a corporation of which equity capital is KRW 250 billion or more: No less than five million (5,000,000) shares.

⑥ On the basis of the base market capitalization as of the application date of preliminary listing review, it shall fall under any of the followings:

① For a corporation of which base market capitalization is KRW 100 billion or more, but less than KRW 200 billion: No less than one million (1,000,000) shares;

② For a corporation of which base market capitalization is KRW 200 billion or more, but less than KRW 500 billion: No less than two million (2,000,000) shares; and

③ For a corporation of which base market capitalization is KRW 500 billion or more: No less than five million (5,000,000) shares.

(iv) In the case of a corporation that conducts public offerings simultaneously in Korea and abroad, the total number of stocks issued or sold through such simultaneous public offerings in Korea and abroad shall be at least 10/100 of the total number of common stocks as of the application date of initial listing, while the total number of stocks issued or sold through public offering or secondary distribution in Korea shall be at least one million (1,000,000) shares (in the case of stocks with par value, the par value of KRW 5,000 shall be used as the basis).

(b) [Deleted on June 18, 2014]

(c) The number of general shareholders shall be at least five hundred (500).

4. Business performance: It shall fall under any of the following items:

(a) Sales and profitability shall meet all the following requirements:

(i) Sales: The sales amount of the latest business year shall be at least KRW 100 billion, and that of the recent three (3) business years (three (3) calendar years, in case where one (1) business year is shorter than one (1) calendar year: The same shall apply hereinafter in this Article.) shall be at least KRW 70 billion on average. In such cases, a holding company shall be on the basis of the sale amount in the consolidated financial statement, and the same shall apply hereinafter in this Article.

(ii) Profitability: The income before tax from continuing operations or the return on equity shall fall under any of the followings. In such cases, for a company owing a subsidiary (if the company is not a holding company, it shall be limited to the business year for which the K-IFRS was applied), it shall be based on the amounts in consolidated financial statements, but the return on equity shall be based on the amount obtained by excluding the



non-controlling interests from the net income.

① Income before tax from continuing operations: It shall be at least KRW 3 billion for the latest business year, and the sum of the latest three (3) business years shall be at least KRW 6 billion.

② Return on equity: It shall be at least 5/100 for the latest business year, and the sum of the latest three (3) business years shall be at least 10/100. In such cases, if it is not possible to calculate the return on equity for anyone (1) business year of the latest three (3) business years, it shall be deemed that the requirement has not been met.

③ Income before tax from continuing operations, return on equity and operating cash flow: As a corporation of which the equity capital as of the application date for preliminary listing review is KRW 100 billion or more, the income before tax from continuing operations of the latest business year shall be at least KRW 5 billion or the return on equity as at the end of the latest business year shall be at least 3 percent; and the cash flows from operating activities (hereinafter referred to as the “operating cash flow”) for the latest business year shall be positive. In such cases, for a holding company, it shall be on the basis of operating cash flow in the consolidated financial statement.

(b) The sales amount of the latest business year shall be at least KRW 100 billion, and the base market capitalization as of the application date of initial listing shall be at least KRW 200 billion.

(c) The income before tax from continuing operations of the latest business year shall be at least KRW 5 billion, and the base market capitalization as of the application date for initial listing shall be at least KRW 200 billion.

(d) As of the date of application for initial listing, the base market capitalization shall be at least KRW 500 billion, and equity capital shall be at least KRW 150 billion.

(e) As of the date of application for initial listing, the base market capitalization shall be at least KRW 1 trillion.

5. Audit opinion: The auditor’s audit opinions on the individual and consolidated financial statements of the latest three (3) business years shall fall under each of the following items. In such cases, for a corporation owning a subsidiary (excluding a holding company), the consolidated financial statement shall apply only to the business year for which the K-IFRS was applied:

(a) The audit opinion for the latest business year shall be ‘unqualified’; and

(b) The audit opinion for the two (2) business years immediately preceding the latest business year shall be 'unqualified' or 'qualified' (excluding the qualified opinion due to the limitation on the scope of audit).

6. [Deleted on June 18, 2014]

7. Restrictions on the transfer of stocks: There shall be no restriction placed on the transfer of stocks. Provided that this provision shall not apply in the case where such restriction is imposed by statutes, articles of incorporation, etc. and the Exchange deems it not to impede the transactions in the KOSPI Market.

8. Outside directors: In the case of a holding company, the obligation to appoint outside directors noted in [§77] shall have been fulfilled as of the application date for initial listing. In such cases, the regulation on grace period for an initially listed corporation stipulated in Article 34(1)3 of the Enforcement Decree of the Commercial Act shall not apply *mutatis mutandis*.

9. Audit Committee: In the case of a holding company, the obligation to establish the audit committee stipulated in [§78] shall have been fulfilled as of the application date for initial listing. In such cases, the regulation on grace period for an initially listed corporation stipulated in Article 37(1)4 of the Enforcement Decree of the Commercial Act shall not apply *mutatis mutandis*.

(2) To a holding company which intends to initially list common stocks, a part of the review requirements noted in paragraph (1) shall apply as in each of the following subparagraphs: (Amended on June 18, 2014)

1. The period in operation noted in paragraph (1)1 may take into account the actual period in operation of key subsidiaries;

2. The business performance noted in paragraph (1)4 shall apply as in each of the following items:

(a) With respect to the business year that is prior to the business year to which the date of incorporation of or the date of conversion into a holding company belongs, it shall be calculated by multiplying the sales amount of a subsidiary for each business year with the percentage of a stake in the subsidiary at the time of incorporation or conversion;

(b) With respect to a holding company for which three (3) years have not elapsed since incorporation or conversion, it shall be on the basis of the financial statement of the business year preceding the business year which includes the date of incorporation or the date of conversion, while applying the following methods thereto:

(i) The net income which becomes the basis for calculating the return on

equity shall be the amount determined by multiplying the net income of a subsidiary for each business year with the percentage of a holding company's stake at the time of incorporation or conversion, and total capital shall be the total capital on the opening financial position statements.

(ii) With respect to a holding company for which one (1) business year has not elapsed since incorporation or conversion, the sum of operating income, income before tax from continuing operations and net income of each subsidiary for the latest business year shall be positive.

(c) With respect to a holding company for which one (1) business year has not elapsed since incorporation or conversion, the operating cash flow shall be calculated by multiplying the operating cash flow of each subsidiary for the latest business year with the percentage of the holding company's stake in the subsidiaries at the time of incorporation or conversion; and

(d) [Deleted on June 18, 2014]

3. With respect to a holding company for which three (3) years have not elapsed since incorporation or conversion, the audit opinion noted in paragraph (1)5 shall be based on the auditor's audit report on the financial statement of the business year that is prior to the business year to which the date of incorporation or the date of incorporation belongs.

(3) [Deleted on June 18, 2014]

(4) When the sales amount or the return on equity is less than 1.3 times the formality review requirements as per paragraph (1), the Exchange may request the SFC for the supervision of financial statements of the applicant for initial listing for the latest two (2) business years.

(5) Notwithstanding paragraph (1), in cases where an applicant for initial listing for which three (3) business years have not passed since incorporation falls under the grounds specified in the Enforcement Rules such as a merger, a spin-off and a merger after spin-off before applying for preliminary listing review, a part of the review requirements noted in paragraph (1) shall apply as in each of the following subparagraphs.

1. For the requirement for period in operation noted in paragraph (1)1 and the requirement for business performance noted in paragraph (1)4, the period of actual operating activities may be considered.

2. When the requirement for audit opinion noted in paragraph (1)5 falls under each of the following criteria, it shall be deemed that the relevant requirement is met.

(a) The audit opinions expressed on the financial statement of the elapsed business year (referring to the financial statement of the elapsed months in the case where one (1) business year has not elapsed since incorporation) shall be unqualified opinions. Provided that, for the business year immediately preceding the latest business year, the audit opinions shall include ‘qualified’ opinions (excluding the qualified opinions due to the limitation on audit scope).

(b) Each of the review opinions expressed on the financial statements of the business areas that were transferred during the period from the business year which includes the date that is three (3) years retroactively from the application date for preliminary listing review to the date of incorporation shall be ‘unqualified’.

(6) The detailed methods, etc. necessary for applying the review requirement under paragraph (1) shall be stipulated in the Enforcement Rules.

### **§30. Qualitative Review Requirements**

(1) When determining whether or not the listing of common stocks of a corporation that meets the formality requirements noted in [§29] is appropriate, the Exchange shall make the review by comprehensively taking into account the matter in each of the following subparagraphs: (Amended on June 18, 2104)

1. Considering such matters as the business, financial conditions and operating environment, the sustainability of a corporation shall have been recognized;

2. Considering such matters as the corporate governance structure, internal control system, disclosure system and transactions with specially related persons, the management transparency shall have been recognized;

3. Considering such matters as the relationship among the stake holders, the details and period of changes in share ownership structure, etc., the management stability shall have been confirmed;

4. From the aspects of legal nature and operational methods, the corporation shall have been deemed to be a joint stock company pursuant to the Commercial Act; and

5. Additionally, it shall have been confirmed that the listing of the stocks concerned does not undermine the public interest and the protection of investors.

(2) Notwithstanding paragraph (1), the Exchange shall review a corporation (the matters needed for applying this provision shall be stipulated in the Enforcement Rules) that satisfies all the requirements noted in each of the following

subparagraphs without taking into account the corporate sustainability specified in paragraph (1)1. Provided that this provision shall not apply to the case where it is deemed necessary by the Exchange for the public interest and investor protection: (Amended on June 26, 2019)

1. Equity capital: It shall be at least KRW 400 billion as of the application date for preliminary listing review;
2. Amount of sales: It shall be at least KRW 700 billion for the latest business year and at least KRW 500 billion on average for the recent three (3) business years [three (3) calendar years, in cases where one (1) business year is shorter than one (1) calendar year; the same shall apply hereinafter in this Article]; and
3. Income before tax from continuing operations: It shall be at least KRW 30 billion for the latest business year, and the sum of the latest three (3) business years shall be at least KRW 60 billion. In such cases, there shall be income before tax from continuing operations generated in each business year.

### **§31. Special Cases concerning Public Corporations, etc. and Holding Companies**

(1) In cases where the Exchange deems that speedy listing of a public corporation, etc. is needed for the sake of public interest and investor protection, the review requirements noted in [§29] and [§30] may not apply. Provided that the review requirements specified in each of the following subparagraphs shall apply:

1. A public corporation and a public enterprise targeted for privatization: The requirement for restriction on stock transfers noted in [§29(1)7]; and
2. A special corporation and a public institution controlled by the government: the stock distribution requirement noted in [§29(1)3] and the requirement for restriction on stock transfers noted in [§29(1)7]

(2) The Exchange shall not apply the requirement for period in operation noted in [§29(1)1] and the requirement for business performance noted in [§29(1)4] to a corporation that satisfies all the requirements specified in each of the following subparagraphs: (Amended on June 18, 2014; June 8, 2016)

1. To own the total number of the stocks issued by the entire listed subsidiaries (referring to the subsidiary which is a common-stock-listed corporations; the same shall apply hereinafter in this Paragraph.). In such cases, when the number of the stocks issued as a result of the exercise of the rights of the equity related bonds (referring to the stock-related bonds prescribed in Article 165-10(1) of the Act and the contingent bonds convertible into stocks of a bank provided for in Article 33(1)3 of the Banking Act) is less than 1/100 of the total number of stocks issued, such stocks shall be excluded from the total number of stocks

issued;

2. The total value of the stocks of listed subsidiaries shall be at least 75/100 of the total value of the stocks of the entire subsidiaries; and

3. In case where, among the listed subsidiaries, there is an unlisted subsidiary (referring to the subsidiary which is not a common-stock-listed; the same shall apply hereinafter in this Paragraph.) of which stock value is higher than the stock value of the smallest listed subsidiary, the unlisted subsidiary concerned shall meet the audit opinion requirements noted in [§29(1)5] such as the profitability requirement noted in [§29(1)4(a)(ii)]. Provided that this provision shall not apply to bank holding companies of which the largest shareholder is the government, etc.

(3) The value of the stocks of subsidiaries stipulated in paragraph (2) shall be based on the book value stated in the opening financial position statement of the holding company. Provided that, in case where one (1) business year has elapsed since the incorporation of or conversion into a holding company, it shall be based on the book value stated in the financial position statement of the latest business year.

(4) With respect to the holding company in paragraph (2), the “application date for preliminary listing review” in the main sentence of [§29(1)2] on the business size requirement and [§29(1)3] on the stock distribution requirement shall be construed as the “application date for initial listing”.

## **Section 2. Backdoor Listing**

### **§32. Backdoor Listing**

In cases where, in relation to the transaction noted in any of the following subparagraphs, the management right of a common-stock-listed corporation is changed and there is an effect of listing the equity securities of an unlisted corporation (including the group, association and other issuers whose equity securities are not listed on the KOSPI Market; the same shall apply hereinafter in this Section) as stipulated in the Enforcement Rules, the Exchange shall deem it as a backdoor listing.

1. Transactions between a common-stock-listed corporation and an unlisted corporation, which fall under any of the following items:

(a) Merger;

(b) All-inclusive stock swap; and

(c) Acquisition of business for which a material fact report is submitted

pursuant to Article 161(1)7 of the Act (hereinafter referred to as “acquisition of material business”)

2. Transactions between a common-stock-listed corporation and a key investor (referring to the person, such as the largest shareholder, etc., stipulated in the Enforcement Rules; the same shall apply hereinafter) of an unlisted corporation, which fall under any of the following items:

(a) Acquisition of material asset where a material fact report is submitted pursuant to Article 161(1)7 of the Act. (hereinafter referred to as “acquisition of material asset”); and

(b) As a case of targeting the equity securities of an unlisted corporation for investment, it shall be the investment in kind (referred to as the “investment in kind” hereinafter in this Section) where the investment value is higher than the amount specified in the Enforcement Rules.

3. The transactions, similar to those noted in subparagraph 1 or 2, specified in the Enforcement Rules.

### **§33. Submission of Confirmation Statement on Backdoor Listing**

(1) In cases where a common-stock-listed corporation falls under the grounds stipulated in the Enforcement Rules, such as the resolution on merger with an unlisted corporation, the listed corporation concerned shall submit the confirmation statement of backdoor listing and supplementary documents specified in the Enforcement Rules to the Exchange without delay.

(2) In cases where the Exchange judges the transaction concerned to be backdoor listing as a result of reviewing the documents under paragraph (1), it shall notify without delay such a fact to the common-stock-listed corporation concerned.

(3) The common-stock-listed corporation that has received the notification specified in paragraph (2) shall apply for the preliminary listing review pursuant to [§34] without delay.

### **§34. Preliminary listing review**

Any common-stock-listed corporation that intends to conduct a transaction falling under backdoor listing with an unlisted corporation or key investors of the relevant unlisted corporation (hereinafter referred to as the “applicant for backdoor listing”) shall submit to the Exchange an application for backdoor listing and the supplementary documents stipulated in the Enforcement Rules to undergo the preliminary listing review, before conducting the relevant transaction.

### §35. Mandatory Holding

(1) With respect to backdoor listing of common stocks, any person who falls under any of the following subparagraphs shall mandatorily hold the stocks, etc. (including equity securities; the same shall apply hereinafter in this Article) in his/her possession, which are the stocks of the applicant for backdoor listing and the backdoor listing target company stipulated in the Enforcement Rules. In such cases, the stocks, etc. shall include stocks that have been acquired through exercises of right granted to the stocks, etc., the capital increase without consideration (referring only to capital increase without consideration in the case of conducting capital increase with consideration and capital increase without consideration at the same time), and stock dividends within the period of mandatory holding: (Amended on August 28, 2019; March 16, 2022)

1. Key investors of the backdoor listing target company (officers of the backdoor listing target company shall include a person falling under each subparagraph of Article 401-2(1) of the Commercial Act; the same hereinafter in this paragraph);
2. Key investors of the backdoor listing target company who has acquired the stocks by exercising stock options after listing. In such cases, it shall be limited to the relevant acquired quantity; and
3. A person who has acquired the stocks, etc. issued by way of third-party allotment by the backdoor listing target company within the one (1) year period prior to the application date for preliminary listing review or a person who has acquired the stocks owned by the key investors of the backdoor listing target company during the same period. In such cases, it shall be limited to the acquired quantity concerned.

(2) With respect to the scope and period of mandatory holding and the submission of supplementary documents, etc. under paragraph (1), the provisions of [§27] shall apply *mutatis mutandis* as stipulated in the Enforcement Rules. (Amended on August 28, 2019)

### §36. Review Requirements for Backdoor Listing

(1) The backdoor listing target company shall satisfy all the formality review requirements noted in each of the following subparagraphs as of the application date of preliminary listing review: (Amended on June 18, 2014)

1. The requirement for period in operation in [§29(1)1] shall be met;
2. The profitability requirement in [§29(1)4(a)(ii)] shall be met;
3. The requirement for audit opinion in [§29(1)5] shall be met;



4. [Deleted on June 18, 2014]

5. In the case of acquiring a material business, the liability as of the end of the latest business year shall not exceed the asset.

(2) In the case of a backdoor listing related to the acquisition of material business, each subparagraph of paragraph (1) shall apply in a manner noted in each of the following subparagraphs:

1. The period in operation in [§29(1)1] shall be based on the operating period of business to be transferred as a consequence of the business acquisition;

2. The profitability in [§29(1)4(a)(ii)] shall be based on the operating income from the business to be transferred as a consequence of the business acquisition during the recent three (3) business years; and

3. The audit opinion in [§29(1)5] shall be based on the audit opinion on the backdoor listing target company concerned.

(3) In cases where the backdoor listing target company satisfies the formality review requirements noted in paragraph (1), the Exchange shall examine if the backdoor listing concerned is appropriate by applying *mutatis mutandis* the qualitative review requirements noted in each subparagraph of [§30(1)]. (Amended on June 18, 2014)

(4) In cases where the Exchange deems that speedy backdoor listing is needed for public corporation, etc. for the sake of public interest and investor protection, paragraphs (1) and (3) may not apply.

(5) With respect to the review of backdoor listing, [§29(4) and (5)] on the review of initial listing shall apply *mutatis mutandis*. In such cases, the “applicant for initial listing” shall be the “backdoor listing target company.”

(6) The detailed methods, etc. needed for applying the review requirements noted in paragraph (1) shall be stipulated in the Enforcement Rules.

### **§37. Merger with Unlisted Corporations**

(1) In cases where an entity resulting from the merger between a common-stock-listed corporation and an unlisted corporation becomes a common-stock-listed corporation and is subject to comply with the requirements in each subparagraph of Article 176-5(4) of the Enforcement Decree of the Act, the unlisted corporation concerned shall satisfy the requirements noted in each of the following subparagraphs: (Amended on November 4, 2015)

1. It shall meet the profitability requirement noted in [§29(1)4(a)(ii)]. In such cases, the “application date for preliminary listing review” shall be the “submission date of the material fact report on merger;”
  2. It shall meet the requirement for audit opinion noted in [§29(1)5];
  3. There shall be no change in the largest shareholder during the one (1) year period prior to the submission date of the material fact report on merger. Provided that, in the cases, which are stipulated in the Enforcement Rules, where the Exchange deems the change of the largest shareholder not to impede the sustainability of business management, this subparagraph shall not apply;
  4. In cases where the default has occurred, the causes of the default shall have been resolved at least one (1) year before the submission date of the material fact report on merger; and
  5. There shall not be any disputes such as the lawsuit that may have a major implication on the company operation.
- (2) In cases where the merger between a common-stock-listed corporation and an unlisted corporation falls under backdoor listing, paragraph (1) shall not apply.

### **Section 3. Re-listing**

#### **§38. Re-listing**

- (1) The re-listing of common stocks shall be classified into each of the following subparagraphs: (Amended on November 4, 2015)
1. General re-listing: Case where an issuer of common stocks for which less than five (5) years have elapsed since delisting from the KOSPI Market lists again the common stocks concerned;
  2. Re-listing after spin-off: Case where common stocks of a corporation, which was incorporated as a result of the spin-off or the merger after spin-off (limited to a case where the counterparty of the merger is a common-stock-listed corporation) of a common-stock-listed corporation, are listed. Provided that the spin-off or the merger after spin-off which are conducted as a consequence of carving-out shall be excluded; and
  3. Re-listing after merger: Case where common stocks of a corporation, which was incorporated as a result of the merger between common-stock-listed corporations, are listed, or where the common stocks of a corporation, which survived the merger between a common-stock-listed corporation and an unlisted corporation (limited to the merger conducted for the purpose of promoting

corporate restructuring as stipulated in the Enforcement Rules) or was incorporated as a result of such merger, are listed.

(2) This Section shall not apply to the common stocks of a holding company controlling a foreign company.

### **§39. Preliminary listing review**

(1) Each applicant for general re-listing or re-listing after spin-off shall submit to the Exchange the application for preliminary listing review and the supplementary documents stipulated in the Enforcement Rules and undergo the preliminary listing review.

(2) The application for the eligibility review for re-listing after spin-off shall be submitted without delay upon the resolution of the Board of Directors on the spin-off or merger after spin-off.

### **§40. Mandatory Holding**

(1) With respect to general re-listing of common stocks, any person who falls under any of the following subparagraphs shall mandatorily hold the stocks, etc. in his/her possession. In such cases, the stocks, etc. shall include stocks that have been acquired through exercises of rights granted to the stocks, etc., capital increase without consideration (referring only to capital increase without consideration in the case of conducting capital increase with consideration and capital increase without consideration at the same time), and stock dividends within the period of mandatory holding: (Amended on August 28, 2019; March 16, 2022)

1. The largest shareholder, etc. of the applicant for re-listing (officers of the applicant for re-listing shall include a person falling under each subparagraph of Article 401-2(1) of the Commercial Act; the same hereinafter in this paragraph);
2. The largest shareholder, etc. of the applicant for re-listing who acquired the stocks by exercising stock options after listing. In such cases, it shall be limited to the quantity of the relevant acquired stocks;
3. Any person who has acquired the stocks, etc. issued by way of third-party allotment by the applicant for re-listing within the one (1) year period prior to the application date of preliminary listing review or a person who has acquired the stocks, etc. owned by the largest shareholder of the applicant for re-listing during the same period. In such cases, it shall be limited to the acquired quantity concerned,
4. Other shareholders, etc. that the Exchange deems mandatory holding is necessary for the sake of public interest, investor protection, etc. (referring to a person who holds the securities under each item of [§2(1)9]).

(2) With respect to the scope and period of mandatory holding and the submission of supplementary documents, etc. under paragraph (1), the provisions of [§27] shall apply *mutatis mutandis* as stipulated in the Enforcement Rules. (Amended on August 28, 2019)

#### **§41. Application for Re-listing**

(1) In cases where an applicant for the re-listing of common stocks intends to re-list common stocks, the applicant concerned shall submit to the Exchange the application for re-listing and the supplementary documents stipulated in the Enforcement Rules. In such cases, a person intending to do general re-listing and re-listing after spin-off shall submit the application for re-listing and supplementary documents within six (6) months (up to the extended date in case where the deadline for submission has been extended for reasons such as those noted in the proviso to [§23(1)(e)]) from the date of having received the result of preliminary listing review from the Exchange.

(2) Notwithstanding paragraph (1), in cases where an applicant for re-listing does not conduct a public offering or secondary distribution after submitting the application for preliminary listing review for a general re-listing and re-listing after merger or where no change has been made to the documents submitted for the application for preliminary listing review, the submission of supplementary documents concerned may be bypassed.

(3) The provisions on submission of supplementary documents after applying for preliminary listing review of [§21] shall apply *mutatis mutandis* to the applicant for re-listing after merger. In such cases, “after applying for preliminary listing review” shall be construed as “after submitting the application for re-listing.”

#### **§42. Review Requirements for Re-listing**

(1) Any corporation intending to conduct a general re-listing of common stocks shall meet all the formality review requirements noted in each of the following subparagraphs: (Amended on June 26, 2019)

1. It shall meet the requirement for business size noted in [§29(1)2]. In such cases, the “total number of common stocks to be listed” shall be the “total number of common stocks to be re-listed;” and

2. Each of the following requirements shall be met on the basis of common stocks as of the application date for preliminary listing review. In such cases, a company that makes public offering or secondary distribution after applying for preliminary listing review shall be judged on the basis of application date for re-listing:

(a) The number of stocks held by general shareholders shall fall under any of the followings:

(i) The total number of stocks held by general shareholders shall be 20/100 or more of the total number of common stocks. Provided that, in cases where the total number of stocks held by general shareholders is at least four million (4,000,000) and exceeds the quantity specified in the Enforcement Rules at the same time, it shall be deemed that this requirement has been met.

(ii) The total number of stocks held by general shareholders shall be 10/100 or more of the total number of common stocks and the applicant shall fall under any of the followings. In such cases, it shall be deemed that the stocks publicly offered or sold after applying for preliminary listing review are owned by general shareholders.

Ⓐ On the basis of the equity capital as of the application date for the preliminary listing review, it shall fall under any of the followings. In such cases, the equity capital of a company owning a subsidiary (if the company is not a holding company, it shall be limited to the business year for which the K-IFRS was applied) shall be on the basis of an amount that is determined by subtracting the non-controlling interest from the total capital on the consolidated financial statement, and the same shall apply hereinafter in this Article.

i) For a corporation of which equity capital is KRW 50 billion or more, but less than KRW 100 billion: one million (1,000,000) shares or more;

ii) For a corporation of which equity capital is KRW 100 billion or more, but less than KRW 250 billion: two million (2,000,000) shares or more; and

iii) For a corporation of which equity capital is KRW 250 billion or more: five million (5,000,000) shares or more.

Ⓑ On the basis of the base market value as of the application date for re-listing, it shall fall under any of the followings:

i) For a corporation of which base market capitalization is KRW 100 billion or more, but less than KRW 200 billion: one million (1,000,000) shares or more;

ii) For a corporation of which base market value is KRW 200 billion or more, but less than KRW 500 billion: two million (2,000,000) shares or more; and

iii) For a corporation of which base market value is KRW 500 billion

or more: five million (1,000,000) shares or more.

(b) The number of general shareholders shall be at least three hundred (300).

3. Business performance shall fall under any of the following items:

(a) The sales amount and profitability shall meet all the following requirements:

(i) Sales: The sales amount of the latest business year shall be at least KRW 100 billion. In such cases, the sales amount of a holding company shall be on the basis of the sales amount expressed in the consolidated financial statement. The same shall apply hereinafter in this Article.

(ii) Profitability: The income before tax from continuing operations or the return on equity shall fall under any of the followings. In such cases, for a company owing a subsidiary (if the company is not a holding company, it shall be limited to the business year for which the K-IFRS was applied), it shall be based on the amounts in consolidated financial statements, but the return on equity shall be based on the amount obtained by excluding the non-controlling interests from the net income.

Ⓐ The income before tax from continuing operations of the latest business year shall be at least KRW 3 billion; and

Ⓑ The return on equity of the latest business year shall be at least 5 percent.

(b) The sales amount of the latest business year shall be at least KRW 200 billion, and the base market capitalization as of the application date for re-listing shall be at least KRW 400 billion.

4. It shall meet the requirements of audit opinion noted in [§29(1)5]. In such cases, the “financial statements of the latest three (3) business years” shall be the “financial statements of the latest two (2) business years”.

5. No merger shall have taken place after delisting. Provided that this subparagraph shall not apply to the small-scale merger specified in the Enforcement Rules.

6. As of the application date for re-listing, it shall meet the obligations for appointing outside directors noted in [§77] and establishing the audit committee noted in [§78].

7. It shall meet the requirement for stock transfer restriction noted in [§29(1)7].

(2) Any corporation intending to re-list common stocks after spin-off shall meet all

the formality review requirements specified in each of the following subparagraphs:  
(Amended on June 26, 2019)

1. As of the application date for preliminary listing review, a business (hereinafter referred to as the “business to be transferred”) to be transferred as a result of spin-off or merger after spin-off has been in operation for at least three (3) years without interruption. In such cases, if the number of businesses to be transferred is two (2) or more, it shall be based on the business of which sales proportion is the highest (hereinafter referred to as the “main business”), and a holding company shall be based on the main business of a subsidiary of which sales proportion is the highest among key subsidiaries of the holding company concerned.
  2. As of the application date for preliminary listing review, business size shall meet all the requirements noted in each of the following items:
    - (a) The equity capital shall be at least KRW 10 billion.
    - (b) The number of common stocks to be re-listed shall be at least one million (1,000,000) shares. In such cases, the number of stocks to be held by the largest shareholder, etc. of the applicant for re-listing as a consequence of spin-off or merger after spin-off shall be excluded.
  3. The performance of the business to be transferred shall meet all of the following requirements:
    - (a) Sales: The sales amount of the latest business year shall be at least KRW 50 billion; and (Amended on July 9, 2025)
    - (b) Profitability: The income before tax from continuing operations of the latest business year shall be at least KRW 2.5 billion. In such cases, for a company owning a subsidiary (if the company is not a holding company, it shall be limited to the business year for which the K-IFRS was applied), it shall be based on the amount in the consolidated financial statements.
  4. The review opinion and audit opinion stated in the auditor’s review report and audit report attached to the application for re-preliminary listing review or for re-listing shall be the unqualified opinion.
  5. As of the application date for re-listing, it shall have met the obligations for appointing outside directors noted in [§77] and for establishing the audit committee noted in [§78].
  6. It shall meet the requirement of restriction on stock transfer under [§29(1)7].
- (3) Any corporation intending to re-list common stocks after merger shall satisfy all

the requirements in each of the following subparagraphs:

1. As of the application date for re-listing, it shall have met the obligations for appointing outside directors noted in [§77] and for establishing the audit committee noted in [§78]; and

2. It shall meet the requirement for stock transfer restriction specified in [§29(1)7].

(4) Notwithstanding paragraph (2), in cases where a common-stock-listed corporation merges with an unlisted corporation and there is the resolution of the board of directors meeting on a spin-off or a merger after spin-off within three (3) years from the date of merger registration concerned, if the main business of a company incorporated as a result of the spin-off or the merger after spin-off belongs to the businesses of the unlisted corporation at the time of merger, it shall satisfy all the requirements noted in each of the following subparagraphs. Provided that this provision shall not apply to a case where the common-stock-listed corporation underwent the eligibility review for backdoor listing pursuant to [§34] at the time of merger:

1. It shall meet the requirement for period in operation noted in paragraph (2)1;

2. It shall meet the requirement for business size noted in paragraph (2)2. Provided that the requirement for equity capital shall be KRW 30 billion;

3. It shall meet the stock distribution requirement noted in [§29(1)3];

4. The business to be transferred shall meet the business performance requirement under [§29(1)4];

5. All the audit opinions stated in the auditor's audit report attached in the application for preliminary listing review or the application for re-listing shall be the unqualified opinions;

6. As of the application date for re-listing, it shall have met the obligations to appoint outside directors noted in [§77] and to establish the audit committee noted in [§78]; and

7. It shall meet the requirements on stock-transfer restriction under [§29(1)7].

(5) The Exchange shall examine, if it would be appropriate for a corporation that has satisfied the formality review requirements under paragraphs (1) through (4) to list its common stocks, by applying the qualitative review requirements specified in each subparagraph of [§30] (excluding the business stability requirement stipulated in subparagraph 3) *mutatis mutandis*. Provided that, if a corporation, which met the formality review requirements under paragraph (2), satisfies all of the requirements



under each subparagraph of [§30(2)] as of the application date for the preliminary listing review, the corporate sustainability requirement under [§30(1)1] shall not apply *mutatis mutandis*. (Amended on June 18, 2014; November 4, 2015)

(6) In the case of a merger after spin-off, the sales and the income before tax from continuing operations included in the business performance requirements under paragraphs (2)3 and (4)4 shall be based on the sales amount and the income before tax from continuing operations of the company's business to be transferred at the time of the merger after spin-off. Provided that, in the case of a holding company, it shall be based on the amount obtained by multiplying the sales amount and the net income of subsidiaries by the shareholding ratio of the holding company at the time of filing the application for re-listing and the sales amount and the net income of the business to be transferred to the holding company. (Amended on June 26, 2019)

## **Section 4. Supplementary Listing and Listing Change**

### **§43. Supplementary Listing**

(1) In cases where a common-stock-listed corporation intends to newly issue and list stocks which are the same as the common stocks already listed by way of capital increase with consideration, capital increase without consideration and stock dividends, etc., such a corporation shall submit to the Exchange an application for supplementary listing and supplementary documents stipulated in the Enforcement Rules.

(2) The application for supplementary listing noted in paragraph (1) shall be submitted without delay after the issuance of new stocks concerned takes effect.

### **§44. Mandatory Holding**

(1) In the case of falling under any of the following subparagraphs, any person who has acquired new stocks of a common-stock-listed corporation or equity-linked bonds shall mandatorily hold such securities for six (6) months from the issuance date (it shall be the listing date for the provisions of subparagraphs 3 through 5). Provided that, in cases where the unlisted corporation is a public corporation, etc., subparagraphs 1 and 2 may not apply thereto: (Amended on June 18, 2014; November 4, 2015; August 28, 2019)

1. Case where a common-stock-listed corporation issued new stocks or equity-linked bonds to the business transferor or asset transferor stipulated in the Enforcement Rules by way of third-party allotment within six (6) months after submitting the material fact report with respect to the acquisition of material business or asset, and consequently there is a change in the largest shareholder, etc. stipulated in the Enforcement Rules;

2. Case where an unlisted corporation (including a group or an association of which equity securities are not listed on the KOSPI Market and other issuers; the same shall apply hereinafter in this Article) or the key investors of the unlisted corporation make an investment in kind in a common-stock-listed corporation using the equity securities of the relevant unlisted corporation, and consequently there is a change in the largest shareholder, etc. stipulated in the Enforcement Rules. Provided that this provision shall apply only to the case where the amount of equity securities invested in kind is 10/100 or more of the total asset of the common-stock-listed corporation as of the latest business year (referring to the business year immediately preceding the business year to which the date when the disclosure on the issuance of new stocks concerned was made pursuant to the Disclosure Regulation belongs);

3. Case where a common-stock-listed corporation issued new stocks by way of third-party allotment and consequently the largest shareholder has been changed. In such cases, if a corporation undergoing rehabilitation procedures (including the simplified rehabilitation procedures; the same hereinafter) pursuant to the Debtor Rehabilitation and Bankruptcy Act (referred to as the “rehabilitation company” hereinafter in this Article) issues new stocks several times by way of third-party allotment for the purpose of converting investment in accordance with the rehabilitation plan, all of the relevant newly issued stocks may be subject to mandatory holding, and the period of mandatory holding shall apply for each case of new stock issuance;

4. Case where a common-stock-listed corporation which was designated as an administrative issue as of the application date for supplementary listing for the reasons such as capital impairment noted in [§47(1)3] and market capitalization shortage noted in [§47(1)9], has issued new stocks by way of third-party allotment; and

5. Case where a common-stock-listed corporation which underwent the preliminary listing review for backdoor listing at the time of submitting the material fact report concerning the acquisition of material business or asset, has issued new stocks by way of third-party allotment to the person who, among the key investors of a corporation targeted for the backdoor listing, has acquired the management right through the backdoor listing concerned, within six (6) months from the date when the relevant material fact report was submitted.

(2) Notwithstanding paragraph (1), in the case of falling under any of the following subparagraphs, the mandatory holding under this Article may not be applicable thereto: (Amended on June 18, 2014; August 28, 2019)

1. For the mandatory holding under subparagraphs 1 and 2 of paragraph (1), where the relevant transaction falls under backdoor listing;

2. For the mandatory holding under subparagraphs 3 and 4 of paragraph (1),

where less than 100 stocks have been allocated by way of third-party allotment;  
and

3. For the mandatory holding under subparagraph 3 of paragraph (1), where a person other than the changed largest shareholder has been allocated with the stocks newly issued by the rehabilitation company by way of third-party allotment for the purpose of conversion into investment.

(3) With respect to the mandatory holding under paragraph (1), each applicant for supplementary listing shall submit to the Exchange the supplementary documents stipulated in the Enforcement Rules at the time of submitting the application for supplementary listing.

#### **§45. Application for Shelf-listing**

(1) Each common-stock-listed corporation which has issued subscription warrants, bonds with warrants, or convertible bonds or which has granted the stock options may apply for shelf-listing of the entire new stocks to be issued as a result of exercising subscription and conversion rights or stock options. In such cases, the applicant for shelf-listing shall submit to the Exchange the application for shelf-listing stipulated in the Enforcement Rules before the date on which such rights will start to be exercised.

(2) Each common-stock-listed corporation which has filed an application for shelf-listing noted in paragraph (1) shall, when intending to apply for supplementary listing of the new stocks which have been issued through the exercise of the rights concerned, submit to the Exchange a written notice on issuance of new stocks and the supplementary documents stipulated in the Enforcement Rules.

#### **§46. Listing Change**

(1) Each common-stock-listed corporation shall, when falling under any of the following subparagraphs, submit the application for listing change and the supplementary documents stipulated in the Enforcement Rules:

1. Case where the issue, par value, quantity, etc. of common stocks has been changed. Provided that a case where capital stock has increased shall be excluded; and

2. Case where the par value stock has been converted to no par value stock or vice versa

(2) The application for listing change noted in paragraph (1) shall be submitted without delay after the reasons for the listing change concerned take effect.

(3) In cases where a person intending to apply for listing change due to changes in

the name of issue, par value or quantity of common stocks, has already listed the securities noted in each of the following subparagraphs, the filing of an application for listing change on those securities may be replaced with the stating of the details pertaining to the changes of the securities concerned in the application for listing change: (Amended on June 18, 2014)

1. Different classes of stocks;
2. Debt securities;
3. Subscription warrants; and
4. Subscription right certificates.

## **Section 5. Designation as Administrative Issue and Delisting**

### **§47. Designation of Administrative Issues**

(1) The Exchange shall, when a common-stock-listed corporation falls under any of the following subparagraphs, designate the concerned common stock as an administrative issue: (Amended on June 18, 2014; November 4, 2015; December 20, 2017; June 26, 2019, December 7, 2022)

1. Failure to submit regular reports: Case where annual reports, half-yearly reports or quarterly reports have not been submitted by the statutory deadline;
2. Auditor's opinion not up to standards: Case where the auditor's audit opinion or review opinion falls under any of the following items:
  - (a) Where the audit opinion on the individual financial statement or the consolidated financial statement for the latest business year is qualified due to the limitation on the scope of the audit; and
  - (b) Where the auditor's opinion on the individual financial statement or the consolidated financial statement for the latest half-year is adverse opinion or disclaimer of opinion;
3. Impairment of capital stock: Case where at least 50/100 of the capital stock has been impaired as of the end of the latest business year. Provided that, in the case of a corporation that owns a subsidiary, the requirement concerned shall apply on the basis of the capital stock and total capital (excluding non-controlling interests) on the consolidated financial statements;
4. Stock distribution not up to standards: Case where the situation of common stock distribution as of the end of the latest business year falls under any of the following items. Provided that this provision shall not apply to a corporation of which the largest shareholder is the government, etc. or a public corporation:

(a) Where the number of general shareholders is less than two hundred (200); and

(b) Where the total number of the stocks held by general shareholders is less than 5/100 of the floating stocks. Provided that this provision shall not apply to the cases falling under any of the followings:

(i) Where the total number of stocks held by general shareholders is two million (2,000,000) or more and exceeds the quantity specified in the Enforcement Rules; and

(ii) Where the requirement for public offerings made simultaneously in Korea and overseas noted in [§29(1)3(a)(iv)] was applied at the time of initial listing and the total number of stocks owned by general shareholders is seven hundred thousand (700,000) or more.

5. Trading volume not up to standards: Case where the average monthly trading volume based on common stocks for a semi-annual period is less than 1/100 of the floating stocks as of the end of the relevant semi-annual period. Provided that this provision shall not apply to the cases falling under any of the followings:

(a) Where the average monthly trading volume is twenty thousand (20,000) shares or more;

(b) Where the total number of stocks held by general investors is 20/100 or more of the floating stocks, and the number of relevant general shareholders is three hundred (300) or more;

(c) Case of an initially listed corporation. Provided that it shall be limited to the semi-annual period which includes the date of initial listing;

(d) Where the stock was suspended from trading for 50/100 or more of the total number of trading days during the relevant semi-annual period; and

(e) Where the agreement for liquidity provision [limited only to an agreement of which period is at least six (6) months] has been entered into pursuant to [§20-3(1)] of the Business Regulation as of the end of the relevant semi-annual period.

6. Corporate governance not up to standards: Case where it fails to comply with the obligation to appoint outside directors under [§77] or to establish the audit committee under [§78] and falls under any of the following items. Provided that, in the event that the reason for not meeting the corporate governance standards was that the quorum for the general meeting of shareholders was not met, and

the Exchange recognizes it, taking into comprehensive consideration the fact that the common-stock-listed corporation has made the efforts specified in the Enforcement Rules, such as the introduction of an electronic voting system for the purpose of establishing the general meeting of shareholders, the relevant common stock shall not be designated as an administrative issue:

(a) Where the number of outside directors as shown in the annual report of the latest business year is fewer than the number specified in [§77(1)];

(b) As an instance where, according to the annual report of the latest business year, the number of outside directors fell below the requirements stipulated in [§77(1)] for such reasons as resignation or death, the case where the required number of outside director is not elected at the general meeting of the shareholders held for the first time since the occurrence of such an instance;

(c) Where, according to the annual report of the latest business year, the audit committee has not been established pursuant to [§78]; and

(d) As an incidence where, according to the annual report of the latest business year, the number of audit committee members fell below the requirements for composition of the committee stipulated in [§78] for such reasons as resignation or death, the case where the required number of outside director is not elected at the general meeting of the shareholders held for the first time since the occurrence of such an incidence.

7. Sales amount not up to standards: Case where the sales amount (for a holding company, it shall be based on the sales amount stated in the consolidated financial statement) is less than KRW 30 billion. Provided that this subparagraph shall not apply in any case of the following items: (Amended on July 9, 2025)

(a) In the case where the average market capitalization of listed common stocks in the latest fiscal year is KRW 100 billion or more; or (July 9, 2025)

(b) In the case of a corporation newly listed upon satisfying the business performance requirements stipulated in [§29(1)4(d) or (e)], for the five (5) consecutive fiscal years beginning with the fiscal year following the fiscal year that includes the listing date. [July 9, 2025]

8. [Deleted on December 7, 2022]

9. Market capitalization not up to standards: Case where the market capitalization of a corporation that has listed its common stocks is less than KRW 50 billion for thirty (30) days (when calculating the number of days, it shall be based on the trading day of the relevant common stock). (Amended on July 9, 2025)

10. Application for bankruptcy: Case where an application for bankruptcy has been filed in accordance with the Debtor Rehabilitation and Bankruptcy Act. Provided that any case that the Exchange deems the designation as administrative issue is not necessary in consideration of public interests and investor protection shall be excluded.

11. Application for commencement of rehabilitation procedures: Case where an application for commencement of rehabilitation procedures has been filed pursuant to the Debtor Rehabilitation and Bankruptcy Act.

12. Noncompliance with disclosure obligations: Case where the demerit points have been imposed pursuant to the Disclosure Regulation, and the total demerit points accumulated within the latest one (1) year including such demerit points amount to fifteen (15) points or more.

(a) [Deleted on November 4, 2015]

(b) [Deleted on November 4, 2015]

(c) [Deleted on November 4, 2015]

13. Occurrence of cause for delisting: Case of falling under any cause of delisting pursuant to each subparagraph (excluding subparagraphs 10 and 12) of [§48(1)]

14. Other cases where the Exchange deems that designation as administrative issue is necessary for the sake of public interest and investor protection

(2) The Exchange shall, when falling under any of the following cases after the stock was designated as administrative issue pursuant to paragraphs (1) through (3), release the stock concerned from such designation without delay: (Amended on December 7, 2022)

1. Cases noted in subparagraphs 1 through 9 and 14 of paragraph (1): When it has been confirmed that the causes for designation as administrative issue have been resolved according to the annual reports, etc. Provided that, in case of falling under any of the following items, it shall be deemed that the causes for designation as administrative issue have been resolved:

(a) In the case of falling under paragraph (1)1;

(i) When the half-yearly report or annual report was submitted after failing to submit the quarterly report of the business year concerned

(ii) When the annual report was submitted after failing to submit the half-

yearly report,

(iii) When the annual report was submitted within ten (10) days after failing to submit the annual report

(b) In the case of falling under paragraph (1)5: When an agreement for liquidity provision [limited to a case where the period of such an agreement is at least six (6) months] has been entered into pursuant to [§20-3(1)] of the Business Regulation as of the end of semiannual period

2. The cases mentioned in paragraph (1)10: When there has been a court decision to dismiss the application for bankruptcy;

3. The cases noted in paragraph (1)11: When there has been a court decision to terminate the rehabilitation procedures;

4. The cases noted in paragraph (1)12: When one (1) year has elapsed since the date of designation as administrative issue. Provided that, in cases where at least fifteen (15) demerit points have been accumulated due to the additional imposition of demerit points as a result of the designation as an unfaithful disclosure corporation while recently being designated as administrative issues, it shall be one (1) year from the date of additional accumulation of fifteen (15) demerit points;

5. The cases noted in paragraph (1)13: When the cause for delisting pursuant to each subparagraph (excluding subparagraphs 10 and 12) of [§48(1)] is deemed to have been resolved.

(3) In applying paragraph (1), in cases where a listed special purpose acquisition company has merged with an unlisted corporation, the Exchange shall apply subparagraphs 4(a) and 7 of paragraph (1) to the company surviving the merger on the basis of the annual report of the business year following the business year which includes the registration date of the merger and paragraph (1)5 shall apply starting from the semiannual period following the semiannual period which includes the registration date of the merger.

(4) The Exchange shall stipulate the methods of applying the reasons for designation as administrative issues, the time of designating as administrative issues and releasing therefrom, and other matters necessary in the Enforcement Rules.

#### **§48. Delisting**

(1) In cases where a common-stock-listed corporation falls under any of the following subparagraphs, the Exchange shall delist the relevant common stock: (Amended on June 18, 2014; November 4, 2015; June 26, 2019, December 7, 2022)



1. Failure of submitting regular reports: In the case of falling under any of the following items, with regards to the annual, semiannual, or quarterly reports:

(a) Case where, while being designated as administrative issue pursuant to [§47(1)1] due to the failure of submitting an annual report, the annual report concerned was not submitted within ten (10) days from the statutory deadline for submission; and

(b) Case where, while being designated as administrative issue pursuant to [§47(1)1] due to the failure of submitting a quarterly report or a semiannual report, an additional annual report, a half-yearly report, or a quarterly report was not submitted by the statutory deadline for submission

2. Auditor's opinion not up to standards: Case where the auditor's audit opinion or review opinion falls under any of the following items:

(a) Where the audit opinion on the individual financial statement or the consolidated financial statement for the latest business year is adverse opinion or disclaimer of opinion; and

(b) Where the auditor's opinion on the individual financial statement or the consolidated financial statement for the latest business year is qualified opinion due to the limitation of the scope of the audit while being designated as administrative issue pursuant to [§47(1)2(a)]

2-2. Auditor's opinion not up to standards for two (2) consecutive years, etc.: In the case of falling under any of the following in the state without resolving the auditor's opinion that is not up to standards as mentioned in subparagraph 2: [July 9, 2025]

(a) Where the audit opinion on the individual financial statement or the consolidated financial statement for the latest business year is adverse opinion, disclaimer of opinion, or qualified opinion due to the limitation of the scope of the audit; or [July 9, 2025]

(b) Where the annual report for the latest business year is not submitted within ten (10) days from the following day of the statutory deadline for submission. [July 9, 2025]

3. Capital impairment: Case where the entire amount of capital stock as of the end of the latest business year has been impaired. In such cases, for a corporation owning a subsidiary, the criterion concerned shall apply on the basis of the capital stock and total equity (excluding non-controlling interests) on the consolidated financial statements: (Amended on July 9, 2025)

4. Share distribution not up to standards: Case where the situation of common stock distribution falls under any of the following items:

(a) Where the number of general shareholders as of the end of the latest business year is less than two hundred (200) while being designated as administrative issue pursuant to [§47(1)4(a)] due to the shortage of general shareholders; and

(b) Where the total number of the stocks held by general shareholders is less than 5/100 of floating stocks while being designated as administrative issue pursuant to the proviso to [§47(1)4(b)] due to the shortage of stake owned by general shareholders. In such cases, exceptional provisions in the proviso to [§47(1)4(b)] shall apply *mutatis mutandis*.

5. Trading volume not up to standards: Case where the average monthly trading volume of common stocks is less than 1/100 of the floating stocks as of the end of semiannual period following the semiannual period when the common stocks concerned were designated as administrative issue pursuant to [§47(1)5] due to the shortage of trading volume. Provided that this provision shall not apply to the cases falling under any of the items under [§47(1)5].

6. Corporate governance not up to standards: Case where, while being designated as administrative issue pursuant to [§47(1)6] due to noncompliance with the obligations for appointing outside directors and establishing the audit committee, it fails to resolve the relevant causes even in the latest business year. Provided that, in cases where the reason for not meeting the corporate governance standards was that the quorum for the general meeting of shareholders was not met, the relevant grounds for delisting shall not apply thereto.

7. [Deleted on December 7, 2022]

8. [Deleted on December 7, 2022]

9. Market capitalization not up to standards: Case where the market capitalization of a corporation that has listed its common stocks does not satisfy any of the following items for ninety (90) days (when calculating the number of days, it shall be based on the trading day of the relevant common stock; the same hereinafter in this Article) after being designated as administrative issue pursuant to [§47(1)9] due to the shortage of market capitalization: (Amended on July 9, 2025)

(a) The market capitalization shall be at least KRW 50 billion for at least ten (10) consecutive days; and (Amended on July 9, 2025)

(b) The number of days on which the market capitalization is at least KRW

50 billion shall be at least thirty (30) days. (Amended on July 9, 2025)

10. Dissolution: Case where the causes for dissolution pursuant to the laws have occurred

11. Final default or suspension of transactions with banks: Cases where a note or check issued has been managed as the final default case or the transactions with banks have been suspended. Provided that this provision shall not apply to the cases stipulated in the Enforcement Rules with respect to the corporate restructuring promotion, etc.

12. Inclusion into a holding company, etc.: Cases where the largest shareholder, etc. owns the entire stocks issued, for example, like the case where a common-stock-listed corporation becomes a wholly-owned subsidiary of a holding company (referring to a subsidiary for which a holding company owns the entire number of stocks issued by such a subsidiary)

13. Restriction on transfer of stocks: Cases where the transfer of stocks is restricted. Provided that this provision shall not apply to the cases where the restriction on stock transfer is deemed not to impede the trading in the KOSPI Market, as the restriction is imposed by laws, regulations, articles of incorporation, etc.

14. Noncompliance with the backdoor listing criteria: Cases that fall under any of the following items, with regards to backdoor listing:

(a) Where the procedure for the backdoor listing of an unlisted corporation that has failed to pass the backdoor preliminary listing review were completed; and

(b) Where the procedure for the backdoor listing has been completed before the submission of application for backdoor preliminary listing review. Provided that, in cases where the report on the change of the largest shareholder pursuant to the Disclosure Regulation is filed within six (6) months from the submission of the material fact report on the acquisition of material business or asset and the preliminary listing review was conducted after the submission of application for backdoor preliminary listing review within one (1) month from the date of the reporting concerned, this provision shall not apply.

(2) In cases where, as a result of the listing maintenance review conducted for a common-stock-listed corporation falling under any of the following subparagraphs pursuant to [§49], the Exchange deems it necessary, comprehensively considering the corporate sustainability, management transparency and public interests and investor protection, it shall delist the relevant common stock: (Amended on June 18, 2014; November 4, 2015, December 7, 2022)

1. Where the capital stock is impaired by 50/100 or more of the capital stock as of the end of the latest business year while the corporation has been designated as an administrative issue pursuant to [§47(1)3] due to the impairment of capital stock. In such cases, for a holding company, the criterion concerned shall apply on the basis of the capital stock and total equity (excluding non-controlling interests) on the consolidated financial statements.

2. Sales amount not up to standards: Where the sales amount (for a holding company, it shall be based on the sales amount stated in the consolidated financial statement) fails to reach KRW 30 billion as of the end of the latest business year while the corporation has been designated as an administrative issue pursuant to [§47(1)7]. Provided that this subparagraph shall not apply if the average market capitalization of listed common stocks in the latest fiscal year is KRW 100 million or more. (Amended on July 9, 2025)

3. Where there is a court decision to dismiss the commencement of rehabilitation procedures, to cancel the commencement of rehabilitation procedures, not to approve the rehabilitation plan and to abolish the rehabilitation procedures, etc. while the corporation has been designated as administrative issue pursuant to [§47(1)11] due to the commencement of rehabilitation procedures. Provided that, in the case of the application for commencement of simplified rehabilitation procedures, the case where the decision has been made on commencement of rehabilitation procedures pursuant to Article 293-5(2)2(a) of the Debtor Rehabilitation and Bankruptcy Act or where the rehabilitation procedures continue pursuant to paragraph (4) of the same Article shall be excluded.

4. Where a corporation that has been designated as administrative issue pursuant to [§47(1)12] due to the breach of disclosure obligation falls under any of the following items:

(a) Case of accumulating at least 15 demerit points due to the unfaithful disclosure during the recent one (1) year period; and

(b) Case of having been designated as an unfaithful disclosure corporation as a result of breaching the disclosure obligation on the matters that may have a material impact on business operation with intention or by a major mistake.

5. Case where, in relation to the documents submitted for the review of the listing or delisting of stocks, material matters for the protection of investors are found to have been falsely stated or omitted

5-2. Case where the business division to survive of a corporation that survives a division or merger after division under Article 530-2 of the Commercial Act

fails to satisfy any of the following items as of the date of submission of the material fact report related to the relevant division or merger after division. Provided that this shall not apply in cases where the Exchange deems it necessary, such as when a division is necessary for conversion into a holding company: (July 9, 2025)

(a) The equity capital requirement in [§42(2)2(a)] shall be satisfied; [July 9, 2025]

(b) The sales amount requirement in [§42(2)3(a)] shall be satisfied; [July 9, 2025]

(c) The profitability requirement in [§42(2)3(b)] shall be satisfied; or [July 9, 2025]

(d) The auditor's review opinion on the review report regarding financial status, etc. stated in items (a) through (c) shall be unqualified opinion. [July 9, 2025]

6. Case where a common-stock-listed corporation falls under any of the following items. In such cases, detailed criteria for decision shall be stipulated in the Enforcement Rules:

(a) Where it is recognized that capital increase with consideration or spin-off, etc. have been conducted to evade delisting;

(b) Where there has been a corporate disclosure relating to the embezzlement, misappropriation, etc. that would cause significant financial losses to the relevant corporation, or such fact was confirmed;

(c) Where the fact that the financial statement was prepared in major violation of the Korea International Financial Reporting Standard is confirmed;

(d) Where the main business has been suspended;

(e) Where the fact that a common-stock-listed corporation falling under the delisting criteria under paragraph (1)3 due to capital impairment has resolved the relevant cause of delisting by submitting the audit report stipulated in the Enforcement Rules by the statutory deadline for submission of annual report is confirmed; and

(f) Other cases where the delisting is deemed necessary for public interests and investor protection.

(3) Any common-stock-listed corporation which falls under the criteria of delisting

noted in each of the following subparagraphs and consequently was notified of such fact by the Exchange, may raise an objection to the delisting pursuant to [§25]. (Amended on June 18, 2014; November 4, 2015, December 7, 2022)

1. Reason of the failure of submitting the regular report noted in paragraph (1)1;
2. The auditor's opinion not up to standards noted in paragraph (1)2;
3. The stock distribution not up to standards noted in paragraph (1) 4;
4. The trading volume not up to standards noted in paragraph (1)5;
5. The corporate governance not up to standards noted in paragraph (1)6;
6. [Deleted on November 4, 2015]
7. [Deleted on November 4, 2015]
8. The default or suspension of trading with banks noted in paragraph (1)11;
9. The stock transfer restriction noted in paragraph (1)13;
10. The noncompliance with the backdoor listing criteria noted in paragraph (1)14; and
11. The listing maintenance review noted in each subparagraph of paragraph (2).

(4) The application methods for the causes of delisting noted in paragraphs (1) and (2) and other matters necessary shall be stipulated in the Enforcement Rules.

#### **§49. Listing Maintenance Review**

(1) When it was confirmed the fact that a common-stock-listed corporation falls under any subparagraph of [§48(2)], the Exchange shall make a decision on whether or not the corporation concerned is subject to the deliberation of the Corporate Review Committee within fifteen (15) days (based on business days; the same shall apply hereinafter in this Paragraph) from the date of confirmation. Provided that, in cases where additional investigation is needed to decide whether or not the corporation is subject to the review, the Exchange may extend the period concerned up to fifteen (15) additional days.

(2) When the decision has been made that a common-stock-listed corporation is subject to the deliberation of the Corporate Review Committee pursuant to paragraph (1), the Corporate Review Committee shall be convened without delay to examine if the corporation concerned maintains listing eligibility or if the period for improvement has been granted and other matters stipulated in the Enforcement Rules. (Amended on June 18, 2014)

(3) If it is deemed necessary for the review or the deliberation noted in paragraphs (1) and (2), the Exchange may request the common-stock-listed corporation concerned to submit the relevant materials or present opinion statements of the parties concerned or conduct an on-site investigation.

(4) Upon expiry of the improvement period given pursuant to paragraph (2), the Exchange shall convene the Corporate Review Committee and examine if the listing eligibility is maintained by taking into account the degree of improvement plan implementation, etc. Provided that, in the case of falling under any of the following Items, the Exchange may conduct deliberation before the improvement period expires: [June 18, 2014]

1. Where the improvement plan is not implemented;
2. Where the corporation concerned is not deemed to be sustainable as a going concern, for example, the incidents of not owning assets needed for business activities or business activities having been suspended; and
3. Where an application is filed by the common-stock-listed corporation concerned.

(5) If it is deemed necessary for management transparency, management stability and investor protection, the Exchange may request shareholders, etc. (referring to those who hold the securities falling under each item of [§2(1)9]) of a common-stock-listed corporation, which is subject to the deliberation of the Corporate Review Committee pursuant to paragraph (1), to hold the stocks, etc. mandatorily for a specific period of less than three (3) years from the date when the trading suspension is lifted. [March 16, 2022]

(6) The criteria and procedures of listing maintenance review under paragraphs (1) through (5) and other necessary matters shall be stipulated in the Enforcement Rules. (Amended on June 18, 2014; March 16, 2022)

(7) The Exchange shall separately establish the matters necessary for the composition and operation of the Corporate Review Committee.

#### **§50. Special Provisions on Designation as Administrative Issue and Delisting**

(1) In the case of a bank (limited to common-stock-listed corporations) whose major shareholder under Subparagraph 6(b) of Article 2 of the Act on Corporate Governance of Financial Companies is the Government, etc., as a result of the investment of public funds in accordance with the Special Act on Public Funds Management, the criteria for delisting due to the stock distribution not up to standards noted in [§48(1)4] may not apply as long as it is deemed necessary for the recovery of the public funds. (Amended on March 20, 2019)

(2) In cases where it is deemed essential for the market management due to a natural disaster, war or other sudden changes in economic conditions, the Exchange may not apply the criteria for designation as administrative issue due to the market capitalization not up to standards specified in [§47(1)9] and the delisting criteria specified in [§48(1)9] for a fixed period that the Exchange determines. (Amended

on December 7, 2022)

### **§51. Grace Period before Delisting**

(1) In cases where a common-stock-listed corporation falls under any of the causes for delisting specified in [§48(1)2a] due to the adverse audit opinion or disclaimer of opinion resulting from the uncertainty about the corporation as a going concern, submits the auditor's opinion letter (limited to the letter prepared by the auditor who has prepared the audit report) proving that the causes concerned have been resolved before the commencement of the trading before delisting, the Exchange may postpone the delisting until the statutory deadline for submission of the half-yearly report after undergoing the deliberation at the listing and disclosure committee.

(2) In cases where the auditor's opinion on the semiannual financial statement of a common-stock-listed corporation has been granted the grace period before delisting, is the unqualified or qualified opinion (excluding the case of qualified opinion due to the limitation of audit scope), the Exchange shall deem that the causes for delisting concerned have been resolved.

(3) In cases where a common-stock-listed corporation that falls under a case of noncompliance with the backdoor listing criteria noted in [§48(1)14], makes a resolution or a decision to cancel the transaction that falls under a backdoor listing noted in each subparagraph of [§32] before the trading before delisting is commenced, the Exchange may defer the delisting until the implementation date of the relevant resolution or decision.

(4) In cases where the fact that a common-stock-listed corporation of which delisting was deferred pursuant to paragraph (3) has implemented the resolution or the decision concerned was confirmed, the Exchange shall deem that the causes for delisting have been resolved.

(5) In cases where a corporation that listed its common stocks corresponding to the delisting requirements stipulated in [§48(1)2-2(a)] satisfies all requirements in the following subparagraphs and is determined that the delisting of the corporation may have a significant impact on the national economy, the Exchange may, after deliberation by the Listing and Disclosure Committee, postpone delisting for a period of up to one (1) year. In this case, the procedures under [§25(1) through (5)] shall not be conducted in relation to the auditor's opinion not up to standards under [§48(1)2]. [July 9, 2025]

(a) The corporation must have fallen under [§48(1)2-2(a)] due to the uncertainty regarding the going concern assumption: [July 9, 2025]

(b) The corporation must have been approved for a rehabilitation plan under the Debtor Rehabilitation and Bankruptcy Act or have entered into an



agreement for the implementation of a corporate improvement plan under the Corporate Restructuring Promotion Act; [July 9, 2025]

(c) An auditor's confirmation stating that the audit opinion can be changed after the rehabilitation plan or corporate improvement plan under subparagraph 2 is completed must have been submitted before the start of trading before delisting. [July 9, 2025]

(6) In cases where the audit opinion on the audit report of a corporation that listed its common stocks whose delisting has been postponed pursuant to paragraph (5) is changed to unqualified opinion for the relevant fiscal year, or the audit opinion on the audit report for the next fiscal year is unqualified opinion, the Exchange shall deem the reason for the relevant delisting to have been resolved. [July 9, 2025]

### **CHAPTER III. FOREIGN STOCKS, ETC.**

#### **§52. Application for Preliminary listing review and Initial Listing**

(1) The provisions of [§26] concerning listing eligibility of common stocks, [§27] concerning mandatory holding and [§28] concerning application for initial listing shall apply *mutatis mutandis* to the preliminary listing review, mandatory holding, and application for initial listing with respect to the initial listing of foreign stocks, etc. (Amended on August 28, 2019)

(2) Notwithstanding paragraph (1), the Exchange may not request for mandatory holding to any person who falls under any of the following subparagraphs: (Amended on June 18, 2014; August 28, 2019; March 16, 2022)

1. The largest shareholder, etc. of an applicant for initial listing in cases where the relevant applicant for initial listing is a corporation listed on an overseas securities market or a KOSDAQ-listed corporation for which the period of mandatory holding under the KOSDAQ Market Listing Regulation has elapsed as at the date of application for initial listing;
2. Any person who has acquired stocks issued by way of third-party allotment by a corporation noted in paragraph (1) within one (1) year retroactive from the application date for preliminary listing review or who has acquired the stocks owned by the largest shareholder, etc. of the corporation concerned during the same period; and
3. Any person who, as a specially related person of the largest shareholder of the applicant for initial listing, holds less than one hundred (100) shares or any person who falls under [§27(3)1d]

#### **§53. Review Requirements for Initial Listing**

(1) With respect to the initial listing of foreign stocks, etc., the formality review requirements for the initial listing of common stocks noted in [§29] and the qualitative review requirements noted in [§30] shall apply *mutatis mutandis*. Provided that the methods for application shall be as noted in each of the following subparagraphs: (Amended on June 18, 2014)

1. The requirement for business size specified in [§29(1)2]: The “total number of common stocks to be listed” shall be “the number of foreign stocks, etc. to be publicly offered in Korea”;

2. The share distribution requirement specified in [§29(1)3]: The criteria noted in each of the following items shall apply *mutatis mutandis*.

(a) In cases where an applicant for initial listing is a corporation listed on an overseas stock market, only the general shareholder requirement noted in [§29(1)3(c)] shall apply. In such cases, the method for calculating the number of shareholders shall be stipulated in the Enforcement Rules.

(b) The stocks acquired by a listing sponsor pursuant to [§13] shall be excluded from the total number of stocks issued.

3. The business size requirement noted in [§29(1)2], the business performance requirement noted in [§29(1)4] and the audit opinion requirement in [§29(1)5]: The requirements concerned shall apply based on the consolidated financial statement. Provided that, in cases where an applicant for initial listing has prepared the financial statement in accordance with the K-IFRS, the provisions of [§29(1)] concerning the initial listing of common stocks shall apply as they are;

4. [Deleted on June 18, 2014]

5. The qualitative review requirement specified in [§30]: Qualitative review may be conducted by taking into consideration the laws and regulations, the language used, the time difference and the geographical conditions of the home country, and the methods noted in [§30(1)3] shall apply to the requirements specified in each subparagraph of [§30(2)].

(2) Notwithstanding paragraph (1), in case where an applicant for initial listing is a foreign company that satisfies all the following subparagraphs, the qualitative review requirement noted in [§30] may not apply, and, of the business performance requirements specified in [§29(1)4], only the requirements on the sales amount and profitability noted in [§29(1)4(a)] shall apply: (Amended on June 26, 2019)

1. At least five (5) years shall have elapsed since the listing on a recognized overseas securities market;

2. The base market capitalization (referring to the amount determined in accordance with [§18(5)(c)]) of the foreign stocks, etc. that have been listed on a recognized overseas securities market as of the application date for preliminary listing review shall be at least KRW 2 trillion;

3. The business performance shall satisfy all the following items. In such cases, the matters needed for the application thereof shall be stipulated in the Enforcement Rules; and

(a) Sales: It shall be at least KRW 2 trillion for the latest business year and at least KRW 1 trillion on average for the recent three (3) business years (It shall be three (3) calendar years in case where one (1) business year is shorter than one (1) calendar year; the same shall apply hereinafter in this subparagraph)

(b) Profitability: The income before tax from continuing operations shall be at least KRW 300 billion for the latest business year, and the sum of income before tax from continuing operations for the latest three (3) business years shall be at least KRW 700 billion.

4. No incidents of disciplinary actions, etc. taken from an overseas stock market on which the stocks are listed, the regulator and the exchange of the home country shall have occurred for the latest three (3) years.

(3) In the case of foreign holding companies outside recognized locations, the requirements for holding companies controlling foreign companies shall apply *mutatis mutandis*. [June 26, 2019]

#### **§54. Backdoor Listing**

With respect to the backdoor listing of a foreign corporation listed stocks, etc., the provisions of [§32] through [§36] concerning backdoor listing of common stocks and [§52(2)] concerning exemption from mandatory holding for foreign stocks, etc. shall apply *mutatis mutandis*. In such cases, the review requirements for backdoor listing noted in [§36] shall follow the manner specified in each subparagraph of [§53(1)] regarding the review requirements for initial listing of foreign stocks, etc. (Amended on August 28, 2019)

#### **§55. Supplementary Listing**

(1) With respect to the supplementary listing of foreign stocks, etc., the provisions of [§43] concerning supplementary listing of foreign stocks and [§44] concerning mandatory holding shall apply *mutatis mutandis*. In such cases, the additional listing of DRs of foreign stocks as a result of the conversion of foreign stocks to the DRs as stipulated the Enforcement Rules shall be included in the category of supplementary listing. (Amended on August 28, 2019)

(2) Any foreign stocks, etc.-listed corporation intending to conduct supplementary listing of foreign stocks, etc. by way of capital increase with consideration shall consult with the Exchange over the procedures and time schedule of listing, etc. beforehand.

#### **§56. Listing Change**

(1) With respect to the listing change of foreign stocks, etc., the provisions of [§46] regarding the listing change of common stocks shall apply *mutatis mutandis*.

(2) Notwithstanding paragraph (1), the cases where the number of DRs of foreign stocks has changed as a result of conversion of foreign stocks into DRs or DRs into foreign stocks shall be excluded from the criterion of application for listing change.

(3) In cases where any person, who applies for listing change due to the change in the name of issue of foreign stocks, etc., has already listed foreign debt securities, the application for listing change thereof may be replaced with the recording of the changed matters of the debt securities concerned in the application form for the listing change of foreign stocks, etc.

#### **§57. Designation of Administrative Issues**

(1) With respect to the designation of foreign stocks, etc. as administrative issue, the provisions of [§47] concerning the designation of common stocks as administrative issue shall apply *mutatis mutandis*. Provided that the method of application shall follow the manner noted in each of the following subparagraphs: (Amended on June 8, 2016; August 28, 2019, December 7, 2022)

1. The failure of submitting regular reports noted in [§47(1)1]: With regard to the criteria and methods for submission of the annual, semiannual, and quarterly reports, the special cases for foreign corporations, etc. under Article 165 of the Act shall apply;

2. The auditor's opinion not up to standards noted in [§47(1)2]: It shall apply based on the consolidated financial statement. Provided that, in cases where a foreign corporation listed stocks, etc. has prepared financial statements in accordance with the K-IFRS, it shall be based on the individual financial statement or the consolidated financial statement;

3. The capital impairment noted in [§47(1)3]: It shall be based on the application methods noted in each of the following items:

(a) It shall apply based on the consolidated financial statement. Provided that, in cases where a foreign corporation listed stocks, etc. that does not own a subsidiary, has prepared financial statements in accordance with the K-IFRS, it shall be based on the individual financial statement; and

(b) In cases where it is impossible to judge whether a foreign company that has issued no par value stocks is in the status of capital impairment on the basis of equity capital, the criterion concerned shall not apply.

4. The stock distribution not up to standards noted in [§47(1)4]: It shall follow the application methods noted in each of the following items:

(a) The number of general shareholders, number of stocks held by general shareholders and number of floating stocks shall be calculated based on the number of stocks deposited in Korea and the register of holders (referring to the register of holders under the Electronic Securities Act; the same hereinafter); and

(b) This requirement shall not apply to a corporation that has listed foreign stocks, etc. on an overseas securities market.

5. The trading volume not up to standards noted [§47(1)5]: The number of general shareholders, the number of stocks held by general shareholders and the number of floating stocks shall be determined on the basis of the number of stocks deposited in Korea and the register of beneficial holders prepared by the KSD;

6. The sales amount not up to standards noted in [§47(1)7]: It shall apply based on the consolidated financial statement. Provided that, in cases where a foreign corporation listed stocks, etc. that is not a foreign holding company has prepared financial statements in accordance with the K-IFRS, it shall be based on the individual financial statement.

7. [Deleted on December 7, 2022] not up to

8. The market capitalization not up to standards [§47(1)9]: It shall follow the application methods noted in each of the following items:

(a) In the case of a corporation that has listed DRs of foreign stocks, the market capitalization shall be determined on the basis of the number of listed DRs of foreign stocks; and

(b) This requirement shall not apply to a corporation that has listed foreign stocks, etc. on an overseas securities market.

9. The application for bankruptcy noted in [§47(1)10] and application for commencement of rehabilitation procedures noted in [§47(1)11]: It shall apply in cases where the application equivalent to rehabilitation or bankruptcy procedures according to laws and regulations in the home country has been filed.

(2) In cases where a foreign corporation listed its stocks, etc. falls under any of the following subparagraphs in addition to paragraph (1), the Exchange shall designate the foreign stocks, etc. concerned as administrative issue. In such cases, if the fact that the cause of designation as administrative issue has been resolved is confirmed according to the annual report, etc., the Exchange shall release the stocks concerned from the designation as administrative issue without delay: (Amended on June 26, 2019)

1. Case where it has changed its accounting standards to other type of standards in breach of [§11(3)]. Provided that the case where the accounting standards have been changed into the one noted in each subparagraph of [§11(2)] shall be excluded; and

2. Case where it was confirmed that the auditor was appointed, substituted, or dismissed in breach of [§15], and that [§79(6)] was breached.

## **§58. Delisting**

(1) With respect to the delisting of foreign stocks, etc., the provisions of [§48] concerning the delisting of common stocks and [§49] concerning the listing maintenance review shall apply *mutatis mutandis*. Provided that the methods for application shall follow the manner noted in each of the following subparagraphs: (Amended on June 18, 2014; June 8, 2016; August 28, 2019, December 7, 2022)

1. The failure of submitting regular reports noted in [§48(1)1]: With regard to the criteria and methods for submission of the annual, semiannual, and quarterly reports, the special cases for foreign corporations, etc. under Article 165 of the Act shall apply;

2. The auditor's opinion not up to standards noted in [§48(1)2]: It shall apply based on the consolidated financial statement. Provided that, in cases where a foreign corporation listed stocks, etc. has prepared financial statements in accordance with the K-IFRS, it shall be based on the individual financial statement or the consolidated financial statement;

3. The capital impairment noted in [§48(1)3] and [§48(2)1]: It shall be based on the application methods noted in each of the following items:

(a) It shall apply based on the consolidated financial statement. Provided that, in cases where a foreign corporation listed stocks, etc. that does not own a subsidiary has prepared financial statements in accordance with the K-IFRS, it shall be based on the individual financial statement; and

(b) In cases where it is impossible to judge whether a foreign company that has issued no par value stocks is in the status of capital impairment on the basis of equity capital, the criterion concerned shall not apply.

4. The stock distribution not up to standards noted in [§48(1)4]: It shall follow the application methods noted in each of the following items: The number of general shareholders, the number of stocks held by general shareholders and the number of floating stocks shall be calculated based on the number of stocks deposited in Korea and the register of holders.

(a) [Deleted on June 8, 2016]

(b) [Deleted on June 8, 2016]

5. The trading volume not up to standards noted [§48(1)5]: The number of general shareholders, the number of stocks held by general shareholders and the number of floating stocks shall be calculated based on the number of stocks deposited in Korea and the register of holders;

6. [Deleted on December 7, 2022]

7. [Deleted on December 7, 2022]

8. The market capitalization not up to standards noted in [§48(1)9]: In case of a corporation that has listed DRs of foreign stocks, the market capitalization shall be determined on the basis of the number of listed DRs of foreign stocks;

9. The dissolution noted in [§48(1)10] and dismissal of the application for commencement of rehabilitation procedures noted in [§48(2)3]: It shall be based on the criteria of dissolution and rehabilitation procedures pursuant to the laws and regulations of the home country; and

10. The sales amount not up to standards noted in [§48(2)2]: The criterion shall apply based on the consolidated financial statement. Provided that, in the case where a corporation that listed foreign shares, etc., which is not a foreign holdings company, prepared financial statements based on the international accounting standards accepted by Korea, the criterion shall apply based on individual financial statement.

11. The noncompliance with the Korea International Financial Reporting Standard noted in [§48(2)6(c)]: It shall be based on the accounting standards and regulatory measures, etc. pursuant to the laws and regulations of the home country (including the laws and regulations of the location in which key subsidiaries are based, in the case of a foreign holding company).

(2) In cases where a foreign corporation listed stocks, etc. falls under any of the following subparagraphs in addition to paragraph (1), the Exchange shall delist the relevant foreign stocks, etc. Provided that, in the case of falling under subparagraph 2, if it is deemed necessary, as a result of the listing maintenance review conducted

applying [§49] *mutatis mutandis*, comprehensively considering the corporate sustainability, management transparency and other matters such as public interests and investor protection, the Exchange shall delist the relevant foreign stocks, etc. [Proviso on June 26, 2019] (Amended on June 26, 2019)

1. Case where, while having been designated as administrative issue due to the breach of the restriction on the change of accounting standards pursuant to [§57(2)1], the accounting standards have not been changed for alignment with [§11(3)] by the statutory deadline for submission of the annual report or the half-yearly report, which is the initial deadline that comes after the date of designation as administrative issue;
2. Case where, while having been designated as administrative issue pursuant to [§57(2)2], it has failed to resolve the relevant ground for designation as administrative issue by the first statutory deadline for submission of the annual report or the half-yearly report after the date of designation as administrative issue;
3. Case where the number of listed DRs of foreign stocks is less than 100,000 stocks. In such cases, the number of listed stocks shall be determined by factoring in the decrement or the increment in the number of DRs of foreign stocks as a result of conversion of foreign stocks into DRs or conversion of DRs into foreign stocks; and
4. Case where a foreign corporation listed stocks, etc. that has listed foreign stocks, etc. on an overseas securities market falls under the grounds for delisting of the relevant overseas securities market. Provided that this provision shall not apply to a case where the Exchange, when taking into account the impact on domestic investors, deems that maintaining the listing of foreign stocks, etc. is needed.

#### **§59. Special Provisions on Designation of Administrative Issue and Delisting**

The provisions of [§50(2)] concerning special provisions on designation of common stocks as administrative issue and delisting of common stocks and [§51] concerning the grace period for delisting shall apply *mutatis mutandis* to the foreign stocks, etc.

### **CHAPTER IV. DIFFERENT CLASSES OF STOCKS**

#### **§60. Preliminary listing review and Application for Initial Listing**

- (1) With respect to the preliminary listing review, mandatory holding and application for initial listing in relation to initial listing of different class of stocks



(including different class of foreign stocks; the same shall apply hereinafter in this Chapter.), [§26] concerning preliminary listing review of common stocks, [§27] concerning mandatory holding, [§28] concerning application for initial listing shall apply *mutatis mutandis*. Provided that [§27] may not apply *mutatis mutandis* to a case where different class of stocks are initially listed as a result of the re-listing of common stocks after spin-off or merger. (Amended on June 18, 2014; August 28, 2019)

(2) In the case of applying [§27] *mutatis mutandis* pursuant to paragraph (1), only the securities noted in each of the following subparagraphs shall be subject to mandatory holding: (Amended on August 28, 2019; March 16, 2022)

1. Different class of stocks. In such cases, different class of stocks that have been acquired through exercises of rights granted to the different class of stocks, capital increase without consideration (referring only to the capital increase without consideration in the case of conducting capital increase with consideration and capital increase without consideration at the same time), and stock dividends within the period of mandatory holding shall be included;

2. Securities that can be converted into or redeemed with different class of stocks.

(3) Notwithstanding paragraph (1), with respect to the standards for exemption from mandatory holding, the provisions of [§52(2)] concerning foreign stocks, etc. shall apply *mutatis mutandis*. (Amended on June 18, 2014; August 28, 2019)

#### **§61. Review Requirements for Initial Listing**

(1) With respect to each issue of the different class of stocks to be listed, an applicant for the initial listing of different class of stocks shall satisfy the requirements noted in each of the following subparagraphs. In such cases, for any corporation that makes a public offering or secondary distribution after applying for preliminary listing review, the judgment on subparagraphs 3 through 6 shall be made based on the date of application for listing: (Amended on June 18, 2014; November 4, 2015; June 8, 2016; June 26, 2019; July 22, 2020)

1. The applicant for initial listing shall fall under any of the following items:

(a) A common-stock-listed corporation or a foreign corporation listed stocks, etc.;

(b) An applicant for the initial listing of common stocks or foreign stocks, etc.; and

(c) An applicant for the re-listing of common stocks

2. As of the application date for preliminary listing review, the common stocks,

or the foreign stocks of an applicant for initial listing shall not fall under the criteria for designation as administrative issue;

3. The number of stocks to be listed shall be at least one million (1,000,000);

4. The base market capitalization shall be at least KRW 5 billion;

5. At least 25/100 of total number of the relevant different class of stocks shall be held by the general shareholders;

6. The number of general shareholders shall be at least three hundred (300);

7. As of the application date for listing, there shall be at least one (1) year remaining until the end of period of conversion rights or the maturity;

8. There shall be no restriction on stock transfer. Provided that, as a case where the stock transfer is restricted under other laws, regulations (referring to the laws and regulations of the home country in the case of different classes of foreign stocks), articles of incorporation, etc., if the Exchange deems such stock transfer restriction not to impair the trading in the KOSPI Market, this provision shall not apply thereto; and

9. As a case where it is deemed that the issuance of different class of stocks is likely to be misused as a means to defend the management rights or harm the interests of existing shareholders, it shall not fall under the criteria specified in the Enforcement Rules.

(2) The provisions of subparagraphs 1 and 2 of paragraph (1) shall apply also to the period which lasts from the application date for preliminary listing review to the day immediately before the date for initial listing.

## **§62. Supplementary Listing**

With respect to supplementary listing of different class of stocks, the provisions of [§43] concerning supplementary listing of common stocks, [§44] concerning mandatory holding and [§55] concerning supplementary listing of foreign stocks, etc. shall apply *mutatis mutandis*. (Amended on August 28, 2019)

## **§63. Listing Change**

With respect to the listing change of different class of stocks, the provisions of [§46(1) & (2)] concerning listing change of common stocks shall apply *mutatis mutandis*. In such cases, an incidence of having changed the class of different class of stocks shall also be subject to listing change.

## **§64. Designation of Administrative Issues**

(1) In cases where a different class of stock falls under any of the following subparagraphs, the Exchange shall designate the different class of stock concerned as administrative issue. In such cases, subparagraphs 2 through 5 shall apply for each issue of the different class of stock concerned: (Amended on June 26, 2019; July 22, 2020)

1. The issuer's qualification not up to standards: Case where the common stocks or the foreign stocks of a corporation that has listed different class of stocks is designated as administrative issue;
2. The number of general shareholders not up to standards: Case where the number of general shareholders as of the latest business year is less than one hundred (100);
3. The number of listed stocks not up to standards: Case where, as of the end of semiannual period, the number of listed stocks is less than two hundred thousand (200,000);
4. The trading volume not up to standards: Case where the average monthly trading volume in the semiannual period is less than ten thousand (10,000) shares. Provided that this provision shall not apply to the case falling under any of the following items:
  - (a) Case where different class of stock is initially listed. Provided that it shall be limited to the semiannual period to which the initial listing date belongs;
  - (b) Case where the number of days when the trading was suspended is at least 50/100 of the number of trading days in the relevant semiannual period; and
  - (c) Case where the agreement for liquidity provision [referring only to an agreement of which period is at least six (6) months] pursuant to [§20-3(1)] of the Business Regulation has been entered into as of the end of the relevant semiannual period.
5. The market capitalization not up to standards: Case where the market capitalization has been less than KRW 2 billion for thirty (30) consecutive days (based on the trading days of the relevant stocks).

(2) In cases where a different class of stock designated as an administrative issue pursuant to paragraph (1) falls under any of the following subparagraphs, the Exchange shall release the different class of stock concerned from the designation as administrative issue without delay:

1. In the case of subparagraph 1 of paragraph (1): Case where it has been

confirmed that the common stocks of the issuer concerned has resolved the cause for designation as administrative issue; and

2. In the case of subparagraphs 2 through 5 of paragraph (1): Case where it has been confirmed through the annual report, etc. that the causes for designation as administrative issue have been resolved.

(3) The Exchange shall stipulate the methods for applying the criteria for designation as administrative issue, the period for designating administrative issue and releasing the stocks from designation as administrative issue, and other necessary matters in the Enforcement Rules.

## **§65. Delisting**

(1) In cases where the different class of stocks falls under any of the following subparagraphs, the Exchange shall delist the different class of stocks concerned. In such cases, the condition noted in subparagraphs 2 through 7 shall apply for each issue of different class of stocks issued by the listed corporation concerned: (Amended on June 18, 2014; November 4, 2015; June 26, 2019; July 22, 2020)

1. The issuer's qualification not up to standards: Case where the common stocks or the foreign stocks of a corporation that has listed different class of stocks are delisted;

2. The number of general shareholders not up to standards: Case of falling under any of the followings:

(a) Case where, while the stocks are designated as administrative issue due to the shortage in the number of general shareholders pursuant to [§64(1)2], the number of general shareholders as of the end of the latest business year continues to be less than one hundred (100); and

(b) Case where the largest shareholder, etc. owns the entire outstanding stocks.

3. The number of listed stocks not up to standards: Case where, while the stocks are designated as administrative issue due to the shortage of listed stocks pursuant to [§64(1)3], the number of listed stocks as of the end of the following semiannual period continues to be less than two hundred thousand (200,000);

4. The trading volume not up to standards: Case where, while the stocks are designated as administrative issue due to the shortage of trading volume pursuant to [§64(1)4], the trading volume in the following semiannual period continues to be less than ten thousand (10,000) shares. Provided that this subparagraph shall not apply to the case falling under any item of [§64(1)4];

5. The market capitalization up to standards: Case where the market

capitalization during ninety (90) days (based on trading days; the same hereinafter in this Subparagraph) following the designation as administrative issue due to the shortage of market capitalization pursuant to [§64(1)5] fails to satisfy any of the following items:

(a) The market capitalization shall be at least KRW 2 billion for at least ten (10) consecutive days: and

(b) The number of days when the market capitalization is KRW 2 billion or higher shall be at least thirty (30) days.

6. The restriction on stock transfer: Case where a restriction is placed on the stock transfer. Provided that this provision shall not apply to the case where, as an incidence where the transaction is restricted under laws, regulations, articles of incorporation, etc., the Exchange deems that such restriction does not impair the trading in the KOSPI Market; and

7. In addition, case where the Exchange deems that delisting is necessary for the sake of public interest and investor protection.

(2) Any corporation that has listed different classes of stocks which fall under the criterion of trading volume not up to standards noted in paragraph (1)4 and the criterion of delisting noted in paragraph (1)7 and thus received the notification of the fact from the Exchange may raise an objection to delisting pursuant to [§25]. (Amended on June 18, 2014; November 4, 2015)

(3) The methods for applying the causes of delisting specified in paragraph (1) and other necessary matters shall be stipulated in the Enforcement Rules.

#### **§66. Special Provisions on Designation of Administrative Issue and Delisting**

In cases where it is deemed essential for the market management due to a natural disaster, war or other sudden changes in economic conditions, the Exchange may not apply the criterion for designation as administrative issue owing to the shortage of market capitalization specified in [§64(1)5] and the criterion delisting specified in [§65(1)5] for a fixed period.

## **CHATER V. STOCKS OF SPECIAL PURPOSE ACQUISITION COMPANIES**

### **Section 1. Listing and Management of Listing**

## **§67. Preliminary listing review and Application for Initial Listing**

(1) With respect to the preliminary listing review and the application for initial listing that are related to the initial listing of a special purpose acquisition company, the provisions of [§26] concerning preliminary listing review of common stocks and [§28] concerning application for initial listing shall apply *mutatis mutandis*.

(2) With respect to the initial listing of a special purpose acquisition company, shareholders, etc. (referring to the persons owning the stocks, etc. of the relevant special purpose acquisition company; the same shall apply hereinafter in this Chapter) as at the application date for preliminary listing review shall mandatorily hold the stocks, etc. in his/her possession for a period that lasts from the date of initial listing to the date which is six (6) months following the listing after merger. In such cases, the stocks, etc. shall include the stocks that have been acquired through exercises of rights granted to the stocks, etc., capital increase without consideration (referring only to capital increase without consideration in the case of conducting capital increase with consideration and capital increase without consideration at the same time), and stock dividends during the period of mandatory holding and the new stocks issued by a counterparty corporation in the merger subsequent to the listing after merger pursuant to [§2(1)(d)(ii)]. (Amended on August 28, 2019; August 25, 2021; March 16, 2022)

(3) Notwithstanding paragraph (2), in cases where a person subject to mandatory holding makes a request in consultation with his/her listing sponsor or the Exchange deems it necessary for the sake of management transparency, management stability and investor protection, the mandatory holding period may be extended up to two (2) years in addition to the mandatory holding period stipulated in paragraph (2) after a discussion with the person subject to mandatory holding. [March 16, 2022]

(4) With respect to the mandatory holding under paragraph (2), the documents to be submitted, submission deadlines, etc. shall be stipulated in the Enforcement Rules. (Amended on August 28, 2019)

## **§68. Review Requirements for Initial Listing**

(1) Each applicant for initial listing of stocks of a special purpose acquisition company shall satisfy all the formality review requirements specified in each of the following subparagraphs: (Amended on June 18, 2014; November 4, 2015; March 20, 2019; June 26, 2019; August 25, 2021)

1. As of the application date for initial listing, the size of business shall satisfy the requirements noted in each of the following items:

(a) Number of stocks to be listed shall be one million (1,000,000) or more; and

- (b) Equity capital shall be at least KRW 10 billion.
2. As of the application date for initial listing, it shall satisfy the stock distribution requirement noted in each item of [§29(1)3]. Provided that “500” in [§29(1)3(c)] shall be “200”.
  3. The auditor’s audit opinion on the individual financial statement shall be the unqualified opinion.
  4. The criterion of restriction on stock transfer noted in [§29(1)7] shall be met.
  5. As of the application date for initial listing, it shall fulfill the obligation for appointing outside directors specified in [§77]. In such cases, the regulation on grace period for a newly listed corporation stipulated in Article 34(1)3 of the Enforcement Decree of the Commercial Act shall not apply *mutatis mutandis*.
  6. As of the application date for initial listing, it shall fulfill the obligation for establishing the audit committee specified in [§78]. In such cases, the regulation on grace period for a newly listed corporation stipulated in Article 37(1)4 of the Enforcement Decree of the Commercial Act shall not apply *mutatis mutandis*.
  7. As of the application date for initial listing, the issuing amount of stocks, etc. held by a financial investment company under Article 6(4)14(c) of the Enforcement Decree of the Act shall be 5/100 or more of the total issuing amount of stocks, etc. issued by the special purpose acquisition company.
  8. The officers shall not fall under any of the subparagraphs of Article 5(1) of the Act on Corporate Governance of Financial Companies.
  9. The matters noted in each of the following items shall be stipulated in the articles of incorporation:
    - (a) The matter stating that the merger with other company (except for a special purpose acquisition company) is the sole business purpose;
    - (b) The matter stating that 90/100 or more of the capital raised by issuing the stock (excluding the stocks issued before the initial public offering; the same hereinafter in this Subparagraph) shall be deposited or entrusted in the depository institution, etc. [referring to an institution determined and announced by the Financial Services Commission pursuant to Article 1-4-2(2) of the Regulations on Financial Investment Business] by the day (based on the business day) following the payment date for subscription of stocks;
    - (c) The matter stating that a person who acquired the stocks noted in [§2(1)9(a) through (f)] before the initial public offering of stocks shall be

excluded from the payment eligibility of the funds deposited or entrusted in the depository institutions. Provided that this provision shall apply only to the quantity acquired before the initial public offering of stocks;

(d) The matter stating that, in case of falling under any of the followings, a special purpose acquisition company shall be dissolved, and the funds deposited or entrusted in the depository institutions, etc. shall be paid back to the shareholders according to their stockholding ratio;

(i) Case of not being listed on the stock market within the period specified in Article 6(4)14(e) of the Enforcement Decree of the Act;

(ii) Case of failing to complete the registration of merger within the period specified in Article 6(4)14(f) of the Enforcement Decree of the Act; and

(iii) Case where the stock of the special purpose acquisition company concerned is delisted. Provided that, the case where the stocks of the special purpose acquisition company are delisted due to the listing after merger pursuant to [§2(1)1(d)(ii)] shall be excluded.

(e) The matter stating that borrowing, provision of debt guarantee, provision of collateral and issuance of debt securities (limited to the case of issuing after the initial public offering of stocks) shall be prohibited; and

(f) Other matters that are recognized to be necessary for public interest and investor protection, and accordingly stipulated in the Enforcement Rules.

10. An agreement shall be entered into among the shareholders, etc. as of the date of application for preliminary listing review on the matters stipulated in the Enforcement Rules such as the restriction on exercise of voting rights or of stock purchase claim, etc.

(2) The Exchange shall examine whether or not initially listing the stocks of a special purpose acquisition company that has fulfilled the formality review requirement under paragraph (1) is appropriate by applying the qualitative review requirements specified in each subparagraph of [§30(1)] [excluding the requirement for business management stability noted in paragraph (3)] *mutatis mutandis*. (Amended on June 18, 2014)

#### **§69. Supplementary Listing**

With respect to the supplementary listing of stocks of a special purpose acquisition company, the provision of [§43] concerning supplementary listing of common stocks and the provision of [§44] concerning mandatory holding shall apply *mutatis mutandis*. (Amended on August 28, 2019)



## §70. Listing Change

With respect to the listing change of the stocks of a special purpose acquisition company, the provisions of [§46(1) and (2)] regarding the listing change of common stocks shall apply *mutatis mutandis*.

## §71. Designation of Administrative Issue

(1) With respect to the designation of stocks of a special purpose acquisition company as administrative issue, the provisions of [§47] concerning designation of common stocks as administrative issue shall apply *mutatis mutandis*. Provided that the criterion of stock distribution not up to standards in [§47(1)4], the criterion of trading volume not up to standards in [§47(1)5] and the criterion of sales amount not up to standards in [§47(1)7] shall not apply *mutatis mutandis*.

(2) In cases where, separately from paragraph (1), a special purpose acquisition company falls under any of the following subparagraphs, the Exchange shall designate the stocks of the special purpose acquisition company concerned as administrative issue. In such cases, the Exchange shall release the stocks from the designation as administrative issue without delay if the fact that the reason for designation as administrative issue has been resolved is confirmed through the annual report. etc.; (Amended on June 18, 2014; June 26, 2019)

1. Case where the status of stock distribution as of the end of the latest business year falls under any of the following items:

(a) Where the number of general shareholders is less than 50; and

(b) Where the total number of stocks owned by general shareholders is less than 5/100 of floating stocks. Provided that this item shall not apply to the cases falling under any of the followings:

(i) Where the total number of stocks held by general investors is over two million (2,000,000) and exceeds the quantity specified in the Enforcement Rules

(ii) Where, as an instance to which the requirement for simultaneous public offerings in Korea and abroad noted in [§29(1)3(a)(iv)] was applied at the time of initial listing, the total number of stocks owned by general shareholders is at least seven hundred thousand (700,000).

2. Case where the fact that the qualifications of officer do not meet the requirements specified in [§68(1)8] has been confirmed. Provided that this provision shall not apply to the case where the number of directors who meets the requirements concerned is at least three (3) and the number of auditors is one (1) or more.

3. Case of falling under any of the following items:

(a) Where the noncompliance with the obligation to deposit or trust the capital raised by issuing stocks (excluding the stocks issued before the initial public offering) pursuant to Article 6(4)14(a) of the Enforcement Decree of the Act has been confirmed; and

(b) Where the fact that, in violation of Article 6(4)14(b) of the Enforcement Decree of the Act, the capital deposited or entrusted in the depository institutions has been withdrawn or used as collateral has been confirmed.

4. Case where it has been confirmed that the restriction placed on the financial activities stipulated in the articles of incorporation such as issuance of debt securities, borrowings and provision of debt guarantee or collateral was not observed.

5. Case where the application for preliminary listing review for listing after merger has not been submitted or the report on the merger with a common-stock-listed corporation pursuant to the Disclosure Regulation has not been made by the period that is six (6) months prior to the expiry of duration specified in the articles of Incorporation of the special purpose acquisition company;

6. Case where it has been confirmed that the issuing amount of stocks, etc. held by a financial investment business entity pursuant to Article 6(4)14(c) of the Enforcement Decree of the Act is less than 5/100 of total issuing amount of stocks, etc. issued by the special purpose acquisition company concerned.

(3) Notwithstanding paragraph (1), in cases where the special purpose acquisition company has merged with other company, the Exchange shall deem that the reasons for designation as administrative issue pursuant to paragraphs (1) and (2) have been resolved.

(4) The Exchange shall stipulate the application methods for the criteria of designation as administrative issue, the period of designation as administrative issue and the period of release from such designation, and other necessary matters in the Enforcement Rules.

## **§72. Delisting**

(1) With respect to the delisting of stocks of a special purpose acquisition company, the provisions of [§48] concerning delisting of common stocks and the provision of [§49] concerning listing maintenance review shall apply *mutatis mutandis*. Provided that the criterion of stock distribution not up to standards noted in [§48(1)4], the criterion of trading volume not up to standards noted in [§48(1)5] and the criterion of sales amount not up to standards noted in [§48(2)2] shall not

apply *mutatis mutandis*. (Amended on December 7, 2022)

(2) In cases where, separately from paragraph (1), a special purpose acquisition company falls under any of the following subparagraphs, the Exchange shall delist the stocks of the special purpose acquisition company concerned: (Amended on June 26, 2019; August 25, 2021)

1. Case where the status of stock distribution falls under any of the following items:

(a) Where a special purpose acquisition company that has been designated as administrative issue due to the shortage of general shareholders pursuant to [§71(2)1(a)] has less than fifty (50) general shareholders as of the end of the latest business year; and

(b) Where the total number of stocks owned by general shareholders of a special purpose acquisition company that has been designated as administrative issue due to the shortage of stake held by general shareholders pursuant to [§71(2)1(b)] is less than 5/100 of floating stocks as of the end of the recent business year. In such cases, the proviso to [§71(2)1(b)] shall apply *mutatis mutandis*.

2. Case where a special purpose acquisition company that has been designated as administrative issue due to the qualifications of officers not up to standards pursuant to [§71(2)2] has not resolved the cause of the designation concerned within six (6) months from the date of designation as administrative issue.

3. Case where a special purpose acquisition company that has been designated as administrative issue due to the noncompliance with the obligations to deposit or entrust the capital pursuant to [§71(2)3] has not resolved the cause the designation concerned within ten (10) days from the date of designation date as administrative issue.

4. Case where a special purpose acquisition company that has been designated as administrative issue due to the violation of the restriction financial activities pursuant to [§71(2)4] has not resolved the cause of the designation concerned within ten (10) days from the date of designation date as administrative issue.

5. Case where a special purpose acquisition company that has been designated as administrative issue due to the failure of submitting application for preliminary listing review pursuant to [§71(2)5] has not resolved the cause of the designation concerned within one (1) month from the date of designation date as administrative issue.

6. Case where a special purpose acquisition company that has been designated as administrative issue due to noncompliance with the minimum investment

obligation for a financial investment company pursuant to [§71(2)6] has not resolved the cause of designation concerned within three (3) months from the date of designation as administrative issue.

7. Case where it has been confirmed that it has also been engaged in the businesses other than the merger, including the holding of the stocks of other company, acquisition of business and assets from other company, spin-off, or merger after spin-off.

8. Case of falling under any of the following items, with respect to the resolution on merger:

(a) Where the decision to merge with a corporation falling under any of the followings has been made at the general meeting of shareholders:

(i) Any corporation that the Exchange has notified of ‘unqualified’ as a result of the examination of the application for eligibility review for listing after merger;

(ii) Any corporation with the merger value determined according to each subparagraph of Article 176-5(1) of the Enforcement Decree of the Act and the total assets as of the latest business year are below the minimum requirement specified in [§76(1)6];

(iii) Any KOSPI market-listed corporation or KOSDAQ-listed corporation that has been designated as administrative issue pursuant to this Regulation or the KOSDAQ Market Listing Regulation; and

(iv) Any person who has special interests specified in the Enforcement Rules with a special purpose acquisition company (including officers and shareholders, etc. as of the application date for eligibility review for listing after merger).

(b) Where the stocks of a KOSPI market-listed corporation or a KOSDAQ-listed corporation, after making the decision to merge with a special purpose acquisition company at the general meeting of shareholders, has been designated as administrative issue pursuant to this Regulation or the KOSDAQ Market Listing Regulation; and

(c) Where the decision is made at the general meeting of shareholders to incorporate a corporation as a result of merger or to conduct merger that will turn the corporation concerned into a private corporation (excluding the case of listing after merger pursuant to [§2(1)1(d)(ii)]).

(d) Where a special purpose acquisition company pays an unlisted corporation that is the counterparty of merger (referring to as “target

company” hereinafter in this Chapter) the entire or a part of merger consideration in cash. Provided that this provision shall not apply to the case where the Exchange deems that the cash payment is inevitable for the handling of odd lots in paying the merger consideration.

9. Case where it has been confirmed that a special purpose acquisition company or its shareholders, etc. as of the application date for preliminary listing review has violated the agreement noted in [§68(1)10] regarding the restriction on the exercise of voting rights, etc.

(3) The application methods for the criteria regarding delisting noted in paragraph (2) and other necessary matters shall be stipulated in the Enforcement Rules.

### **§73. Special Provisions on Designation of Administrative Issue and Delisting**

(1) [§50(2)] regarding the special provisions for designation of common stocks as administrative issue and delisting of common stocks and [§51(1) & (2)] concerning the grace period for delisting shall apply *mutatis mutandis* to the stocks of a special purpose acquisition company.

## **Section 2. Listing after Merger**

### **§74. Eligibility Review for Listing after Merger**

(Amended on August 25, 2021)

In the case where a special purpose acquisition company has decided or resolved to merge with a target company, an applicant for eligibility review for listing after merger shall submit the application for preliminary listing review and the supplementary documents specified in the Enforcement Rules without delay to the Exchange and undergo the preliminary listing review. (Amended on August 25, 2021)

### **§75. Mandatory Holding**

(1) With respect to the listing after merger, any person falling under any of the following subparagraphs shall mandatorily hold the stocks, etc. in his/her possession. In such cases, the stocks, etc. shall include stocks that have been acquired through exercises of rights granted to the stocks, etc., capital increase without consideration (referring only to capital increase without consideration in the case of conducting capital increase with consideration and capital increase without consideration at the same time), and stock dividends during the period of mandatory holding: (Amended on August 28, 2019; August 25, 2021; March 16, 2022)

1. The largest shareholder, etc. of the merger target company (officers of the

merger target company shall include a person falling under each subparagraph of Article 401-2(1) of the Commercial Act; the same hereinafter in this paragraph);

2. The largest shareholder, etc. of the merger target company who acquired stocks by exercising stock options after listing. In such cases, it shall be limited to the quantity of the relevant acquired stocks; and

3. Any person who has acquired the stocks, etc. issued by the merger target company by way of third-party allotment within one (1) year prior to the application date for preliminary listing review for listing after merger or a person who has acquired the stocks, etc. owned by the largest shareholder of the merger target company during the same period. In such cases, it shall be limited to the acquired quantity concerned.

(2) With respect to the scope and period of mandatory holding and submission of supplementary documents, etc. under paragraph (1), the provisions of [§27] concerning mandatory holding of common stocks shall apply *mutatis mutandis*. In such cases, the “applicant for initial listing” shall be construed as the “merger target company”, and the “application date for initial listing” shall be construed as the “application date for listing after merger” (referring to the application date for supplementary listing in the case of the listing after merger pursuant to [§2(1)(d)(i)]). (Amended on August 28, 2019; Amended on August 25, 2021; March 16, 2022)

#### **§76. Requirements for Eligibility Review for Listing after Merger**

(1) In cases where a special purpose acquisition company intends to carry out the listing after merger with a target company, the merger target company shall satisfy all the formality review requirements noted in each of the following subparagraphs as of the application date for preliminary listing review. In such cases, the detailed application methods for review requirements shall be stipulated in the Enforcement Rules: (Amended on June 18, 2014; August 25, 2021)

1. It shall meet the requirement for period in operation noted in [§29(1)1];
- 1-2. It shall meet the equity capital requirement noted in [§29(1)2(b)]. Provided that “KRW 30 billion” shall be “KRW 20 billion”;
2. It shall meet the profitability requirement noted in [§29(1)4(a)(ii)];
3. It shall meet the requirement for audit opinion noted in [§29(1)5];
4. [Deleted on June 18, 2014];
5. It shall meet the requirement for stock transfer restriction noted in [§29(1)7];

6. The merger amount determined according to each subparagraph of Article 176-5(1) of the Enforcement Decree of the Act or the total assets as of the end of the latest business year shall be at least 80/100 of the amount deposited or trusted in the depository institutions pursuant to Article 6(4)14(a) of the Enforcement Decree of the Act. In such cases, if there are multiple target companies, it shall be based on the sum of the merger amount or the total asset of each company; and

7. It shall not be the case where the shareholders of the special purpose acquisition company and the merger target company receive the entire or a part of merger consideration in cash. Provided that this provision shall not apply to the case where the Exchange deems that the cash payment for merger consideration is inevitable for the handling of odd lot, etc.

(2) The Exchange shall examine if the listing after merger of a company that has met the review requirements for listing after merger noted in paragraph (1) is appropriate by applying *mutatis mutandis* the qualitative review requirements specified in each subparagraph of [§30(1)]. (Amended on June 18, 2014)

(3) Notwithstanding paragraphs (1) and (2), in case where the Exchange deems that speedy listing is necessary for a certain corporation among the public corporations, etc. for the sake of public interest and investor protection, subparagraphs 1 through 5 of paragraph (1) and paragraph (2) may not apply thereto.

(4) In cases where the return on equity of the merger target company is below 1.3 times the requirement noted in paragraph (1)2, the Exchange may request the SFC for the supervision of the financial statements for the latest two (2) business years of the relevant target company. (Amended on August 25, 2021)

(5) With respect to the review for listing after merger, the provisions of [§29(5)] shall apply *mutatis mutandis*. In such cases, the “applicant for initial listing” shall be construed as the “target company.” (Amended on August 25, 2021)

## **§76-2. Application for Listing after Merger**

(1) After an applicant for listing after merger went through the preliminary listing review of the Exchange and intends to list common stocks after the merger, it shall submit an application for listing and the documents in each of the following subparagraphs to the Exchange:

1. Listing after merger pursuant to [§2(1)1(d)(i)]: The application for supplementary listing and the documents pursuant to [§43(1)]; and

2. Listing after merger pursuant to [§2(1)1(d)(ii)]: The application for listing after merger and the supplementary documents stipulated in the Enforcement Rules

(2) The provisions of [§28(2)] shall apply *mutatis mutandis* to the application for listing after merger. In such case, the “applicant for initial listing” shall be construed as the “applicant for listing after merger.”

(3) The Exchange shall specify the method, procedures and other necessary matters concerning the application for listing after merger in the Enforcement Rules.

[August 25, 2021]

## **CHAPTER VI. OBLIGATIONS OF KOSPI MARKET-LISTED CORPORATIONS**

### **§77. Outside Directors**

(1) The number of outside directors of a KOSPI market-listed corporation shall be at least 1/4 of the total number of directors. Provided that the number of outside directors of a KOSPI market-listed corporation of which total assets as of the end of the latest business year is at least KRW 2 trillion shall be at least three (3) persons, which shall be the majority of the total number of directors, pursuant to the proviso to Article 542-8(1) of the Commercial Act.

(2) The main sentence of Paragraph (1) of Article 542-8 and Paragraphs (2) through (5) of the same Article of the Commercial Act, and Paragraphs (2) and (3) of Article 165-17 of the Act shall apply *mutatis mutandis* to the matters concerning the outside directors under paragraph (1). Provided that, with respect to a corporation that has listed foreign stocks, etc., only the provisions of Paragraphs (2) through (5) of Article 542-8 of the Commercial Act shall apply *mutatis mutandis*.

(3) Notwithstanding paragraphs (1) and (2), in cases where a foreign company listed stocks, etc. (including an applicant for initial listing) satisfies all of the following subparagraphs, it shall be deemed that the obligations under this Article are fulfilled:

1. At least three (3) years shall have elapsed since the listing of stocks on a recognized overseas securities market; and
2. It shall have at least one (1) outside director. In such cases, the qualifications and composition, etc. of outside directors shall comply with the criteria of the home country and the recognized overseas securities market where the stocks concerned are listed. Provided that in case of the shortage of outside directors the regulation on the recruitment period of outside directors pursuant to Article 542-8(3) of the Commercial Act shall be followed.



## §78. Audit Committee

(1) Pursuant to Article 542-11(1) of the Commercial Act, each KOSPI market-listed corporation, the total assets of which as of the end of the latest business year is at least KRW 2 trillion shall establish an audit committee, at least 2/3 of which members shall be composed of outside directors.

(2) The provisions of Paragraphs (1) through (4) of Article 542-11 of the Commercial Act shall apply *mutatis mutandis* to the composition of the audit committee pursuant to paragraph (1). Provided that, with respect to a corporation that has listed foreign stocks, etc., only the provisions of Paragraphs (2) through (4) of Article 542-11 of the Commercial Act shall apply *mutatis mutandis*.

(3) Notwithstanding paragraphs (1) and (2), in cases where a foreign corporation listed stocks, etc. (including an applicant for initial listing) satisfies all of the following subparagraphs, it shall be deemed that the obligations under this Article are fulfilled:

1. At least three (3) years have elapsed since the listing of stocks on a recognized overseas securities market;
2. It shall have appointed an auditor or established an audit committee satisfying all the following items. In such cases, the qualifications and composition, etc. of the auditor or the audit committee shall comply with the criteria of the home country and the recognized overseas securities market where the stocks are listed. Provided that the provisions on the period of appointing additional audit committee members in the case of shortage of audit committee members noted in the main sentence of the part other than each Subparagraph of Article 542-11(4) of the Commercial Act, shall be complied with:
  - (a) It shall be composed of at least three (3) directors;
  - (b) The number of outside directors shall be the majority of members;
  - (c) The representative of the audit committee shall be an outside director; and
  - (d) It shall include accounting and financial experts.

## §79. Reporting Obligations

(1) In cases where an event falling under any of the following subparagraphs has occurred, KOSPI market-listed corporations shall report the details thereof to the Exchange: (Amended on June 18, 2014)

1. Case where there is a resolution or decision on the date for closing of the shareholders register or the record date therefor;
2. Case where incidents stipulated in the Enforcement Rules have occurred with respect to issuance of DRs of a common-stock-listed corporation;

3. Case where it is confirmed that the largest shareholder of a paper company stipulated in the Enforcement Rules has been changed. Provided that it shall be limited to a case where the relevant paper company is the largest shareholder of a KOSPI market-listed corporation;

4. Case where a transfer agent (referring to the transfer agent prescribed in Article 365 of the Act) has been changed or where the transfer agency service contract has been terminated;

5. The transcript of registration, in the case of change of a representative director (referring to the chief executive officer, in the case of a corporation that has appointed executive officers) or relocation of the head office. Provided that, in cases where submitting the transcript of registration is impossible due to the laws and regulations of home country, it may be replaced with a written statement confirming the fact thereof;

6. Case where the agreement on liquidity provision pursuant to [§20-3(1)] of the Business Regulation has been concluded, amended, or terminated;

7. In the case of a common-stock-listed corporation listed both in Korea and abroad at the same time, the replacement of common stocks with foreign listed stocks or vice versa; and

8. Other cases that are deemed necessary by the Exchange and stipulated in the Enforcement Rules

(2) The deadline for reporting, etc. with regards to paragraph (1) shall be stipulated in the Enforcement Rules.

(3) In the case of convening a general meeting of shareholders on a date when a considerable number of other KOSPI market-listed corporations hold general meetings of shareholders, the KOSPI market-listed corporation shall report to the Exchange the relevant reason therefor when giving a notice of convocation under Article 363 of the Commercial Act (including the public notification of convocation under Article 542-4 of the Commercial Act). [January 31, 2018]

(4) Each foreign stocks, etc.-listed corporation, when closing the shareholders register or determining the record date of shareholders register to ascertain the persons who are entitled to exercise the shareholders' rights with regards to voting rights, dividend, allotment of new stocks, etc., shall publish the fact thereof in at least one (1) domestic daily newspaper distributed nationwide by two (2) weeks before the closing period or record date (in cases where the duration of reporting and publication according to the laws of its home country is different from this Article, it shall be such duration) of the shareholders register concerned.

(5) Each foreign stocks, etc.-listed corporation shall, with respect to the operation of internal accounting management system (referring to a system that is equivalent to the internal accounting management system prescribed in the External Audit Act), submit the documents stipulated in the Enforcement Rules to the Exchange by the statutory deadline for submission of annual reports. (Amended on March 20, 2019)

(6) When a foreign corporation listed stocks, etc. has appointed, substituted, or dismissed its auditor in accordance with the provisions of paragraphs (2) through (5) of [§15], it shall report such fact to the Exchange without delay. [June 26, 2019]

(7) A foreign corporation listed stocks, etc. shall report to the Exchange without delay in cases where there is a change in the place of incorporation (including the actual location). [June 26, 2019]

#### **§80 [Deleted on October 1, 2014]**

#### **§81. Maintenance of Transfer Agency Service Contracts**

(1) Each KOSPI market-listed corporation, as long as the listing continues, shall maintain the transfer agency service contract with the transfer agent.

(2) Notwithstanding paragraph (1), a KOSPI market-listed corporation falling under any of the following subparagraphs may not enter into a transfer agency service contract:

1. A bank established under the Banking Act;
2. A special corporation; and
3. A government-controlled public institution (including a holding company in which a company wholly-owned by the government has a stake)

#### **§82. [Deleted on August 28, 2019]**

#### **§83. Reporting of Changes in Stockholdings of the Largest Shareholder, etc.**

(1) Each KOSPI market-listed corporation, when there is any change in the number of stocks held by the largest shareholder, etc., shall submit to the Exchange without delay a record detailing the change of stocks held by the largest shareholder stipulated in the Enforcement Rules.

(2) In determining the number of stocks held pursuant to paragraph (1), the non-voting stocks such as treasury stocks shall be excluded, and the stocks held by professional investors specified in the Enforcement Rules shall be included.

(3) Notwithstanding paragraph (1), in cases where the reporting obligations for the change in stockholdings pursuant to Article 147 or 173 of the Act have been

implemented within two (2) days from the date of occurrence of the change concerned, the record detailing the change in stockholdings noted in paragraph (1) may not be submitted. [October 1, 2014]

#### **§84. Attendance at the General Meetings of Shareholders**

Each KOSPI market-listed corporation, when falling under any of the following subparagraphs, shall allow the officers or employees of the Exchange to attend its general or extraordinary meetings of shareholders:

1. Case where there is a need to verify a material operational matter;
2. Case where there is a need for speedy confirmation since the agenda items of the general meeting of shareholders are related to the designation as administrative issue or delisting;
3. Case where, due to the dispute over management right, etc., there is a concern that the appointment of officers may not take place in the manner stipulated in the laws and regulations; and
4. Other cases where the Exchange deems it necessary to have understanding of proceedings of the general meeting of shareholders for the sake of public interest and investor protection.

### **PART III. DEBT SECURITIES**

#### **CHAPTER I. GENERAL PROVISIONS**

##### **§85. Definitions**

The terms used in this Part shall have the following meanings: (Amended on October 1, 2014; November 4, 2015; June 8, 2016' August 28, 2019)

1. The term “debt securities” refers to government debt securities, municipal government debt securities, agency debt securities, corporate debt securities pursuant to Article 4(3) of the Act;
2. The term “foreign debt securities” means securities which are issued by foreign corporations, etc. and the right of which are equivalent to that of debt securities;
3. The term “guaranteed corporate bonds” means corporate debt securities noted

in Article 362(8) of the Enforcement Decree of the Act, of which principal and interest are guaranteed by financial institutions, etc.;

4. The term “secured corporate bonds” means corporate debt securities issued under the Secured Bond Trust Act;

4-2. The term “dual recourse bonds” (hereinafter referred to as the “covered bonds”) means debt securities issued by an eligible institution under the Act on Issuance of Bonds with Dual Recourses;

5. The term “asset-backed securities” means corporate bonds issued by the securitization companies under the Act on Asset Securitization;

5-2. The term “non-standard ABS” means corporate bonds that are issued based on securitized assets other than the asset-backed securities specified in subparagraph 5.

5-3. The term “contingent capital securities” means debt securities that fall under any of followings and that are issued with the terms of being converted into stocks (hereinafter referred to as the “contingent convertible bonds”) or with the terms that obligations of those bonds for redemption of principals and interests payment will be waived (hereinafter referred to as the “contingent write-down bonds”), when the event that was predetermined at the time of issuing the debt securities concerned according to objective and reasonable standards occurs;

(a) Contingent capital securities under Article 165-11(1) of the Act; and

(b) Contingent capital securities provided for in Subparagraphs 2 through 4 of Article 33(1) of the Banking Act.

6. [Deleted on August 28, 2019]

7. The term “agency debt securities” means debt securities issued by a corporation directly incorporated pursuant to the laws.

8. The term “re-listing of debt securities” refers to a case where the issuer of the debt securities that have been delisted from the KOSPI Market re-lists the debt securities concerned after the causes for the delisting concerned are resolved.

## **CHAPTER II. DEBT SECURITIES**

### **§86. Application for Initial Listing**

(1) Any applicant for the initial listing of debt securities shall submit to the

Exchange the application for initial listing and supplementary documents stipulated in the Enforcement Rules. In such cases, the application for the initial listing of government debt securities shall be substituted by the request for listing of government debt securities stipulated in the Enforcement Rules.

(2) The application for the initial listing of debt securities noted in paragraph (1) shall be submitted when the securities registration statement (in the case of covered bonds, referring to the registration application documents including the issuance plan, etc. or the changed registration application pursuant to Article 6 of the Act on Issuance of Bonds with Dual Recourses; the same hereinafter) has been accepted. Provided that the application for initial listing of debt securities, which are exempted from the filing of the securities registration statement pursuant to Article 118 of the Act, shall be filed at the time stipulated in the Enforcement Rules. (Amended on November 4, 2015)

(3) Any applicant for the initial listing of debt securities may let a managing underwriter function as an agent for initial listing in accordance with the manner stipulated in the Enforcement Rules.

(4) When the Exchange deems it necessary, an applicant for the initial listing of debt securities may list several issues of debt securities, of which the issuing conditions are different, as a single issue.

#### **§87. Application for Shelf-Listing of Debt Securities**

(1) Each applicant for the initial listing of government debt securities, municipal government debt securities and agency debt securities issued on a certain day of each month and then distributed throughout the year may list in a lump the securities to be issued in the year after finalizing the schedule for bond issuance on an annual basis. In such cases, the applicant for initial listing shall submit to the Exchange the application for shelf-listing stipulated in the Enforcement Rules by the deadline stipulated in the Enforcement Rules.

(2) The applicant for listing who has submitted the application for shelf-listing noted in paragraph (1) shall notify the Exchange of the monthly issuance result by the deadline stipulated in the Enforcement Rules.

#### **§88. Review Requirements for Initial Listing of Debt Securities**

To be eligible for initial listing of debt securities, all the review requirements specified in each of the following subparagraphs shall be satisfied. Provided that these requirements shall not apply to the government debt securities, municipal debt securities, agency debt securities, and beneficiary certificates (limited to a case where the listing requirements for debt securities are applied pursuant to [§111]; the same shall apply hereinafter in this Chapter) specified in the proviso to [§106(2)]. (Amended on November 4, 2015; August 28, 2019)

1. The capital stock of the applicant for initial listing shall be at least KRW 500 million. Provided that this provision shall not apply to the guaranteed corporate bonds, the secured corporate bonds, the covered bonds, the asset-backed securities, and the non-standard ABS;
2. The relevant debt securities shall have been publicly offered or sold;
3. The total amount issued, and total outstanding amount of the relevant debt securities shall be at least KRW 300 million. Provided that, in the case of guaranteed corporate bonds, the secured corporate bonds and covered bonds, it shall be at least KRW 50 million; and
4. [Deleted on August 28, 2019]
5. [Deleted on August 28, 2019]
6. In case where the debt securities concerned are non-standard ABS, it shall meet all of the requirements specified in each of the following items:
  - (a) The owner of asset shall be the person stipulated in the Enforcement Rules;
  - (b) It shall receive the credit rating stipulated in the Enforcement Rules from at least two of the credit rating agencies prescribed in Article 335-3 of the Act (hereinafter referred to the “credit rating agency”);
  - (c) The methods of asset transfer shall follow each of subparagraphs of Article 13 of the Asset Backed Securitization Act; and
  - (d) The total amount issued shall not exceed the total value of asset-backed securities that have been transferred.

#### **§89. Re-listing of Debt Securities**

- (1) Each applicant for re-listing of debt securities shall submit to the Exchange the application for re-listing and the supplementary documents stipulated in the Enforcement Rules. Provided that this Article shall not apply to the debt securities of a holding company that controls a foreign company.
- (2) To be eligible for re-listing of debt securities, all the requirements specified in each of the following subparagraphs shall be satisfied: (Amended on November 4, 2015; August 28, 2019)
  1. The total outstanding amount of the relevant debt securities shall be at least KRW 300 million. Provided that, in the case of the guaranteed corporate bonds,

the secured corporate bonds, and the covered bonds, it shall be at least KRW 50 million; and

2. It shall not fall under the causes for delisting noted in each subparagraph of [§92(1)].

### **§90. Supplementary Listing**

Any corporation that has listed its debt securities, when intending to newly issue and list the debt securities of which class is the same as that of the debt securities already listed, shall submit to the Exchange the application for supplementary listing and the supplementary documents stipulated in the Enforcement Rules. In such cases, the application for the supplementary listing of government debt securities shall be substituted by the request for supplementary listing of government debt securities.

### **§91. Listing Change**

In cases where a corporation that listed its debt securities has changed the name of issue or the quantity of the listed debt securities, the corporation concerned shall submit to the Exchange the application for listing change and the supplementary documents stipulated in the Enforcement Rules. In such cases, the application for the listing change of the government debt securities shall be substituted by the request for listing change of the government debt securities.

### **§92. Delisting**

(1) In the case of falling under any of the following subparagraphs, the Exchange shall delist the debt securities concerned: (Amended on June 18, 2014, October 1, 2014; November 4, 2015; June 8, 2016)

1. Case where a corporation that has listed its debt securities falls under any of the following items. Provided that only items (e) through (g) shall apply to government debt securities, municipal debt securities, agency debt securities, guaranteed corporate bonds, secured corporate bonds, covered bonds, asset-backed securities, and the beneficiary certificates in the proviso to [§106(2)]:

(a) Where the capital stock as of the end of the latest business year is below KRW 500 million. Provided that this item shall not apply to the non-standard ABS;

(b) Where the annual, half-yearly and quarterly reports have not been submitted within ten (10) days from the respective statutory deadline for submission;

(c) Where the auditor's audit opinion falls under any of the followings:



- (i) Where the audit opinion on the individual financial statement of the latest business year (including the consolidated financial statement in the case of a corporation which owns a subsidiary and adopted the K-IFRS; the same hereinafter in this Item) is adverse, disclaimer of opinion and qualified due to the restriction on the scope of audit; and
- (ii) Where the review opinion on the individual financial statement for the latest semiannual period is adverse or disclaimer of opinion.
- (d) Where the entire capital stock as of the end of the recent business year has been impaired. Provided that this item shall not apply to the non-standard ABS;
- (e) Where the cause of dissolution pursuant to the laws has occurred;
- (f) Where the issued bills or checks have been processed as default or the trading with banks has been suspended. Provided that this item shall not apply to the cases stipulated in the Enforcement Rules;
- (g) Case that falls under any of the followings with regards to business operation:
  - (i) Where the core business has been suspended
  - (ii) Where the entire operation has been discontinued
  - (iii) Where the permit necessary for core business operation has been terminated
  - (iv) Where it has been confirmed that a corporation is in the situation equivalent to (i) through (iii)
- (e) Where the court has made a decision to turn down the application for commencement of rehabilitation procedure, to cancel the decision on commencement of rehabilitation procedure, to disapprove the rehabilitation plan and to terminate the rehabilitation procedures;
- (f) Where it has been confirmed that the material matters on investor protection was falsely stated on or omitted from the submitted documents in the course of eligibility review;
- (g) Where it has been confirmed that the financial statement has been prepared in major violation of the domestic accounting standards; and
- (h) Other cases where delisting is deemed necessary for the sake of public

interest and investor protection

2. Case where the relevant debt securities fall under any of the following items:

- (a) Where maturity has been reached or the full amount of corporate bonds has been redeemed;
- (b) Where the entire corporate bonds concerned have been converted into stocks due to the exercise of conversion rights of convertible bonds, the exercise of subscription rights of bonds with warrant and the exercise of exchange rights of exchangeable bonds; and
- (c) Where the entire contingent bonds concerned have been converted into stocks due to the occurrence of the event for conversion or where the entire obligations for redemption of principals or interests payment have been waived due to the occurrence of the event for debt restructuring.

3. Case where an institution which has provided the guarantee for the payment of principal and interests of guaranteed corporate bonds falls under any of the following items, and, at the same time, the issuer of the relevant guaranteed corporate bonds falls under each item of subparagraph 1:

- (a) Where the cause of dissolution pursuant to the laws has occurred;
- (b) Where the issued bills or checks have been processed as default or the trading with banks has been suspended;
- (c) Case of falling under any sub-item under item (g) of subparagraph 1 with regards to business operation; and
- (d) Where the court has made a decision to turn down the application for commencement of rehabilitation procedures, to cancel the decision on commencement of rehabilitation procedures, to disapprove the rehabilitation plan and to terminate the rehabilitation procedures.

(2) Methods applying the criteria for delisting noted in paragraph (1) shall be stipulated in the Enforcement Rules.

### **§93. Reporting Obligations**

(1) Any corporation that has listed its debt securities, when the matters which are deemed by the Exchange necessary for the issuance and management of debt securities and thus stipulated in the Enforcement Rules have occurred, shall report the details thereof to the Exchange without delay.

(2) [Deleted on October 1, 2014]

(3) [Deleted on October 1, 2014]

## **CHAPTER III. FOREIGN DEBT SECURITIES**

### **§94. Application for Initial Listing**

(1) An applicant for the initial listing of foreign debt securities shall submit to the Exchange the application for initial listing and the supplementary documents that are stipulated in the Enforcement Rules.

(2) Each applicant for the initial listing of foreign debt securities shall consult with the Exchange on the matters such as the procedures and the time schedule for listing prior to the filing of application for initial listing.

### **§95. Review Requirements for Initial Listing**

To be eligible for initially listing the foreign debt securities, all the requirements noted in each of the following subparagraphs shall be satisfied: (Amended on November 4, 2015; August 28, 2019)

1. As of the end of the latest business year, the equity capital (referring to the amount excluding non-controlling interest from the total capital on the consolidated financial statements) of an applicant for initial listing shall be at least KRW 10 billion, and there shall be no capital impairment. Provided that this subparagraph shall not apply to the case of intending to initially list guaranteed corporate bonds, secured corporate bonds, asset-backed securities and the debt securities issued by international financial organization or foreign governments.

2. The applicant for initial listing shall fall under any of the following items. Provided that this subparagraph shall not apply to the case of intending to initially list the guaranteed corporate bonds, secured corporate bonds, asset-backed bonds or the debt securities issued by the international financial institutions or foreign governments:

(a) It shall be a corporation that has listed foreign stocks on an overseas stock market;

(b) It shall be a corporation that has listed foreign stocks, etc. on the KOSPI Market or KOSDAQ Market; and

(c) It shall be a corporation that has publicly offered or sold stocks.

3. [Deleted on August 28, 2019]

4. The foreign debt securities concerned shall have received the investment grade (BBB or above) from credit rating agencies.

5. The foreign debt securities concerned shall satisfy the requirement on public offering under subparagraph 2 of [§88] and the requirement on total amount issued under subparagraph 3 of the same Article.

#### **§96. Supplementary Listing and Listing Change**

With respect to supplementary listing and listing change of foreign debt securities, the provisions of [§90] concerning supplementary change of debt securities and the provisions of [§91] concerning listing change of debt securities shall apply *mutatis mutandis*.

#### **§97. Delisting**

In the case of falling under any of the following subparagraphs, the Exchange shall delist the foreign debt securities concerned. In such cases, the matters necessary for applying the criteria of delisting shall be stipulated in the Enforcement Rules: (Amended on October 1, 2014)

1. Case where the equity capital (referring to the amount obtained by excluding the non-controlling interest from the total capital on the consolidated financial statements) of a corporation that has listed foreign debt securities is less than KRW 5 billion as of the end of the latest business year. Provided that this subparagraph shall not apply to the guaranteed corporate bonds, collateral bonds, asset-backed bonds, and the debt securities issued by an international financial organization or a foreign government;

2. Case where a corporation that has listed foreign stocks falls under the causes noted in [§92(1)1(b) through (k)] regarding the delisting of a corporation that has listed debt securities. In such cases, each subparagraph of [§58(1)] regarding the application methods for the criteria of delisting of foreign stocks, etc. shall apply *mutatis mutandis*;

3. Case where the foreign debt securities concerned fall under the causes noted in [§92(1)2]; and

4. Case where the relevant foreign debt securities fall under the causes noted in [§92(1)3] regarding the delisting of guaranteed corporate bonds.

#### **§98. Reporting Obligations**

In cases where an event or cause that is stipulated in the Enforcement Rules as the

Exchange deemed it necessary for the issuance and management of foreign debt securities has occurred, any corporation that has listed the foreign debt securities or its listing sponsor shall report the details thereof to the Exchange without delay.

## **PART IV. COLLECTIVE INVESTMENT SECURITIES**

### **CHAPTER I. GENERAL PROVISIONS**

#### **§99. Definitions**

The terms used in this Part shall have the following meanings: (Amended on November 4, 2015; December 20, 2018)

1. The term “stocks of an investment company” refers to the stocks issued by an investment company (hereinafter referred to as the “investment company”) noted in Article 9(18)2 of the Act. Provided that ETF securities, the stocks of ship investment companies and real estate investment trusts shall be excluded;
2. The term “beneficiary certificates” refers to the beneficiary certificates that fall under any of the following items:
  - (a) The beneficiary certificates issued pursuant to Article 189 of the Act by collective investment companies who establish the investment trust (referring to the investment trust stipulated in Article 9(18)1 of the Act; the same shall apply hereinafter). Provided that ETF securities shall be excluded;
  - (b) [Deleted on November 4, 2015]
  - (c) The beneficiary certificates issued by the Korea Housing Finance Corporation pursuant to the Korea Housing Finance Corporation Act; and
  - (d) Other similar types of beneficiary certificates that are stipulated in the Enforcement Rules.
3. The term “ETF securities” refers to the stocks or beneficiary certificates issued by collective investment vehicles of ETFs (hereinafter referred to as “ETFs”) under Article 234(1) of the Act;
4. The term “foreign ETF securities”, which are similar to ETFs, refers to the stocks or beneficiary certificates of foreign collective investment vehicles (hereinafter referred to as “foreign ETFs”) incorporated pursuant to the laws and regulations of a foreign country;

5. The term “stocks of ship investment companies” refers to the stocks issued by ship investment companies (hereinafter referred to as “ship investment companies”) under Article 2(1) of the Ship Investment Company Act;

6. The term “stocks of real estate investment trusts” refers to the common stocks and different class of stocks issued by real estate investment trusts (hereinafter referred to as “real estate investment trusts”) under Article 2(1) of the Real Estate Investment Company Act;

7. The term “authorized participant” refers to a person designated by collective investment vehicles to undertake the tasks noted in each subparagraph of Article 247 of the Enforcement Decree of the Act; and

8. The term “liquidity providing member” refers to a member who is eligible to submit the liquidity provision quotations pursuant to [§20-2(2)] of the Business Regulation.

#### **§100. Submission of Supplementary Documents after Filing of Application for Initial Listing**

In cases where the causes falling under each subparagraph of [§21(1)] have occurred during the period from the submission date of the applicant for initial listing (including the “application for preliminary listing review” in the case of real estate investment trusts) until the date of listing, an applicant for the initial listing of collective investment securities shall submit the documents thereof to the Exchange. Provided that the causes noted in [§21(1)3 and 4] shall be excluded for the stocks of an investment company, beneficiary certificates, ETF beneficiary certificates and foreign ETF beneficiary certificates, and the cause noted in [§21(1)4] shall be excluded for the stocks of ship investment companies. (Amended on December 20, 2018)

## **CHAPTER II. STOCKS OF INVESTMENT COMPANIES**

#### **§101. Initial Listing**

(1) Any applicant for the initial listing of stocks of an investment company shall submit to the Exchange the application for initial listing and the supplementary documents stipulated in the Enforcement Rules.

(2) Any person, who has acquired stocks issued by an applicant for initial listing of stocks of an investment company by way of private offering within one (1) year retroactive from the expected listing date, shall mandatorily hold such stocks for one (1) year from the issuance date. In such cases, the applicant for initial listing

shall submit the supplementary documents specified in the Enforcement Rules in relation to the mandatory holding to the Exchange when filing the application for initial listing. (Amended on August 28, 2019)

(3) In order to initially list the stocks of an investment company, all the review requirements noted in each of the following subparagraphs shall be satisfied: (Amended on November 4, 2015)

1. The investment company shall have been registered with the FSC pursuant to Article 182 of the Act;
2. Capital stock shall be at least KRW 5 billion as of the application date for listing;
3. The number of stocks publicly offered or sold by an investment company shall be no less than 25/100 of the total number of common stocks issued as of the date of listing application (no less than 10/100 of the total number of common stocks issued, in case of the investment and financing company pursuant to Article 41 of the Act on Public-Private Partnerships in Infrastructure) and the number of shareholders shall be no less than 50;
4. There shall be no disputes such as lawsuits that may materially affect the management of the investment company; and
5. There shall be no restriction on transfer of stocks. Provided that this subparagraph shall not apply to the case where such restrictions are imposed by laws, regulations, the articles of incorporation, etc. and it is deemed by the Exchange that the restrictions imposed do not impede the transaction in the KOSPI Market.

(4) Notwithstanding paragraph (3), if it is deemed by the Exchange that the listing of stocks of an investment company is inappropriate for the sake of public interest and investor protection, the Exchange may turn down the listing application concerned.

(5) Before filing the application for initial listing, an applicant for the initial listing of stocks of an investment company shall consult with the Exchange over the procedures and schedule of listing, etc.

(6) Provisions of [§24] concerning approval and deferment of listing of securities shall apply *mutatis mutandis* to the initial listing of stocks of investment companies.

## **§102. Supplementary Listing**

(1) When a corporation that has listed the stocks of an investment company newly issues stocks of the investment company that are the same issue as those already

listed and intends to list those stocks, it shall submit to the Exchange the application for supplementary listing and the supplementary documents set forth in the Enforcement Rules.

(2) The application for supplementary listing noted in paragraph (1) shall be filed without delay after the issuance of new stocks takes effect.

### **§103. Listing Change**

(1) Any corporation that has listed the stocks of an investment company, in case of having changed the name of issue and quantity, etc. of the stocks concerned, shall submit to the Exchange the application for listing change and the supplementary documents stipulated in the Enforcement Rules.

(2) The application for listing change noted in paragraph (1) shall be filed without delay after the cause of the listing change concerned takes effect.

### **§104. Delisting**

(1) When a corporation that has listed the stocks of an investment company falls under any of the following subparagraphs, the Exchange shall delist the stocks of the investment company concerned:

1. Case where the corporation has failed to submit to the Exchange the document on the closing accounts or the quarterly report pursuant to the Act;
2. Case where the entire business has been suspended or it has been confirmed that it was in a situation equivalent thereto;
3. Case where the cause for dissolution prescribed in Article 202 of the Act has occurred;
4. Case where the reporting obligations have not been complied with intentionally, due to gross negligence or habitually; and
5. Other cases where the Exchange deems the delisting of stocks necessary for the sake of public interest and investor protection

(2) Notwithstanding paragraph (1), in case where a corporation that has listed the stocks of an investment company fall under subparagraph 1 or 2 of paragraph (1), the Exchange may defer the delisting by one (1) month. In such cases, the base date for calculating the grace period for delisting shall be as noted in each of the following subparagraphs:

1. In the case of paragraph (1)1, the day following the deadline for submission of annual reports or the documents on the closing accounts; and



2. In the case of paragraph (1)2, the day when the occurrence of the relevant business suspension was confirmed

### **§105. Reporting Obligations, etc.**

(1) In cases where an event or cause that is stipulated in the Enforcement Rules as the Exchange deemed it necessary for the listing management has occurred, any corporation that has listed the stocks of an investment company shall report the details thereof to the Exchange without delay.

(2) Any corporation that has listed the stocks of an investment company shall, when the reasons prescribed in the Enforcement Rules have occurred with regards to the profits distribution pursuant to Article 242 of the Act, submit a written report on such distribution to the Exchange. Provided that this provision shall not apply to the case where an investment company is dissolved due to the expiration of its duration. (Amended on November 4, 2015)

(3) Any corporation that has listed stocks of an investment company shall submit the annual report and the documents on closing accounts pursuant to the Act to the Exchange by the statutory deadline.

(4) Any corporation that has listed the stocks of an investment company shall, for the purpose of the reporting mentioned in paragraph (1), designate one (1) corporate director as the person responsible for reporting pursuant to Article 198 of the Act and notify the Exchange of designation or change of such a person.

(5) Provisions of [§84] concerning attendance at general meetings of shareholders shall apply *mutatis mutandis* to the corporations that have listed stocks of investment companies. (Amended on October 1, 2014; August 28, 2019)

## **CHAPTER III. BENEFICIARY CERTIFICATES**

### **§106. Initial Listing**

(1) Each applicant for the initial listing of beneficiary certificates shall submit to the Exchange the application for initial listing and the supplementary documents per beneficiary certificate stipulated in the Enforcement Rules.

(2) To be eligible for initial listing, the beneficiary certificates shall satisfy each of the following review requirements. Provided that this provision shall not apply to the beneficiary certificates of the Korea Housing Finance Corporation and other beneficiary certificates that are stipulated in the Enforcement Rules as the Exchange deems them necessary: (Amended on November 4, 2015)

1. The principal amount of trust shall be at least KRW 300 million.
2. The beneficiary certificates concerned shall have been issued through public offering or secondary distribution.
3. The principal amount per unit of the beneficiary certificate shall be KRW 500 or higher.

(3) Notwithstanding paragraph (2), the Exchange may turn down the application for listing in case where the listing of beneficiary certificates is deemed inappropriate for the sake of public interest and investor protection

#### **§107. Supplementary Listing**

- (1) Any corporation that has listed beneficiary certificates, when intending to newly issue and list the beneficiary certificates that are the same issue as those already listed, shall submit to the Exchange the application for supplementary listing and the supplementary documents stipulated in the Enforcement Rules.
- (2) The application for supplementary listing noted in paragraph (1) shall be filed without delay after the issuance of the securities concerned takes effect.

#### **§108. Listing Change**

- (1) Any corporation that has listed beneficiary certificates, in the case of having changed the name of issue, quantity or the principal amount of trust of the beneficiary certificates, shall submit to the Exchange the application for listing change and the supplementary documents stipulated in the Enforcement Rules.
- (2) The application for supplementary listing noted in paragraph (1) shall be filed without delay after the cause of the change concerned takes effect.

#### **§109. Delisting**

In cases where beneficiary certificates fall under any of the followings, the Exchange shall delist the beneficiary certificates concerned:

1. Case where it is deemed by the Exchange that the beneficiary certificate has lost its marketability as a result of the amount of trust principal having decreased to less than KRW 300 million.
2. Case where the trust duration of beneficiary certificates has expired, or the full amount has been redeemed before the expiration date
3. Other cases where the Exchange deems that the delisting of beneficiary

certificates is necessary for the sake of public interest or investor protection

#### **§110. Reporting Obligations, etc.**

(1) In cases where an event or cause that is stipulated in the Enforcement Rules as the Exchange deemed it necessary for the listing management has occurred, any corporation that has listed beneficiary certificates shall report the details thereof to the Exchange without delay.

(2) Any corporation that has listed beneficiary certificates shall submit to the Exchange the annual report and the documents on closing accounts pursuant to the Act by the statutory deadline.

(3) Any corporation that has listed beneficiary certificates shall report to the Exchange the matters concerning the distribution of profits generated from beneficiary certificates by fifteen (15) days prior to closing date of the trust accounting period. Provided that this provision shall not apply to the case where the trust period of beneficiary certificates has expired.

#### **§111. Special Provisions on the Debt Securities-Type Beneficiary Certificates**

With respect to beneficiary certificates of which the methods for profit distribution, the guarantee of the investment principal, etc. are similar to those of debt securities, the provisions on debt securities in PART III shall apply except for the cases stipulated otherwise in this Regulation.

### **CHAPTER IV. EXCHANGE TRADED FUNDS (ETFs)**

#### **Section 1. ETF Securities**

#### **§112. Preliminary Listing Review**

(1) Each applicant for the initial listing of ETF securities shall take preliminary listing review by submitting to the Exchange the application for preliminary listing review and the supplementary documents stipulated in the Enforcement Rules prior to filing the application for initial listing pursuant to [§113]. (Amended on December 7, 2022)

(2) Each applicant for the initial listing shall consult with the Exchange over the procedures and schedule of listing, etc. prior to filing the application for preliminary listing review. (Amended on December 7, 2022)

(3) The Exchange shall review the application for preliminary listing review and

the supplementary documents submitted by the applicant for preliminary listing review based on the provisions of [§113(2) and (3)]. [December 7, 2022]

(4) The Exchange shall notify, in writing, the applicant for initial listing of the ETF concerned of the result of the preliminary listing review within 20 days (based on business days) from the date of receiving the application for preliminary listing review noted in paragraph (1). Provided that, in the case where it is needed to correct or complement the preliminary listing review application documents, etc. or it is needed to have additional review, the period of notification may be extended, in which case the Exchange shall notify the listing applicant by specifying the reason and expected deadline. [December 7, 2022]

(5) In cases where, after having notified the result of preliminary listing review pursuant to paragraph (4), any of the following incidents occur which the Exchange deems to have a significant implication on the result of the preliminary listing review concerned, the Exchange may discard the validity of the result of the preliminary listing review concerned:

1. Case where matters significant to business operation have occurred;
2. Case where the fact that important matters on investor protection are falsely stated in or omitted from the application for preliminary listing review has been identified; and
3. Case where an application for initial listing of ETF has not been submitted within three (3) months from the date of having been notified of the result of preliminary listing review. [December 7, 2022]

(6) The Exchange shall, when having made a decision to discard the validity of the result of preliminary listing review pursuant to paragraph (5), notify the applicant for preliminary listing review of the fact in writing. [December 7, 2022]

(7) The Exchange shall close the preliminary listing review process when the applicant for preliminary listing review submits a document describing the reason of withdrawing the application for preliminary listing review. [December 7, 2022]

### **§113. Initial Listing**

(Amended on December 7, 2022)

(1) In order for the applicant for initial listing of ETF securities to have initial listing of the ETF securities after passing the preliminary listing review of the Exchange, the applicant shall submit the Exchange the application for initial listing and supplementary documents within three (3) months after the notification of the result of the preliminary listing review. Provided that, in the case where the applicant makes a request for the extension of the submission deadline due to an unavoidable reason such as sudden change of the market environment and where

the Exchange approves the request, the deadline may be extended within the period of three (3) months for once. [December 7, 2022]

(2) In order to be initially listed, ETF securities shall meet all the review requirements in each of the following subparagraphs: (Amended on June 18, 2014; February 11, 2015; May 2, 2017; January 31, 2017; July 22, 2020; August 26, 2022)

1. Size of fund: The capital stock or the amount of trust principal shall be at least KRW 7 billion, and the total number of stocks issued shall be at least one hundred thousand (100,000) shares or the number of beneficiary certificates issued shall be at least one hundred thousand (100,000) units.

2. Authorized participants, etc.: The requirements specified in each of the following items shall be satisfied:

(a) There shall be at least one (1) authorized participant;

(b) The agreement for liquidity provision shall have been entered into with at least one (1) liquidity providing member of the authorized participants pursuant to the Business Regulation; and

(c) Collective investment vehicles that operate the ETF concerned, when having listed other ETFs on the KOSPI Market, shall satisfy all the following requirements:

(i) In cases where any of the liquidity providing members for a certain issue among the listed issues concerned corresponded to the conditions for replacement of liquidity providing member pursuant to [§20-6] of the Business Regulation (hereinafter referred to as the “liquidity member replacement conditions”), three (3) months shall have elapsed from the time of such occurrence.

(ii) In cases where the entire liquidity providing members for a certain issue among the listed issues concerned corresponded to the liquidity member replacement conditions, six (6) months shall have elapsed from the time of such occurrence

3. Underlying assets: The constituents of the price or index of underlying assets that is linked to the ETF securities shall be traded in the markets noted in each of the following items. In such cases, the details thereof shall be stated in the collective investment agreement:

(a) The Exchange market, a foreign exchange market, or the market designated and announced by the FSC pursuant to [§7-26] of the Regulations on Financial Investment Business;

(b) As a market similar to the one noted in item (a), the market noted in each of the followings:

(i) The bullion market established pursuant to the regulations of the London Bullion Market Association;

(ii) The OTC bond market where the trades are conducted pursuant to Articles 179, 180 and 185 of the Enforcement Decree of the Act and the foreign bond markets similar thereto;

(iii) The market where the foreign exchange brokerage company calculates the basic rate and the adjusted basic rate according to the Foreign Exchange Transaction Regulation pursuant to Article 9(2) of the Foreign Exchange Transaction Act.; and

(iv) Other markets recognized by the Exchange in consideration of the credibility of the prices formed in the market.

4. Methods of asset composition: The asset composition of an ETF shall fall under any of the following items. In such cases, the collective investment agreement shall state the matters thereof.

(a) In the case of an ETF that is linked to the movement of securities index, the issues satisfying all the following conditions shall be included in asset composition. Provided that, in cases where the target index is a simple average of the prices of constituents, all constituents of the index shall be included in the asset composition:

(i) At least 95/100, on the basis of the market value, of the constituents of the index; and

(ii) At least 50/100, on the basis of the number of issues, of the constituents of the index

(b) In the case of an ETF that is linked to the movement of the price of underlying asset other than stocks or the index based on non-stock assets, at least 95/100 of the issues linked to the price or index concerned shall be included in the asset composition.

(c) In the event falling under any of the followings where an ETF finds it difficult to create the asset composition according to the method specified in item (a) or (b), other asset composition or cash payment equivalent to the creation unit shall be made using other methods. In such cases, the target for investment, methods to track the price/index and the weight of derivatives products in asset composition and assets other than the constituents of index

shall be stated in the collective investment agreement.

- (i) Case of an ETF that aims to manage linked to the price or index that is not produced in the Exchange market;
- (ii) Case where the derivatives products traded on the exchange market are a material management method to be linked to the price or index;
- (iii) Case where the derivatives products traded on the OTC market are a material management method to be linked to the price or index (hereinafter referred to as the “synthetic ETFs”);
- (iv) Case where the goal is to operate the fund so that changes in the net asset value of the ETFs exceed changes in the price or index (hereinafter referred to as the “active ETFs”);
- (v) Case where stocks and ETDs, etc. with such stocks as underlying assets are used for investment management purposes to track the price of the stocks (hereinafter referred to as the “single-stock ETFs”); and [April 15, 2026]
- (vi) Case where, after taking into consideration a variety of factors such as the peculiarity of the market where the underlying assets are traded and the efficiency of asset operation, the Exchange recognizes that the conversion into the asset equivalent to the creation unit is difficult.

5. Synthetic ETFs: All the requirements noted in each of the following items shall be satisfied. In such cases, the details thereof shall be stated in the collective investment agreement.

- (a) The counterparty in the trading agreement for OTC derivatives products (hereinafter referred to as the “trading counterparty”) shall fall under all the followings:
  - (i) It shall be a financial investment company that obtained authorization for investment trading business targeting OTC derivatives products pursuant to Article 12 of the Act. In such cases, if it is recognized by the Exchange as a reliable financial company which has obtained permit equivalent thereto according to the laws and regulations of a foreign country or been regulated pursuant to the financial soundness regulations of the country concerned, it shall be deemed that this requirement has been satisfied;
  - (ii) Pursuant to Article 80(5)1 of the Enforcement Decree of the Act, it shall have received the investment grade or a higher grade, and the grade received shall be at least the grade stipulated in the Enforcement Rules. In

such cases, if there is a guarantor (referring to the guarantor for debts, etc. of the trading counterparty; The same shall apply hereinafter in this Article), fulfillment of the relevant requirement shall be judged on the basis of such a guarantor even if the trading counterparty fails to meet the concerned requirement;

(iii) The value obtained by dividing the amount calculated by subtracting gross risks from net operating capital by the aggregate of equity capital for each authorized or registered business unit under Article 166-2(1)3 of the Act (hereinafter referred to as “net capital ratio”) shall be greater than or equal to the ratio prescribed in the same Subparagraph (in cases where it is difficult to calculate the net capital ratios for foreign financial companies, etc., if a financial ratio that is recognized by the Exchange to be equivalent to the net capital ratio is at least the level determined by the Exchange, it shall be deemed that this requirement has been met). In such cases, if there is a guarantor, fulfillment of the relevant requirement shall be judged on the basis of such a guarantor even if the trading counterparty fails to satisfy the concerned requirement;

(iv) With respect to the work performance as the trading counterparty such as the achievement of target profitability, it shall be deemed to be independent of the applicant for initial listing; and

(v) With regards to the tasks undertaken by the trading counterparty, it shall have in place a system of curbing the conflict of interest, whereby the probability of conflict of interests with an investor is identified and managed appropriately.

(b) It shall have in place the following risk management system against the trading counterparty. In such cases, details of the risk management system shall be stipulated in the Enforcement Rules:

(i) The risk assessment methods such as the criteria and period of assessment, etc. regarding the risks of the trading counterparty; and

(ii) Timely identification of the risks of the trading counterparty and the risk management methods thereof

(c) It shall have in place the following collateral management system if a collateral is established with regard to the trading agreement on OTC derivatives products. In such cases, details on the collateral management system shall be stipulated in the Enforcement Rules:

(i) The requirements for collateral assets such as liquidity, easiness of mark-to-market assessment;



(ii) The methods of collateral asset management such as the collateral ratio and the collateral settlement; and

(iii) The KSD (including foreign deposit and settlement institutions) shall be an institution in charge of safekeeping and assessing the collateral assets. Provided that this requirement shall be deemed to have been satisfied in case where an institution in charge of safekeeping and assessing the collateral assets is a reliable financial institution recognized by the Exchange to be independent and objective.

(d) In cases where the assets other than OTC derivatives products have been included in the asset composition, the assets concerned shall satisfy the requirements stipulated in the Enforcement Rules such as liquidity and easiness of mark-to-market assessment.

6. Expiration date: There shall be no expiration date of ETFs, except where set forth in the Enforcement Rules. In such case, the details thereof (referring to the expiration date in case there is one) shall be stated in the collective investment agreement.

7. Agreement on the use of index, etc.: With respect to the target price of an ETF or use of index, an agreement noted in each of the following items shall have been entered into. Provided that, in the case where the new listing applicant calculates the price or the index by itself, such case shall be excluded:

(a) In the case of an ETF that is linked to the movement of the price or index that is produced by the Exchange, an agreement for the use of the price or index concerned and usage fees shall have been entered into with the Exchange; and

(b) In the case of an ETF that is linked to the movement of the price or index that is not produced by the Exchange, an agreement for the use of the price or index concerned have been entered into with a person who has the legal rights over the price or index concerned.

8. The stocks of ETFs (hereinafter referred to as the “stocks of ETFs”) shall satisfy the requirements of [§101(3)1] regarding the registration of stocks of an investment company, the requirements of [§101(3)4] regarding lawsuits, etc. and the requirements of [§101(3)5] regarding the restriction of stock transfer.

(3) The Exchange shall examine whether the listing of the ETF securities that satisfy the requirements of paragraph (2) is appropriate by taking into account the following subparagraphs comprehensively: (Amended on December 7, 2022)

1. The product structure, etc. shall be lawful pursuant to related laws and regulations;

2. In light of the attributes of the price/index of underlying assets and the efficient management of underlying assets, ETFs shall be deemed to be sustainable;

3. With regards to the operation of ETFs, the internal control system and corporate disclosure system, etc. of the applicant for initial listing shall be deemed to be transparent; and

4. In addition, it shall be deemed that the sound development of the KOSPI Market will not be hampered.

(4) The Exchange shall notify the relevant applicant of initial listing without delay from the date of the application of initial listing noted in the paragraph (1) whether the initial listing has been approved or not. [December 7, 2022]

(5) The Exchange may, when it deems that the listing of the ETF concerned is not appropriate for the sake of public interest and investor protection as a result of the reviews conducted pursuant to paragraphs (2) and (3), turn down the application for listing. (Amended on December 7, 2022)

#### **§114. Supplementary Listing and Listing Change**

(1) With respect to the supplementary listing and the listing change of ETF securities, the provisions of [§102] and [103] concerning the supplementary listing and listing change of the stocks of an investment company, and [§107] and [108] concerning the supplementary listing and listing change of beneficiary certificates shall apply *mutatis mutandis*. Provided that the change of trust principal among the causes for listing change shall be excluded, and the change of quantity shall be limited to a case where the quantity is changed as a result of redemption.

(2) Notwithstanding paragraph (1), in cases where a corporation that has listed ETF securities intends to conduct supplementary listing or listing change as a result of the change in quantity, the corporation concerned shall submit to the Exchange the application concerned by the trading day that is immediately before the scheduled date for listing.

#### **§115. Designation of Administrative Issue**

(1) In cases where the principal amount of trust (referring to the capital stock, in the case of the stocks of ETF) for ETF (excluding the securities for which one (1) year has not elapsed since the listing date) as of the end of the relevant semiannual period is less than KRW 5 billion and the total net assets (referring to the amount obtained by subtracting the total liabilities from the total assets of the ETF concerned; the same hereinafter) is less than KRW 5 billion, the Exchange shall designate the securities concerned as administrative issues. (Amended on June 18,

2014; December 16, 2015)

1. [Deleted on December 16, 2015]

2. [Deleted on December 16, 2015]

(2) In cases where the cause for designation as administrative issue pursuant to paragraph (1) has been resolved, the Exchange shall release the securities concerned from such designation.

(3) The Exchange shall stipulate the criteria for releasing the stocks from designation as administrative issue, the period of designation as administrative issue and release from such designation, and other necessary matters in the Enforcement Rules.

### **§116. Delisting**

(1) In cases where ETF securities fall under any of the following subparagraphs, The Exchange shall delist the ETF securities concerned: (Amended on June 18, 2014, August 27, 2014; February 11, 2015; December 16, 2015; May 2, 2017, December 7, 2022)

1. Case where the correlation coefficient (hereinafter referred to as the “correlation coefficient”) between the daily change rate of net asset value per unit or per stock of ETF securities (excluding the securities for which one (1) year has not elapsed since the listing date) and the daily change rate of the price or index which the ETF tracks has been less than 0.9 (0.7 for active ETFs) for three (3) consecutive months. In such cases, the method for deriving the coefficient shall be stipulated in the Enforcement Rules; (Amended on April 15, 2026)

2. Case where the index tracked by ETF falls under any of the following items:

(a) Where the index cannot be derived or used. Provided that a temporary halt such as discontinued calculation of the index shall be excluded; and

(b) Case where the index calculation standards have been changed. Provided that, in the case of falling under any of the followings and being acknowledged by the Exchange to have no issue on investor protection, such cases shall be excluded.

(i) Where the change of calculation standards is inevitable due to the amendment of relevant laws and regulations; and

(ii) Where the market for the trading of underlying assets and the major assets for investment remain the same and the continuity of the investment strategies, etc. of the index concerned is maintained even after the change

in calculation standards.

- 2-2. Case where stocks that are underlying assets of single-stock ETFs are delisted; [April 15, 2026]
3. Case where there is no liquidity providing member which has entered into the liquidity provision agreement pursuant to [§113(2)2(b)];
4. Case where a liquidity provision agreement has not entered into with other liquidity providing members pursuant to [§113(2)2(b)] within one (1) month from the date when all the liquidity providing members for the issue concerned fall under the criteria for replacing a liquidity providing member;
5. Case where the trading counterparty in synthetic ETFs falls under any of the following items:
  - (a) Where the permit under [§113(2)5(a)(i)] has been cancelled or the status as a reliable financial company has been lost;
  - (b) Where the grade under [§113(2)5(a)(ii)] falls below the investment grade pursuant to Article 80(5)1 of the Enforcement Decree of the Act;
  - (c) Where the net capital ratio under [§113(2)5(a)(iii)] has been less than the ratio specified in subparagraph 1(a) of [Table 10-2] of the Regulations on Financial Investment Business for three (3) consecutive months. In such cases, when it is difficult to calculate the net capital ratio as in the case of foreign financial companies, etc., it shall be the case where any similar financial ratio that is recognized by the Exchange does not meet the criteria set by the Exchange;
  - (d) Case of the adverse audit opinion, disclaimer of audit opinion and qualified audit opinion due to restriction on the scope of audit, suspension of business, default of checks or bills, discontinuation of transactions with banks, impairment of the entire capital stock, filing of the application for rehabilitation procedures, dissolution pursuant to the laws, etc. (excluding the merger, etc.); and
  - (e) Where, as an instance of termination or reaching of the expiration of the trading agreement on OTC derivatives products before the expiration date of such an agreement, there is no agreement equivalent thereto
6. Case where the cause of designation as administrative issue continues at the end of the following semiannual period while the stocks have been designated as administrative issue by falling under [§115 (1)];
7. Case where a corporation that has listed ETF securities has breached the obligations for reporting, etc. intentionally, due to gross negligence or

habitually;

8. Case where a corporation that has listed the stocks of ETF falls under the cause for delisting of the stocks of an investment company pursuant to each subparagraph of [§104(1)] (excluding the causes for breach of reporting obligations noted in [§104(1)4]);

9. Case where a corporation that has listed the beneficiary certificates of ETF falls under the causes for terminating investment trusts pursuant to Paragraph (1) or (2) of Article 192 of the Act; and

10. Other cases where the Exchange deems that the delisting of ETFs is necessary for the sake of public interest and investor protection

(2) Even in the case where ETF securities fall under paragraph (1)5 [excluding item (c)], the Exchange may postpone the delisting if it deems that maintaining the listing is necessary by taking into account the impact on investors. In such cases, the matters necessary for postponing the delisting shall be stipulated in the Enforcement Rules.

(3) Provisions of [§104(2)] concerning deferment of delisting of stocks of investment companies shall apply *mutatis mutandis* to the corporations that have listed stocks of ETFs.

#### **§117. Reporting Obligations, etc.**

(1) Any corporation that has listed ETF securities, in the event where the cause falling under any of the following subparagraphs has occurred, shall report the details thereof to the Exchange by the deadline stipulated in each subparagraph concerned: (Amended on December 16, 2015; May 2, 2017; August 26, 2022)

1. The distribution of profits. In such cases, the provisions of [§105(2)] or [§110(3)] shall apply *mutatis mutandis* thereto;

2. The net asset value, asset composition details and asset composition details needed for the creation or redemption: On a daily basis;

3. In cases where a synthetic ETF falls under the causes set forth in the Enforcement Rules, such as the changes in the rating of trading counterparty and the assessed risk exposure of the trading counterparty: Without delay;

4. In the case of an active ETF, for the matters specified in the Enforcement Rules, including the status of asset composition by credit ratings of the included assets: Within one (1) month based on the last day of each month;

5. Case of intending to file the application for delisting due to the causes for

delisting of investment trust under Subparagraph 3 or 4 of Article 223 of the Enforcement Decree of the Act: One (1) month prior to the scheduled date for delisting;

5-2. In cases where an expiration date is stipulated in the collective investment agreement and the delisting is scheduled as such arrival of expiration date constitutes the cause of termination of an investment trust or dissolution of an investment company : One (1) month prior to the scheduled date for delisting;

6. When there is a change in the calculation standards for the price or index that the ETF tracks: One (1) month prior to the scheduled date for the change; and

7. Other cases that are deemed necessary by the Exchange for the management of listing and stipulated in the Enforcement Rules: Without delay.

(2) Any corporation that has listed ETF securities shall submit to the Exchange the annual report and the document on closing accounts pursuant to the Act by the statutory deadline.

(3) Any corporation that has listed ETF securities shall designate the employees who perform the tasks relating to the submitting documents and reporting noted in paragraphs (1) and (2) and shall appoint the staff in charge among those employees. In such cases, the corporation, when designating or changing the employees concerned or the person in charge, shall notify the details thereof.

(4) Provisions of [§84] concerning attendance at general meetings of shareholders shall apply *mutatis mutandis* to the corporations that have listed stocks of ETFs. (Amended on October 1, 2014; August 28, 2019)

## **Section 2. Foreign ETF Securities**

### **§118. Application for Preliminary Listing Review and Initial Listing**

(Amended on December 7, 2022)

With respect to an application for preliminary listing review and initial listing of foreign ETF securities, provisions of [§112] and [§113] concerning application for preliminary listing review and initial listing of ETF securities respectively shall apply *mutatis mutandis*. (Amended on December 7, 2022)

### **§119. Review Criteria for Initial Listing**

(1) In the case of intending to initially list the foreign ETF securities, all the review criteria noted in each of the following subparagraphs shall be satisfied: (Amended on August 28, 2019, December 7, 2022)

1. The market capitalization and the number of securities of a foreign ETF shall meet all the requirements in each of the following items:

(a) The market capitalization of securities to be listed shall be at least KRW 7 billion. In such cases, the market capitalization shall be the amount assessed by applying the net asset value per security publicly announced recently, the basic rates under the Foreign Exchange Transaction Regulation and the adjusted basic rates to the quantity of securities to be listed; and

(b) The number of stocks to be listed shall be at least one hundred thousand (100,000) shares, or the number of beneficiary certificates to be listed shall be at least one hundred thousand (100,000) units.

2. The liquidity provision agreement shall be concluded with at least one (1) liquidity providing member pursuant to the Business Regulation.

3. The underlying asset requirement noted in [§113(2)3], the requirement for asset composition method noted in [§113(1)4], the requirement for a synthetic ETF noted in [§113(1)5], the duration requirement noted in [§113(1)6] and the requirement for agreement on the use of index, etc. noted in [§113(1)7] shall be satisfied.

4. In the case of the stocks of foreign ETF (hereinafter referred to as the “stocks of foreign ETF”), the requirement for lawsuits, etc. noted in [§101(3)4] and the requirement for stock transfer restriction noted in [§101(3)5] shall be satisfied.

5. Foreign ETFs shall have been registered with the FSC pursuant to Article 279 of the Act.

6. Foreign ETF securities shall have been listed on a foreign exchange.

(2) With respect to the initial listing of foreign ETF securities, the provisions on comprehensive review under [§113(3)] and provisions on notification of approval of initial listing under [§113(4)] concerning the initial listing of ETFs and the provisions on rejecting the listing application under [§113(5)] shall apply *mutatis mutandis*. (Amended on December 7, 2022)

## **§120. Supplementary Listing and Listing Change**

(1) With respect to the supplementary listing and listing change of foreign ETF securities, the provisions of [§102] and [103] concerning the supplementary listing and listing change of the stocks of an investment company and [§107] and [108] regarding the supplementary listing and listing change of beneficiary certificates shall apply *mutatis mutandis*. Provided that the change of trust principal among the causes for listing change shall be excluded, and the case of quantity change shall be limited to the change as a result of redemption.

(2) Notwithstanding paragraph (1), in cases where a corporation that has listed foreign ETF securities intends to conduct supplementary listing or listing change as a result of the change in quantity, such a corporation shall submit to the Exchange the application concerned by the trading day that is immediately before the scheduled listing date.

#### **§121. Designation of Administrative Issue**

With respect to the designation of foreign ETF securities as administrative issue, the provisions of [§115] concerning the designation of ETF securities as administrative issue shall apply *mutatis mutandis*. In such cases, the “principal amount of trust” noted in [§115(1)] shall be construed as the “market capitalization” (referring to the market capitalization specified in the latter part of [§119(1)1a]. (Amended on December 16, 2015)

#### **§122. Delisting**

(1) With respect to the delisting of foreign ETF securities, the provisions of [§116] concerning the delisting of ETF securities shall apply *mutatis mutandis*. In such cases, the cause for delisting related to the failure of submitting annual report shall apply on the basis [§123(2)].

(2) Separately from paragraph (1), in cases where a stock of a foreign ETF listed on a foreign exchange falls under the delisting criteria of the relevant foreign exchange, the Exchange shall delist the stock of the relevant foreign ETF. Provided that, in cases where it is deemed necessary to maintain the listing in consideration of the impact on investors, the Exchange may defer the delisting. In such cases, the matters necessary for deferring of the delisting shall be stipulated in the Enforcement Rules.

#### **§123. Reporting Obligations, etc.**

(1) Any corporation that has listed the foreign ETF securities shall, in the event where the causes falling under any of the following subparagraphs have occurred, report the details thereof to the Exchange by the deadline determined in each subparagraph: (Amended on December 16, 2015; August 26, 2022)

1. Case where the shareholders’ register has been closed or the base date has been determined for distributing profits or finalizing a person who will exercise shareholders’ rights or where the register of beneficiary certificates has been closed or the base date has been determined for finalizing the distribution of profits generated from beneficiary certificates: Fifteen (15) days prior to the relevant period or the base date. Provided that it shall be the period of the home country, in case where the notice and announcement period is different under the laws and regulations of the home country;



2. The quarterly sum of the quantity listed at home and abroad: After the end of a quarter to the end of next month;
3. Case of falling under [§117(1)2 through 5-2]: By the deadline stipulated in each subparagraph concerned; and
4. Other cases that are deemed necessary by the Exchange for the management of listing and stipulated in the Enforcement Rules: Without delay

(2) Any corporation that has listed the foreign ETF securities, in case of submitting a document equivalent to the annual report pursuant to Article 90 of the Act to the home country, shall submit to the Exchange such a document within ten (1) days from the date of submission to the home country.

(3) Any corporation that has listed the foreign ETF securities shall designate the employees to be in charge of the reporting and the tasks of document submission specified in paragraphs (1) and (2) and shall designate a responsible person among such employees. In such cases, if the employees and responsible person concerned have been designated or changed, the details thereof shall be reported to the Exchange.

(4) Provisions of [§84] concerning attendance at general meetings of shareholders shall apply *mutatis mutandis* to the corporations that have listed foreign ETF securities. (Amended on October 1, 2014)

## **CHAPTER V. STOCKS OF REAL ESTATE INVESTMENT TRUSTS**

### **§124. Preliminary Listing Review**

(1) Each applicant for initial listing of the stocks of real estate investment trusts shall, before filing the application for initial listing pursuant to [§127], submit to the Exchange the application for preliminary listing review and the supplementary documents set forth the Enforcement Rules to undergo the preliminary listing review. Provided that it shall be limited to the case where the applicant for initial listing does not fall under the real estate investment trusts whose investment ratio in the real estate development project does not exceed 30/100 of the total assets (hereinafter referred to as the “non-development entrusted management real estate investment trusts”), from among the real estate investment trusts prescribed in Subparagraphs 1(b) and 1(c) of Article 2 of the Real Estate Investment Company Act (hereinafter referred to as the “entrusted management real estate investment trusts”). (Amended on December 20, 2018)

(2) With respect to initial listing of real estate investment trusts, any shareholder

(including a person who has acquired the stocks from the shareholder) who owns the stocks, etc. issued by way of private offering within one (1) year retroactive from the expected listing date shall mandatorily hold the stocks, etc. for one (1) year from the issuance date. Provided that, if the date is within six (6) months from the listing date, the period of mandatory holding shall be extended to the date on which six (6) months elapse after the listing date. (Amended on August 28, 2019; March 16, 2022)

(3) With respect to the mandatory holding under paragraph (2), each applicant for initial listing shall submit to the Exchange the supplementary documents specified in the Enforcement Rules by the deadline set in the Enforcement Rules. (Amended on August 28, 2019)

(4) Applicants for initial listing under paragraph (1) shall, before filing the application for preliminary listing review, consult with the Exchange over the procedures and schedule of listing, etc. (Amended on December 20, 2018)

(5) Applicants for initial listing under paragraph (1) shall satisfy all the formality review requirements noted in each of the following subparagraphs: [December 20, 2018] (Amended on December 7, 2022)

1. Authorization and registration: The real estate investment trusts shall have obtained the authorization for business pursuant to Article 9 of the Real Estate Investment Company Act or shall have been registered pursuant to Article 9-2 of the same Act.

2. Size of business: As of the date of application for preliminary listing review, all the requirements noted in each of the following items shall be satisfied. Provided that, in the case of a corporation that conducts a public offering or secondary distribution after filing the application for preliminary listing review, it shall be judged based on the date of application for initial listing under [§127(1)].

(a) The number of common stocks to be listed shall be one million (1,000,000) or more; and

(b) The equity capital shall be KRW 10 billion or more. In such cases, the equity capital of a corporation that owns a subsidiary shall be based on the amount obtained by excluding the non-controlling interests from the total capital on the consolidated financial statements.

3. Share distribution: As of the date of application for preliminary listing review, all the requirements noted in each of the following items shall be satisfied. Provided that, for a corporation that conducts a public offering or secondary distribution after filing the application for preliminary listing review it shall be judged based on the date of application for initial listing under [§127(1)].

(a) The number of stocks publicly offered or distributed shall be 25/100 or more of the total number of common stocks; and

(b) The number of shareholders shall be two hundred (200) or more.

4. Audit opinion: The auditor's audit opinion on the individual financial statements (in the case of a corporation that owns a subsidiary, it refers to the consolidated financial statements; the same hereinafter in this Article) of the latest three (3) business years [it shall be three (3) calendar years, if one (1) business year is shorter than one (1) calendar year] shall be the unqualified opinion. Provided that, if three (3) business years have not yet elapsed after the incorporation, it shall be the individual financial statements for the business years elapsed, and if one (1) business year has not yet elapsed after the incorporation, it shall be the individual financial statement for the months elapsed.

5. Capital impairment: As of the date of application for preliminary listing review (in the case of a corporation that conducts a public offering or secondary distribution after filing the application for preliminary listing review, it shall be judged based on the date of application for initial listing), there shall be no capital impairment [in the case of a real estate investment trust for which three (3) years have not yet elapsed after obtaining the authorization or being registration pursuant to subparagraph 1, there shall be no capital impairment in excess of 5/100 of the capital stock]. In such cases, for a corporation that owns a subsidiary, this requirement shall apply on the basis of the capital stock and total capital (excluding non-controlling interests) on the consolidated financial statements.

6. Business performance: In the case of a real estate investment trust for which three (3) years have elapsed after obtaining the authorization or being registered pursuant to subparagraph 1, all the requirements noted in each of the following items shall be satisfied. Provided that, if the latest business year is shorter than one (1) calendar year, it shall be based on one (1) calendar year.

(a) The sales amount of the latest business year (for a real estate investment trust that owns a subsidiary, it refers to the sum of the sales amounts calculated by multiplying the sales of the real estate investment trust on the separate financial statements and the sales of the subsidiary by the percentage of stake; the same hereinafter in this Chapter) shall fall under any of the followings:

(i) It shall be KRW 30 billion or more;

(ii) For a real estate investment trust of which the size of real estate development business is less than 30/100 of the total assets, it shall be

KRW 10 billion or more.

(iii) For a real estate investment trust, the size of real estate development business of which exceeds 30/100 of the total assets, which, as an enterprise-type rental business operator prescribed in Article 2 of the Special Act on Private Rental Housing, constructs the rental housing under Subparagraph 1 of Article 3 of the Enforcement Decree of the same Act and satisfies all the requirements set forth in the Enforcement Rules, it shall be KRW 20 billion or more.

(b) There shall be the operating income, income before tax from continuing operations and net income generated in the latest business year, and, on the basis of the least amount among the operating income, income before tax from continuing operations and net income concerned, it shall fall under any of the followings. In such cases, for a corporation that owns a subsidiary, it shall be based on the amount of each income on the consolidated financial statements, but the amount of income in (i) and (ii) shall be based on the amount obtained by excluding the non-controlling interests from the consolidated net income.

(i) The amount of income for the latest business year shall be KRW 2.5 billion or more; and

(ii) The return on equity for the latest business year shall be 5 percent or higher.

7. Asset composition: As of the date of application for preliminary listing review, the ratio of real estate properties to the total assets shall be 70 percent or higher. Provided that, in the case of a corporation that conducts a public offering or secondary distribution after filing the application for preliminary listing review, it shall be judged based on the date of application for initial listing under [§127(1)].

8. Restriction on stock transfer: No restriction shall be placed on the transfer of stocks. Provided that this subparagraph shall not apply to the case where the transfer of stock is restricted pursuant to other statutes, the articles of incorporations, etc., which is acknowledged by the Exchange not to undermine the stock transaction in the KOSPI Market.

9. Lawsuits, etc.: There shall be no dispute that may have a material effect on the company management, including lawsuits.

(6) The Exchange shall review if the listing of stocks of a real estate investment trust of a corporation that satisfies the formality review requirements under paragraph (5) is appropriate, by comprehensively taking into account the matters specified in each of the following subparagraphs: [December 20, 2018]

1. Business continuity shall be recognized in light of the business and financial conditions and management environment;
2. The transparency of management shall be recognized in light of the corporate governance, internal control system, corporate disclosure system and transactions with the related persons;
3. It shall be recognized as a corporation prescribed in the Commercial Act from the perspective of legal attributes and operational methods; and
4. In addition, it shall be deemed not to impede the investor protection and sound development of the KOSPI Market.

#### **§125. Notification of Result of Preliminary listing review**

(1) Upon receiving the application for preliminary listing review of a real estate investment trust, the Exchange shall notify, in writing, the applicant for the preliminary listing review and the FSC of the result of the preliminary listing review within forty-five (45) days (on the basis of trading days) from the date of having received the application for preliminary listing review.

(2) Notwithstanding paragraph (1), in cases where it is necessary to correct or supplement the application for preliminary listing review or an additional review is necessary, the Exchange may postpone the notification of the review result. In such cases, the Exchange shall notify, in writing, the concerned applicant for preliminary listing review of the reasons and estimated processing time.

(3) In cases where the applicant for preliminary listing review, before the Exchange notifies the result of preliminary listing review pursuant to paragraph (1), was reported or notified to the prosecutor's office by the SFC or received such disciplinary measures as the restriction on securities issuance or penalties with respect to financial documents stipulated in the Enforcement Rules, the Exchange may turn down the relevant application for preliminary listing review.

(4) The Exchange shall make the final decision on the result of preliminary listing review through the deliberation of the Listing and Disclosure Committee. Provided that, in the case of turning down an application for preliminary listing review pursuant to paragraph (3), the deliberation of the Listing and Disclosure Committee may be bypassed: (Amended on December 20, 2018)

1. [Deleted on December 20, 2018]
2. [Deleted on December 20, 2018]

#### **§126. Invalidation of Effect of Result of Preliminary Listing Review**

(1) In cases where it is deemed by the Exchange that the occurrence of any of the causes falling under each of the following subparagraphs has a material impact on the results of preliminary listing review after the Exchange notifies the results of preliminary listing review pursuant to [§125], the Exchange may not acknowledge the effect of the results of preliminary listing review;

1. Case where a material fact on the business management has occurred;
2. Case where material matters for investor protection are falsely stated in or omitted from the application for preliminary listing review;
3. With respect to the financial documents stipulated in the Enforcement Rules, case of having been reported or notified to the prosecutor's office or received such disciplinary measures as the restriction on stock issuance or penalties for violation of the domestic accounting standards;
4. Case where the details of the prospectus, the preliminary and simplified prospectuses have been corrected;
5. Case where the application for initial listing has not been submitted within six (6) months from the date when the results of preliminary listing review were received. Provided that, in the event where the extension of submission deadline has been requested by the applicant for initial listing concerned for inevitable reasons such as a sudden change in the conditions of the KOSPI Market and such extension has been approved by the Exchange, the deadline for submission may be extended up to six (6) months; and
6. Other cases that are deemed by the Exchange to have a major impact on the results of preliminary listing review and stipulated in the Enforcement Rules

(2) In cases where the applicant for initial listing intends to file the application for the stocks concerned again after the results of preliminary listing review have been invalidated pursuant to paragraph (1), such an applicant shall submit to the Exchange the application of preliminary listing review and undergo preliminary listing review.

(3) The Exchange, when having made a decision not to acknowledge the effect of the results of preliminary listing review pursuant to paragraph (1), shall officially announce such a fact and notify such a fact to the applicant for preliminary listing review and the FSC in writing.

## **§127. Initial Listing**

(1) Each applicant for the initial listing of stocks of a real estate investment trust shall submit to the Exchange the application for initial listing and the supplementary documents set forth in the Enforcement Rules. In cases where it has

passed the preliminary listing review under [§124(1)], Provided that the application for initial listing shall be filed within six (6) months from the date on which it was notified of the results of the preliminary listing review (to the extended date in cases where the deadline for submission has been extended due to the causes noted in the proviso to [§126(1)5]), and if no changes have been made to the documents submitted when filing the application for preliminary listing review, the submission of the supplementary documents concerned may be bypassed. (Amended on December 20, 2018)

(2) The applicant for the initial listing of stocks of a real estate investment trust shall satisfy all the formality review requirements noted in each of the following subparagraphs, as of the date of application for initial listing: (Amended on June 18, 2014; April 29, 2015; November 4, 2015; October 5, 2016; December 20, 2018)

1. Authorization and registration: The real estate investment trust shall obtain authorization for business from the Minister of the competent Ministry pursuant to Article 9 of the Real Estate Investment Company Act or shall be registered with the Minister of the competent Ministry pursuant to Article 9-2 of the same Act.

2. Size of business: The requirements noted in each of the following items shall be met.

(a) The number of common stocks to be listed shall be one million (1,000,000) or more; and

(b) The equity capital shall be KRW 10 billion or more. In such cases, the equity capital of a corporation that owns a subsidiary shall be based on the amount obtained by excluding the non-controlling interests from the total capital on the consolidated financial statements.

3. Share distribution: All the requirements noted in each of the following items shall be met.

(a) The number of stocks publicly offered or distributed shall be 25/100 or more of the total number of common stocks; and

(b) The number of shareholders shall be two hundred (200) or more.

4. Audit opinion: The auditor's audit opinion on the individual financial statements of the recent three (3) business years [it shall be three (3) calendar years, if one (1) business year is shorter than one (1) calendar year] shall be the unqualified opinion. Provided that, if three (3) business years have not yet elapsed since the incorporation, it shall be the individual financial statements for the business years elapsed, and if one (1) business year has not yet elapsed since the incorporation, it shall be the individual financial statements for the months elapsed.

5. Capital impairment: There shall be no capital impairment [in the case of a real estate investment trust for which three (3) years have not yet elapsed after obtaining the authorization or being registered pursuant to subparagraph 1, there shall be no capital impairment in excess of 5/100 of the capital stock]. In such cases, for a corporation that owns a subsidiary, this requirement shall apply on the basis of the capital stock and total capital (excluding non-controlling interests) on the consolidated financial statements.

6. Business performance: In the case of a non-development entrusted management real estate investment trust for which three (3) years have elapsed after obtaining the authorization or being registered pursuant to subparagraph 1, the requirements noted in each of the following items shall be met. Provided that, if the latest business year is shorter than one (1) calendar year, it shall be based on the calendar year.

(a) The sales amount of the latest business year shall be KRW 7 billion or more.

(b) There shall be the operating income, income before tax from continuing operations and net income in the latest business year, and, on the basis of the least amount among the operating income, income before tax from continuing operations and net income concerned, it shall fall under any of the followings:

(i) The amount of income for the latest business year shall be KRW 2.5 billion or more; and

(ii) The return on equity for the latest business year shall be 5 percent or higher.

7. Asset composition: The ratio of the real estate properties to the total assets shall be 70 percent or higher.

8. Restriction on stock transfer: No restriction shall be placed on the transfer of stocks. Provided that this subparagraph shall not apply to the case where the transfer of stock is restricted under other laws, regulations, the articles of incorporations, etc. which is acknowledged by the Exchange not to undermine the stock transaction in the KOSPI Market.

9. Lawsuit, etc.: There shall be no dispute that may have a material effect on the company management, including a lawsuit.

(3) Notwithstanding paragraph (2), the Exchange may turn down the application for listing in case where the listing of the stocks of a real estate investment trust is deemed to be inappropriate for the sake of public interest and investor protection. (Amended on December 20, 2018)



(4) With respect to the initial listing of stocks of a real estate investment trust, the provisions of [§24] concerning the approval and postponement of listing of securities shall apply *mutatis mutandis*.

### **§128. Supplementary Listing and Listing Change**

With regards to the supplementary listing and listing change of the stocks of a real estate investment trust, the provisions of [§102] regarding the supplementary listing and [§103] concerning the listing change of the stocks of an investment company shall apply *mutatis mutandis*. In such cases, the instances of changing the par value or converting the par value stock into the no par value stock or vice versa shall be subject to listing change.

### **§129. Designation of Administrative Issue**

(1) The Exchange, in case where a corporation that has listed the stocks of a real estate investment trust falls under any of the following subparagraphs, shall designate the stocks of the real estate investment trust concerned as administrative issue: (Amended on June 18, 2014; April 29, 2015; October 5, 2016; December 20, 2018, December 7, 2022)

1. Failure of submitting regular reports: Case where the annual report, half-yearly report or quarterly report has not been submitted by the statutory deadline;
2. Auditor's opinion not up to standards: Case where the auditor's audit opinion or review opinion falls under any of the followings:
  - (a) Where the auditor's audit opinion on the individual financial statements for the latest business year is the qualified opinion due to the restriction on the scope of audit; and
  - (b) Where the auditor's audit opinion on the individual financial statements for the latest semi-annual period is adverse or disclaimer of opinion
3. Capital impairment: Case where at least 50/100 of the capital stock has been impaired as of the end of the latest business year. In such cases, for a corporation that owns a subsidiary, this requirement shall apply on the basis of the capital stock and total capital (excluding non-controlling interests) on the consolidated financial statements.;
4. Sales amount not up to standards: Case where the amount of sales as at the end of the latest business year falls under any of the followings:
  - (a) Where it is less than KRW 5 billion, for a corporation of which the size of

real estate development business exceeds 30/100 of total assets; or

b. Where it is less than KRW 3 billion, for a corporation of which the size of real estate development business does not exceed 30/100 of total assets.

5. [Deleted on December 7, 2022]

6. Market capitalization not up to standards: Case where the market capitalization continues to be less than KRW 5 billion for thirty (30) days;

7. Application for bankruptcy, etc.: Case where an application for commencement of rehabilitation procedures or for bankruptcy has been filed pursuant to the Act on Debtor Rehabilitation and Bankruptcy. Provided that, in the event of filing the application for bankruptcy, the cases where the designation of administrative issue is deemed not necessary by the Exchange for the sake of public interest and investor protection shall be excluded;

8. Noncompliance with the disclosure obligations: Case where the demerit points have been assessed due to falling under any of the following items and at least fifteen (15) penalty points have been accumulated within one (1) year retroactive from the assessment date of the demerit points concerned:

(a) Case of having been designated as an unfaithful disclosure corporation pursuant to [§35] of the Disclosure Regulation;

(b) Case of having failed to submit the improvement plan noted in [§39] of the Disclosure Regulation; and

(c) Case of not having responded to the request for replacing a person responsible for disclosure/a person in charge of disclosure pursuant to [§88] of the Disclosure Regulation

9. Requirements on asset composition not up to standards: Case of having failed to meet the asset composition requirement pursuant to Article 25(1) of the Real Estate Investment Company Act [Article 49-2(1) of the same Act in the case of a corporate restructuring real estate investment trust] for two (2) consecutive quarters; (Amended on July 9, 2025)

10. Requirements on dividends not up to standards: Case of failing to meet the dividend requirement pursuant to Article 28 of the Real Estate Investment Company Act;

11. Business performance not up to standards: Case where a non-development entrusted management real estate investment trust has made a decision that causes the size of the investment in real estate development business to exceed 30/100 of total assets, and the company's sales amount of the latest business year

is less than KRW 30 billion;

12. Occurrence of a cause for delisting: Case where a reason for delisting under each subparagraph (excluding subparagraph 7) of [§130(1)] has occurred; and

13. Other cases where the designation as administrative issue is deemed necessary by the Exchange for the sake of public interest and investor protection

(2) In cases where the cause for designation as administrative issue pursuant to paragraph (1) has been resolved, the Exchange shall release such designation without delay. In such cases, the provisions of [§47(2)] concerning the release of common stocks from the designation as administrative issue shall apply *mutatis mutandis*.

(3) The Exchange shall stipulate the methods for applying the causes for designation as administrative issue, the period of designation as administrative issue and release from such designation, and other necessary matters in the Enforcement Rules.

### **§130. Delisting**

(1) In cases where a corporation that has listed the stocks of a real estate investment trust falls under any of the following subparagraphs, the Exchange shall delist the stocks of the real estate investment trust concerned: (Amended on April 29, 2015; November 4, 2015; October 5, 2016; December 20, 2018, December 7, 2022)

1. Failure to submit regular reports: Case of falling under any of the following items with respect to the annual report, semi-annual report, or quarterly report:

(a) Case where, while being designated as administrative issue due to the failure of submitting a regular report pursuant to [§129(1)1], the annual report concerned has not been submitted within ten (10) days from the statutory deadline; and

(b) Case where, while being designated as administrative issue due to the non-submission of quarterly report or half-yearly report pursuant to [§129(1)1], additional annual report, half-yearly report or quarterly report has not been submitted by the statutory deadline

2. Auditor's opinion not up to standards: Case where the auditor's audit opinion or review opinion falls under any of the following items:

(a) Case where the auditor's audit opinion on the individual financial statements for the latest business year is adverse or disclaimer of opinion; and

(b) Case where, while being designated as administrative issue due to the

restriction on the scope of audit pursuant to [§129(1)2(a)], the auditor's audit opinion on the individual financial statements for the latest business year is the qualified opinion due to the restriction on the scope of audit.

3. Capital impairment: Case where the entire capital stock as of the end of the latest business year has been impaired;

4. [Deleted on December 7, 2022]

5. [Deleted on December 7, 2022]

6. Market capitalization not up to standards: Case where, while being designated as administrative issue due to the shortage of market capitalization pursuant to [§129(1)6], the market capitalization fails to satisfy any of the following items for ninety (90) days from the designation as administrative issue:

(a) It shall continue to be at least KRW 5 billion for at least ten (10) days; and

(b) The number of days when it is no less than KRW 5 billion shall be at least thirty (30) days.

7. Dissolution: Case where the causes for dissolution pursuant to the laws have occurred;

8. Default or suspension of transactions with banks: Case where the bills or checks issued have been processed as default or the transactions with banks have been suspended;

9. Restriction on stock transfer: Case where the stock transfer is restricted. Provided that, where, as a case of restricting stock transfer pursuant to the laws, regulations, and the articles of incorporation, etc., the Exchange judges that such restriction does not impede the trading in the KOSPI Market, this Subparagraph shall not apply.

10. Requirements on asset composition not up to standards: Case where the cause for designation as administrative issue has not been resolved within one (1) year from the date of such designation pursuant to [§129(1)9];

11. Requirements on dividends not up to standards: Case of having failed to meet the dividend requirement pursuant to Article 28 of the Real Estate Investment Company Act for the recent two (2) business years consecutively;

12. Business suspension: Case where it has been confirmed that the entire business was suspended, or the corporation is in the status equivalent thereto. Provided that this subparagraph shall not apply to a self-managed investment company; and

13. Business performance not up to standards: Case where, after having been designated as an administrative issue pursuant to [§129(1)11], the cause for such designation has not been resolved within one (1) year after the designation.

(2) In cases where the Exchange, when comprehensively taking into consideration corporate sustainability, management transparency and other matters such as public interest and investor protection, deems it necessary to delist the stocks of a real estate investment trust as a result of conducting listing maintenance review by applying [§49] *mutatis mutandis* to the corporation that has listed the stocks of real estate investment trust falling under any of the following subparagraphs, it shall delist the stocks of the real estate investment trust concerned: (Amended on June 18, 2014; November 4, 2015, December 7, 2022)

1. Case where, while being designated as an administrative issue due to impairment of capital pursuant to [§129(1)3], 50/100 or more of the capital stock is impaired as of the end of the latest business year;
2. The sales amount not up to standards: Case where, while being designated as an administrative issue pursuant to [§129(1)4], the sales amount falls under any of the followings as of the end of the latest business year:
  - (a) Where it is less than KRW 5 billion, as a corporation of which the size of real estate development business exceeds 30/100 of the total assets; or
  - (b) Where it is less than KRW 3 billion, as a corporation of which the size of real estate development business does not exceed 30/100 of the total assets.
3. Case where, while being designated as administrative issue pursuant to [§129(1)8] due to the filing of application for commencement of rehabilitation procedures, there has been court's decision on dismissal of the commencement of rehabilitation procedures, cancellation of the decision on the commencement of rehabilitation procedures, disapproval of the rehabilitation proposal or discontinuation of rehabilitation procedures. Provided that, in the case of the application for commencement of simplified rehabilitation procedures, the case where the decision on the commencement of rehabilitation procedures under Paragraph (2)2(a) of Article 293-5 of the Debtor Rehabilitation and Bankruptcy Act has been made or where the rehabilitation procedures is proceeded pursuant to Paragraph (4) of the same Article shall be excluded;
4. Any corporation that has been designated as administrative issue due to the breach of disclosure obligations pursuant to [§129(1)8] and falls under any of the following items:
  - (a) Case where at least fifteen (15) demerit points have been accumulated for

the last one (1) year due to unfaithful disclosure; and

(b) Case of having been designated as an unfaithful disclosure corporation owing to the breach of disclosure obligations on purpose or due to gross negligence

5. Case where material matters related to investor protection were found to have been falsely stated in or omitted from the documents submitted in the course of listing or delisting reviews; and

6. Case where a self-managed real estate investment trust falls under the causes {in case of [§48(2)6(d)], the judgment made pursuant to item (d) of [§50(1)4] of the Enforcement Rules shall be excluded.} noted in each item of [§48(2)6].

(3) Any corporation that has listed the stocks of a real estate investment trust that corresponded to the causes for delisting noted in each of the following subparagraphs and received notification from the Exchange as a result may raise an objection to delisting by applying [§25] *mutatis mutandis* thereto. (Amended on June 18, 2014, December 7, 2022):

1. Reason of failure to submit the regular report noted in the paragraph (1)1;
2. Auditor's opinion not up to standards as noted in paragraph (1)2;
3. [Deleted on November 4, 2015];
4. [Deleted on November 4, 2015];
5. Default or suspension of transactions with banks as noted in paragraph (1)8;
6. Restriction of stock transfer as noted in paragraph (1)9;
7. Business suspension as noted in paragraph (1)12; and
8. Listing maintenance review as noted in paragraph (2)

(4) The methods for applying the causes for delisting specified in paragraphs (1) and (2) and other necessary matters shall be stipulated in the Enforcement Rules.

### **§131. Special Provisions on Designation of Administrative Issue and Delisting**

In cases where it is deemed essential for the market management due to a natural disaster, war or other sudden changes in economic conditions, the Exchange may not apply the causes for designation as administrative issue due to the shortage of market capitalization specified in [§129(1)6] and the delisting criteria specified in [§130(1)6] for a fixed period. (Amended on December 7, 2022)

### **§132. Reporting Obligations, etc.**

(1) In cases where an event or cause that is stipulated in the Enforcement Rules as the Exchange deemed it necessary for the listing management has occurred, any corporation that has listed the stocks of a real estate investment trust shall report the

details thereof to the Exchange without delay.

(2) Provisions of [§81] concerning maintenance of transfer agency service contracts, those of [§83] concerning submission of details on changes in stock ownership of the largest shareholder, etc. (limited to the case of a self-managed real estate investment trust) and those of [§84] concerning attendance at general meetings of shareholders shall apply *mutatis mutandis* to the corporations that have listed stocks of real estate investment trusts. (Amended on August 28, 2019)

## **CHAPTER V-II. DIFFERENT CLASSES OF STOCKS OF REAL ESTATE INVESTMENT FUNDS**

[December 20, 2018]

### **§132-2. Application for Initial Listing**

With respect to the initial listing of different class of stocks of real estate investment funds, provisions of [§124] concerning mandatory holding and application for initial listing shall apply *mutatis mutandis*. [December 20, 2018] (Amended on August 28, 2019)

### **§132-3. Review Requirements for Initial Listing**

(1) With respect to the initial listing of different class of stocks of real estate investment funds, the review requirements for initial listing of [§61] [excluding the provisions of paragraph (1) 1 and 4] concerning the initial listing of different class of stocks shall apply *mutatis mutandis*. Provided that the methods for application shall be as noted in each of the following subparagraphs:

1. The requirements on the applicant for initial listing under [§61(1)1]: The applicant shall be a non-development entrusted management real estate investment trust that is an unlisted corporation and shall be an applicant for initial listing of common stocks;
2. The requirements on the number of stocks to be listed under [§61(1)3]: It shall be one million (1,000,000) or more as of the date of application for initial listing; and
3. The requirements on the number of shareholders under [§61(1)6]: It shall be two hundred (200) or more as of the date of application for initial listing.

(2) With respect to initial listing of different class of stocks of real estate investment funds, provisions of [§24] concerning approval and deferment of listing shall apply *mutatis mutandis*.

[December 20, 2018]

#### **§132-4. Supplementary Listing and Listing Change**

With respect to supplementary listing and listing change of different class of stocks real estate investment funds, provisions of [§62] and [§63] shall apply *mutatis mutandis*.

[December 20, 2018]

#### **§132-5. Designation of Administrative Issues**

With respect to designation of administrative issue and release therefrom of the different class of stock of real estate investment funds, provisions of [§64] [excluding the provisions of paragraph (1) 2 through 4] shall apply *mutatis mutandis*.

[December 20, 2018]

#### **§132-6. Delisting**

With respect to delisting of different class of stocks of real estate investment funds, provisions of [§65] [excluding the provisions of paragraph (1) 2 through 4] shall apply *mutatis mutandis*.

[December 20, 2018]

### **CHAPTER VI. STOCKS OF SHIP INVESTMENT COMAPNIES**

#### **§133. Initial Listing**

(1) Applicants for initial listing of the stocks of a ship investment company shall submit to the Exchange the application for initial listing and the supplementary documents stipulated in the Enforcement Rules.

(2) With respect to initial listing of stocks of ship investment companies, shareholders who have acquired the stocks privately offered by the applicant for initial listing within one (1) year retroactive from the expected listing date shall mandatorily hold the stocks for one (1) year from the issuance date. In such cases, the applicant for initial listing shall submit the supplementary documents specified in the Enforcement Rules in relation to the mandatory holding to the Exchange when filing the application for initial listing. (Amended on August 28, 2019)



(3) The applicant for initial listing of the stocks of a ship investment company shall satisfy all the review requirements noted in each of the following subparagraphs: (Amended on November 4, 2015)

1. The permission for business under Article 13 or 13-2 of the Act on Ship Investment Company shall have been obtained;
  2. As of the application date of initial listing, the capital stock of the company shall be no less than KRW 5 billion;
  3. The total number of stocks of a ship investment company sold through public offering or secondary distribution shall be no less than 25/100 of the total number of common stocks as of the application date of initial listing, while the number of shareholders shall be at least fifty (50);
  4. An agreement for ship chartering under Article 26 of the Act on Ship Investment Company shall have been entered into. Provided that this subparagraph shall not apply to ship investment companies that invest in the ships disposed for the purpose of debt repayment pursuant to Article 55-3 of the Act on Ship Investment Company;
  5. No restriction shall be placed on the transfer of stocks. Provided that this provision shall not apply to the case where the transfer of stock is restricted under laws, regulations, the articles of incorporation, etc. and the Exchange acknowledges that such restriction does not undermine the stock transaction in the KOSPI Market; and
  6. There shall be no dispute, including a lawsuit, which has a material impact on the company management.
- (4) Notwithstanding paragraph (3), if it is judged that the listing of stocks of a ship investment company is inappropriate for the sake of public interest and investor protection, the Exchange may turn down the listing application concerned.
- (5) With regards to the initial listing of stocks of a ship investment company, [§24] regarding the approval and deferment of stock listing shall apply *mutatis mutandis*.

#### **§134. Supplementary Listing and Listing Change**

With respect to the supplementary listing and listing change of the stocks of a ship investment company, the provisions of [§102] regarding the supplementary listing of stocks of an investment company and [§103] regarding the listing change of an investment company shall apply *mutatis mutandis*. In such cases, the instances of changing the par value and converting the par value stock into the no par value stock or vice versa shall be subject to listing change.

### **§135. Designation of Administrative Issue**

(1) In cases where a corporation that has listed the stocks of a ship investment company falls under any of the following subparagraphs, the Exchange shall designate stocks of the relevant ship investment company as administrative issue: (Amended on December 7, 2022)

1. Case of falling under the cause of failure to submit regular reports under [§129(1)1];
2. Case of falling under the cause for auditor's opinion not up to standards under [§129(1)2];
3. Case of falling under the cause for noncompliance with disclosure obligations under [§129(1)8];
4. Case of failing to meet the requirement for profit distribution under Article 41 of the Act on Ship Investment Company;
5. Occurrence of a cause for delisting: Case where a cause for delisting under each subparagraph (excluding subparagraph 6) of [§136(1)] has occurred; and
6. Other cases where the Exchange deems that the designation as administrative issue is necessary for public interests and investor protection.

(2) In cases where the cause for designation as administrative issue under paragraph (1) has been resolved, the Exchange shall release the relevant stock from such designation without delay. In such cases, the provisions of [§47(2)] concerning the release of common stocks from the designation as administrative issue shall apply *mutatis mutandis*.

(3) The Exchange shall stipulate the methods for applying the causes for designation as administrative issue, the criteria for releasing the stocks concerned from such designation, the period for such designation and release, and other necessary matters in the Enforcement Rules

### **§136. Delisting**

(1) In cases where a corporation that has listed the stocks of a ship investment company falls under any of the following subparagraphs, the Exchange shall delist the stocks of the ship investment company concerned:

1. Case of falling under the cause for the failure of submitting regular reports noted in [§130(1)1];
2. Case of falling under the cause for auditor's opinion not up to standards noted

in [§130(1)2];

3. Case of falling under the cause for stock transfer restriction noted in [§130(1)9];

4. Case of having failed to meet the requirement for profit distribution under Article 41 of the Act on Ship Investment Company for the latest two (2) consecutive business years;

5. Case where it has been confirmed that the entire business was suspended, or the company is in the status equivalent thereto;

6. Case where the cause for dissolution under Article 49 of the Act on Ship Investment Company has occurred; and

7. Other cases where the Exchange deems that the delisting of the stocks of a ship investment company is necessary for the sake of public interest and investor protection

(2) In cases where, as an instance of having been designated as administrative issue due to the noncompliance with disclosure obligations pursuant to [§135(1)3] and having been conducted the listing maintenance review applying [§49] *mutatis mutandis* due to falling under any one of the following subparagraphs, the Exchange deems that delisting is necessary after comprehensively taking into account corporate sustainability, management transparency, and other matters such as public interest and investor protection, it shall delist the stocks of the ship investment company concerned:

1. Case where at least fifteen (15) penalty points have been accumulated for the last one (1) year; and

2. Case where the company has been designated as an unfaithful disclosure corporation as a result of noncompliance with disclosure obligations on purpose or due to gross negligence with regards to the matters that may have a material impact on the corporate management.

(3) In cases where a corporation that has listed the stocks of a ship investment company receives a notification from the Exchange as it falls under the causes for audit opinion not up to standards noted in paragraph (1)1, the reason of failure to submit regular reports noted in paragraph (1)2, the cause of business suspension noted in paragraph (1)5, and the cause for listing maintenance review under paragraph (2), it may raise an objection to delisting by applying [§25] *mutatis mutandis*. (Amended on June 18, 2014, December 7, 2022)

(4) The methods for applying the causes for delisting specified in paragraphs (1) and (2) and other necessary matters shall be stipulated in the Enforcement Rules.

### **§137. Reporting Obligations, etc.**

(1) The corporation that has listed the stocks of a ship investment company shall, when there have been causes that are stipulated in the Enforcement Rules as the exchange deems necessary for the management of listing, report the details thereof to the Exchange without delay.

(2) Provisions of [§81] concerning maintenance of transfer agency service contracts and those of [§84] concerning attendance at general meetings of shareholders shall apply *mutatis mutandis* to the corporations that have listed stocks of ship investment companies. (Amended October 1, 2014; August 28, 2019)

## **PART V. DERIVATIVES LINKED SECURITIES, ETC.**

### **CHAPTER I. GENERAL PROVISIONS**

#### **§138. Definitions**

The terms used in this Part have the following meanings: (Amended on August 27, 2014)

1. The term “equity linked warrants (ELWs)” refers to derivatives-linked securities under Article 4(7) of the Act, which certify the rights to execute trading such as selling/buying or conduct transactions of paying/receiving cash in accordance with the pre-determined method in connection with the fluctuation of prices of equity securities (excluding the collective investment securities) or depositary receipts (limited only to those related to equity securities) that are traded on the domestic exchange or an overseas stock market, or the indices based on the prices thereof; and

2. [Deleted on August 27, 2014]

3. The term “exchange traded notes (ETNs)” refers to derivatives-linked securities under Article 4(7) of the Act, which certify the contractual rights to gain profits or avoid losses in accordance with the pre-determined method correlated to the prices, interest rates, indicators, units under Article 4(10) of the Act or the fluctuation of the index thereof.

## CHAPTER II. EQUITY LINKED WARRANTS (ELWs)

### §139. Preliminary listing review

(1) Each applicant for the initial listing of ELWs shall undergo the preliminary listing review by submitting to the Exchange the application for the preliminary listing review and the supplementary documents stipulated in the Enforcement Rules, prior to filing of the application for the initial listing stipulated in [§140].

(2) The Exchange shall review the application for preliminary listing review and supplementary documents, which the applicant for initial listing for the preliminary listing review submits pursuant to paragraph (1), in accordance with [§140(2) and (3)]. [December 7, 2022]

(3) The Exchange shall notify, in writing, the applicant for initial listing of the ELWs concerned and the FSC of the result of the preliminary listing review within one (1) week from the date of having received the application.

(4) Notwithstanding paragraph (2), in cases where such application and the supplementary documents thereto are to be amended or supplemented or there are other inevitable reasons, the Exchange may postpone the eligibility review and notification thereafter. In such cases, the Exchange shall notify, in writing, the applicant for initial listing concerned of the reasons and estimated handling time.

(5) The Exchange may disregard the validity of the result of the preliminary listing review concerned after having notified the result of preliminary listing review pursuant to paragraph (2), when, because the applicant concerned falls under any of the following subparagraphs, the Exchange judges that it has a considerable influence on the result of the preliminary listing review:

1. Case where a material fact related to the business operation has occurred;
2. Case where it was found that a material fact for investor protection was falsely stated in or omitted from the application for preliminary listing review; and
3. Case where the applicant, who has received the notification of the result of preliminary listing review, has failed to file an application for initial listing of ELWs within three (3) months from the date of having received such notification.

(6) The Exchange shall, when having made a decision to disregard the validity of the result of preliminary listing review pursuant to paragraph (5), disclose such a fact and notify the applicant for initial listing concerned and the FSC of its decision. (Amended on December 7, 2022)

(7) After filing an application for preliminary listing review, an applicant for the initial listing of ELWs shall submit to the Exchange the documents stipulated in the Enforcement Rules by the day that is immediately before the listing date of the relevant ELWs.

#### **§140. Initial Listing**

(1) Each applicant for the initial listing of ELWs, when intending to list the ELWs after passing the preliminary listing review conducted by the Exchange, shall submit the application for initial listing and the supplementary documents stipulated in the Enforcement Rules to the Exchange within three (3) months from the date of having been notified of the result of preliminary listing review.

(2) To be eligible for initial listing, the ELWs shall satisfy all the following requirements: (Amended on June 18, 2014; February 11, 2015; December 16, 2015)

1. Permission: The applicant for initial listing shall be a financial investment company that obtained authorization for investment dealing business targeting securities and OTC derivatives products:

2. Net capital ratio: The net operating capital of the applicant for initial listing shall be greater than or equal to the ratio prescribed in Article 166-2(1)3 of the Act;

3. Underlying assets: The underlying assets shall fall under any of the following items:

(a) From among the constituent stocks of KOSPI 200 index, the stocks ranked top 100 in terms of trading value and stipulated in the Enforcement Rules, or a basket of the relevant constituent stocks;

(b) From among the constituent stocks of KOSDAQ 150 index, the stocks stipulated in the Enforcement Rules by taking into account the market capitalization, or a basket of the relevant constituent stocks;

(c) The stock price indices that satisfy the following requirements, which are stipulated in the Enforcement Rules. In such cases, for the use of the stock price indices, an agreement shall be entered into in advance with a party that holds the legal rights over the relevant stock price indices;

(i) The indices shall be calculated by the Exchange or index providers;

(ii) The indices shall be calculated based on the KOSPI Market, the KOSDAQ Market and the combination of the KOSPI Market and the KOSDAQ Market, or the recognized overseas securities market; and

(iii) There shall be the market for listed index futures or index options, which are based on the relevant indices.

4. Public offering: The ELWs concerned shall have been issued through public offering or secondary distribution;

5. Total issuing amount: The total issuing amount of the ELWs shall be at least KRW 1 billion;

6. Remaining exercise period: The remaining exercise period of ELWs shall be at least three (3) months but no longer than three (3) years as of the application date for listing; and

7. Liquidity provision: The applicant for initial listing, as a liquidity provider, shall directly submit the plan for liquidity provision. Provided that, in the case of entering into an agreement for liquidity provision with at least one (1) liquidity provider, the matters stipulated in the Enforcement Rules shall be included in such an agreement.

(3) The Exchange shall review whether the listing of ELWs that satisfy the requirements under paragraph (2) is appropriated by comprehensively considering each of the following items: [December 7, 2022]

1. The suitability as an instrument shall be recognized considering the underlying asset requirement, issuance requirement, etc.; and

2. The eligibility of listing applicant, etc. shall be recognized in relation with the business handling such as ELW issuance, listing, liquidity providing and report (disclosure), etc.

(4) From the application date for initial listing pursuant to paragraph (1), the Exchange shall, without delay, notify the relevant applicant for initial listing of whether or not the initial listing has been approved.

(5) In cases where the Exchange deems that the listing of ELWs concerned is not appropriate for the sake of public interest and investor protection as a result of the review pursuant to paragraphs (2) and (3), it may turn down the listing. (Amended on December 7, 2022)

#### **§141. Supplementary Listing**

(1) In cases where a corporation that has listed ELWs intends to apply for listing of additional ELWs, which were issued with the same details of right as those of the ELWs already listed, it shall submit to the Exchange the application for supplementary listing and the supplementary documents that are stipulated in the

## Enforcement Rules.

(2) The ELWs for which an application for supplementary listing is submitted pursuant to paragraph (1) shall satisfy the requirements noted in each of the following subparagraphs as of the application date of supplementary listing. Provided that, in the case of subparagraph 1, it shall be determined based on the application date for preliminary listing review for the supplementary listing: (Amended on February 11, 2015; January 31, 2018, December 7, 2022)

1. The corporation that has listed ELWs or the liquidity provider shall hold less than 20/100 of the total quantity of the ELWs listed;
2. The total amount of ELWs issued additionally shall be less than the total amount of ELWs issued for the initial listing;
3. The remaining exercise period of ELWs shall be at the least one (1) month;
4. The requirements for permission under [§140(2)1], net capital ratio requirement under [§140(2)2], requirements on underlying assets under [§140(2)3], requirements on public offering under [§140(2)4] and the requirements on liquidity provision under [§140(2)7] shall be satisfied; and
5. The requirements noted in [§140(3)] shall be satisfied.

(3) The provisions of [§139] (excluding paragraph (2)) regarding the preliminary listing review and [§140(1), (4) and (5)] regarding initial listing shall apply *mutatis mutandis* to the case of the supplementary listing of ELWs. (Amended on August 27, 2014, December 7, 2022)

## §142. Listing Change

(1) Any corporation that has listed ELWs, when having changed the name of the issue or the quantity of the securities concerned, shall submit to the Exchange the application for listing change and the supplementary documents stipulated in the Enforcement Rules.

(2) The application for listing change noted in paragraph (1) shall be filed without delay after the cause for the change concerned takes effect.

## §143. Delisting

(1) In the case of falling under any of the following subparagraphs, the Exchange shall delist the ELWs concerned: (Amended on August 16, 2014, August 27, 2014; February 11, 2015)

1. A listed corporation not being qualified: Case where a corporation that has



listed ELWs falls under any of the following items:

- (a) Where the tasks related to ELWs cannot be performed because the permission pursuant to [§140(2)1] has been cancelled or business has been suspended;
- (b) Where the net capital ratio noted in [§140(2)2] falls below the ratio stipulated in subparagraph 1(a) of [Table 10-2] of the Regulations on Financial Investment Business;
- (c) Where the auditor's audit opinion on the financial statement of the latest business year is adverse or disclaimer of opinions;
- (d) Where the grounds for dissolution under statutes (excluding the grounds for dissolution due to merger, spin-off, or merger after spin-off)] have occurred;
- (e) Where a bill or check issued by a corporation that has listed ELWs is dishonored or transactions with banks have been suspended; and
- (f) Case of falling under any of the followings after filing the application for commencement of rehabilitation procedures or bankruptcy:
  - (i) Where a corporation that has listed ELWs files the application for commencement of rehabilitation procedures or bankruptcy under the Debtor Rehabilitation and Bankruptcy Act
  - (ii) Where the cause concerned has not been resolved within one (1) month from the date when a person other than the corporation that has listed ELWs filed the application for commencement of rehabilitation procedures or bankruptcy under the Debtor Rehabilitation and Bankruptcy Act or there is a court's decision to commence rehabilitation procedures or bankruptcy ruling

2. Delisting of underlying assets, etc.: Case where the underlying assets fall under any of the following items:

- (a) Where the stock that is the underlying asset of the ELWs is delisted; and
- (b) Where the stock price index that is the underlying asset of the ELWs falls under any of the followings:
  - (i) Where the stock price index cannot be calculated or used. Provided that a temporary interruption such as the suspension of index calculation shall be excluded.

(ii) Where the criteria for stock price index calculation have been changed. Provided that the cases where there are inevitable reasons such as the amendment of related laws and regulations and the Exchange judges that there is no issue on investor protection shall be excluded.

3. Completion of the exercise of rights, etc.: Cases where the details of right exercise have been confirmed as a result of the expiration of exercise period of rights, completion of exercise of rights or fulfillment of conditions of exercise of rights or the last trading day has come.

4. Provision of liquidity: Case of falling under any of the following items:

(a) Where, as an instance of the corporation that has listed ELWs directly providing liquidity, the agreement for liquidity provision has not been entered into with another liquidity provider within one (1) month from the date when it became impossible to provide liquidity;

(b) Where there is no liquidity provider, with whom the agreement for liquidity provision pursuant to [§140(2)7] has been entered into, and an additional agreement for liquidity provision has not been entered into with other liquidity providers or a plan for liquidity provision (limited to the case where the corporation that has listed ELWs directly provides liquidity; The same shall apply hereinafter in this Article) has not been submitted within one (1) month since the occurrence of such an event; and

(c) As a case of falling under the conditions for replacement of liquidity providers, no agreement for liquidity provision has been entered into with other liquidity providers or a plan for liquidity provision has not been submitted within one (1) month since the occurrence of such an event.

5. Holding the entire quantity: Case where it has been confirmed in accordance with the matters stipulated in the Enforcement Rules that the corporation that has listed ELWs or the liquidity provider has acquired the entire quantity issued and such an instance falls under any of the following items:

(a) Where the trading volume accumulated for one (1) month immediately before the date of acquiring the entire quantity is less than 1/100 of the number of listed stocks. Provided that the issues for which two (2) months have not elapsed since the listing shall be excluded; and

(b) Where there has been no trading for one (1) month from the date of acquiring the entire quantity

6. Breach of reporting obligations: Cases where the corporation that has listed ELWs has failed to fulfill the reporting obligations on purpose, due to gross negligence, or habitually

7. Other cases where the Exchange deems that the delisting of ELWs is necessary for the sake of public interest and investor protection.

(2) Notwithstanding subparagraph 1(b) of paragraph (1), even if the corporation that has listed ELWs fails to meet the requirement for net capital ratio, the Exchange may postpone the delisting for a period determined by the Exchange which is no longer than three (3) months when it is deemed that the purchase plan for ELWs submitted by the listed corporation concerned is appropriate and such postponement is necessary for investor protection. (Amended on February 11, 2015; December 16, 2015)

#### **§144. Last Trading Date**

The last trading date of the ELWs shall be as noted in each of the following subparagraphs:

1. In the case of cash settlement: The two (2) days (it shall be on the basis of the trading day) before the expiration of exercise period of rights (it shall be on the basis of the last expiration date in case where the right is exercised several times during a specified period; The same shall apply hereinafter). Provided that, when the base date of the appraisal price at maturity is before the last trading day, the last trading day shall be the base date of the appraisal price at maturity; and
2. In cases where the settlement by physical delivery is involved: Five (5) days (it shall be on the basis of the trading day) before the expiration of exercise period of rights

#### **§145. Reporting Obligations, etc.**

- (1) In cases where the events that are stipulated in the Enforcement Rules as the Exchange deems it necessary for the listing management have occurred to a corporation that has listed ELWs, the relevant corporation shall report the details thereof to the Exchange by the deadline stipulated in the Enforcement Rules.
- (2) The Exchange may demand the corporations that have listed ELWs for explanation to ascertain the facts of the rumors and news falling under the causes for delisting under [§143] concerning ELWs or other matters equivalent thereto.
- (3) In the event that the details of the rights of the stocks underlying an ELW have been changed or the ELW falls under the causes for delisting, the corporation that has listed the ELW may change the issuing conditions of the ELW as stipulated in the Enforcement Rules.
- (4) Each corporation that has listed ELWs shall determine the employees to be in charge of reporting business under paragraph (1) and designate a responsible person

among such employees. In such cases, when designating or changing the employees in charge or a responsible person, the corporation concerned shall report the details thereof to the Exchange.

(5) When providing the liquidity through other liquidity providers, the corporation that has listed ELWs shall comply with the matters stipulated in the Enforcement Rules.

### **CHAPTER III. EQUITY LINKDED SECURITIES**

**§146. [Deleted on August 27, 2014]**

**§147. [Deleted on August 27, 2014]**

**§148. [Deleted on August 27, 2014]**

**§149. [Deleted on August 27, 2014]**

### **CHAPTER III-II. EXCHANGE TRADED NOTES (ETNs)**

[August 27, 2014]

#### **§149-2. Preliminary Listing Review**

(1) Each applicant for the initial listing of ETNs shall submit to the Exchange the application for preliminary listing review and the supplementary documents stipulated in the Enforcement Rules and undergo the preliminary listing review prior to filing the application for initial listing pursuant to [§149-3].

(2) The applicant for initial listing of ETNs shall consult with the Exchange over the procedures and schedule of the listing before filing the application for preliminary listing review. (Amended on December 7, 2022)

(3) The Exchange shall review the application for preliminary listing review and the supplementary documents, which the applicant for initial listing for the preliminary listing review submits pursuant to paragraph (1), in accordance with [§149-3(2) and (3)]. [December 7, 2022]

(4) The Exchange shall notify, in writing, the applicant for initial listing of the ETNs concerned and the FSC of the results of preliminary listing review within 15 days (on the basis of trading days) from the date of having received the application for preliminary listing review noted in paragraph (1). (Amended on December 7, 2022)

(5) The provisions of [§139(4) through (7)] shall apply *mutatis mutandis* to the preliminary listing review of ETNs. (Amended on December 7, 2022)

(6) In the case where the applicant for preliminary listing review submits to the Exchange a document that describes the reason of withdrawal of the application of the preliminary listing review, the Exchange shall close the preliminary listing review. [December 7, 2022]

[August 27, 2014] (

### **§149-3. Initial Listing**

(1) Each applicant for initial listing of ETNs shall, when intending to initially list ETNs after passing the preliminary listing review conducted by the Exchange, submit to the Exchange the application for initial listing and the supplementary documents stipulated in the Enforcement Rules within three (3) months from the date of having received the result of preliminary listing review. Provided that, when the applicant for initial listing concerned requests the extension of submission period for inevitable reasons such as sudden change of market environment and such extension is approved by the Exchange, the submission period may be extended up to three (3) months for once. (Amended on December 7, 2022)

(2) To be eligible for initial listing, ETNs shall satisfy all the requirements noted in each of the following subparagraphs: (Amended on February 11, 2015; February 8, 2017; January 31, 2018; July 22, 2020, December 7, 2022)

1. Listed corporations: The applicant for initial listing shall satisfy all the requirements in each of the following items. In such cases, when there is a guarantor (referring to a person who guarantees the debts incurred as a result of the ETNs issued by the applicant for initial listing; The same shall apply hereinafter in this Chapter.), the satisfaction of requirements shall be judged on the basis of the guarantor with regards to item (b) and on the basis of both the applicant for initial listing and the guarantor with regards to items (c) through (e):

(a) A financial investment company that has obtained thee authorization for investment trading business targeting securities and OTC derivatives;

(b) Equity capital shall be at least KRW 500 billion (The equity capital of a company that owns a subsidiary shall be on the basis of the amount obtained by excluding the non-controlling interest from the total capital on the consolidated financial statements; the same shall apply hereinafter in this Article);

(c) Any person who received investment grade ratings or higher pursuant to Article 80(5)1 of the Enforcement Decree of the Act and the relevant ratings shall be higher than the ratings stipulated in the Enforcement Rules;

(d) The net capital ratio shall be greater than or equal to the ratio prescribed in

Article 166-2(1)3 of the Act (in cases where it is difficult to calculate the net capital ratios for foreign financial companies, etc., if a financial ratio that is recognized by the Exchange to be equivalent to the net capital ratio is at least the level determined by the Exchange, it shall be deemed that this requirement has been met); and

(e) The auditor's audit opinion both on the individual financial statement and the consolidated financial statement for the recent three (3) business years shall be the unqualified opinion. Provided that this provision shall apply only to the consolidated financial statement when the guarantor is a foreign corporation.

2. Underlying assets: The underlying assets of ETNs shall satisfy the requirements under item (a) and item (b) or (c):

(a) The constituents of the price or index connected with ETNs shall be traded in the market falling under any item of [§113(2)3];

(b) When tracking the fluctuation of the index which is based on the price of the stocks which are the underlying assets, the ETNs shall fall under any of the followings:

(i) The constituents of the index, when falling under the debt securities noted in Article 4(2)1 of the Act, shall satisfy all the following conditions:

① The number of constituents of the index shall be at least five (5) issues [three (3) issues in the case of debt securities falling under Items (a) through (c) of Article 80(1)1 of the Enforcement Decree of the Act (referred to as "government debt securities, etc." hereinafter in this Article)]; and

② The weight of any constituent shall not take up more than 30/100 of the index concerned. Provided that this requirement shall not apply to an index composed only on the government debt securities, etc.

(ii) When the constituents of the index are the securities other than those stipulated in Article 4(2)1 of the Act, the constituents concerned shall satisfy all the following requirements. Provided that, the requirement under (b) shall not apply in the case where the underlying assets linked to the ETNs are the indices that express the overall price movement of the stock market or a particular sector.

① The number of constituents of the index shall be at least five (5) issues (three (3) issues in the case of an index with constituents that are traded in an overseas stock market only).

⑥ The weight (referring to the value obtained by dividing the average market capitalization of the preceding three (3) months of the issue concerned with the sum of the average market capitalization of the preceding three (3) months of the constituents of the index concerned) of any constituent shall not take up more than 30/100 (50/100 in the case of an index with constituents that are traded in an overseas stock market only) of the index concerned.

⑦ [Deleted on July 22, 2020]

(c) When ETNs are linked to fluctuations in the indices that comprehensively reflects the prices of underlying assets [in cases linked to price fluctuations of security issues (hereinafter referred to as “single-stock ETNs”), the underlying assets shall be as prescribed by the Enforcement Rules.] or when the price levels of assets other than securities, the prices or the indices concerned shall satisfy all the following conditions: (Amended on April 15, 2026)

- (i) They shall be fairly formed in the market stipulated in item (a);
- (ii) Reliable prices or indices shall be announced on a daily basis; and
- (iii) They shall be calculated by a reliable institution.

3. Public offering: ETNs shall have been issued by way of public offering or secondary distribution.

4. Size of issuance: The issuing principal of ETNs [referring to the amount derived by multiplying the number of listed securities with indicative value per security applicable at the time of initially issuing the securities (indicating the appraisal amount calculated by a corporation that has listed ETNs through the administration company recognized by the Exchange by way of factoring in various costs and fluctuation rate of the value of underlying assets which compose the rights of ETNs; The same shall apply hereinafter)] shall be at least KRW 7 billion, and the total number of issuing securities shall be at least one hundred thousand (100,000).

5. Ceiling of issuance: It shall fall under any of the following items:

(a) Case where there is no guarantor: The total issuance value (calculated by summing up the values obtained by multiplying the number of outstanding securities for each issue with indicative value per security of the issue concerned; includes the expected issuance value of the issues to be initially listed; The same shall apply hereinafter in this Article) of the entire issues of ETNs issued by the applicant for initial listing shall not exceed 50/100 of the equity capital; and

(b) Case where there is a guarantor: The amount derived by summing up the

total issuance value per issue of ETNs issued by the guarantor and the value guaranteed by the guarantor (including the expected issuance value of the issues to be initially listed) for the purpose of issuing ETNs shall not exceed 50/100 of the equity capital of the guarantor

6. Maturity: The period that remains until the maturity shall be at least one (1) year but not be longer than twenty (20) years.

7. Agreement for the use of index, etc.: With regards to the use of prices or indices that ETNs tracks, the agreement noted in each of the following items shall have been entered into. Provided that, in the case where the new listing applicant calculates the price or the index by itself, such case shall be excluded:

(a) With regards to ETNs tracking the prices or indices concerned that are produced by the Exchange, an agreement for the use of prices and indices concerned and usage fees shall have been entered into with the Exchange; and

(b) With regards to ETNs tracking the prices or indices that are not produced by the Exchange, an agreement for the use of prices and indices concerned have been entered into with a person that has the legal rights over the prices or indices concerned.

8 Liquidity provision: The applicant for initial listing, as a liquidity provider, shall directly submit the plan for liquidity provision. Provided that, in the case of entering into an agreement for liquidity provision with at least one (1) liquidity provider, the matters stipulated in the Enforcement Rules shall be included in such an agreement.

(3) The Exchange shall review whether the listing of the ELWs that satisfy the requirements under paragraph (2) is appropriate comprehensively considering each of the following subparagraphs: [December 7, 2022]

1. The suitability as an instrument shall be recognized considering the requirements of underlying asset and issuance;

2. The continuity of the ELWs shall be recognized considering the characteristics of the underlying asset's price and index;

3. The eligibility of the listing applicant, etc. shall be recognized in relation with the business handling of ELWs issuance, listing, liquidity providing, report, etc.; and,

4. Other than those, it shall be recognized that it would not deter the sound development of the KOSPI market.

(4) From the application date for initial listing pursuant to paragraph (1), the



Exchange shall, without delay, notify the applicant for initial listing concerned of whether or not the initial listing has been approved.

(5) In cases where the Exchange deems that the listing of ETNs concerned is not appropriate for the sake of public interest and investor protection as a result of the review pursuant to paragraphs (2) and (3), it may turn down the listing. (Amended on December 7, 2022)

[August 27, 2014.]

#### **§149-4. Supplementary Listing**

(1) In cases where a corporation that has listed ETNs intends to apply for listing of additional ELWs, which were issued with the same details of the right as those of the ETNs already listed it shall submit to the Exchange the application for supplementary listing and the supplementary documents that are stipulated in the Enforcement Rules.

(2) The issues that are additionally listed pursuant to (1) shall meet the requirements specified in [§149-3(2)1 through 3 and 8] and [§149-3(3)] as of the application date for supplementary listing. (Amended on December 7, 2022)

(3) The provisions of [§149-2] (excluding paragraph (3)) concerning the preliminary listing review and [§149-3(1), (4) and (5)] concerning the initial listing shall apply *mutatis mutandis* to the case of supplementary listing of ETNs. (Amended on December 7, 2022)

[August 27, 2014]

#### **§149-5. Listing Change**

(1) Any corporation that has listed ETNs, when having changed the name of issue or the quantity of the securities concerned or undergone a split or a reverse-split, shall submit to the Exchange the application for the listing change and the supplementary documents stipulated in the Enforcement Rules. (Amended on February 8, 2017; July 22, 2020)

(2) The application for listing change noted in paragraph (1) shall be filed without delay after the cause for the change concerned takes effect.

(3) In the case of changing the quantity or undergoing the split or reverse-split pursuant to paragraph (1) (excluding the quantity change resulting from the redemption before maturity by investor's request), the amount of issuing principal after the listing change shall be at least KRW 7 billion. In such case, the issuing principal amount of the ETN undergone the split or the reverse-split (hereinafter referred to as the "issuing principal after split or reverse-split") shall be calculated

using the indicative value per security at the time of initial issuance of the relevant security multiplied by the split or reverse-split ratio. [February 8, 2017] (Amended on July 22, 2020)

[August 27, 2014]

#### **§149-6. Designation of Administrative Issue**

(1) In cases where the issuing principal of ETNs (including the split or reverse- split issuing principal) as of the end of the relevant semiannual period is less than KRW 5 billion while the amount of indicative value (referring to the amount calculated by multiplying the number of listed securities with the indicative value per security of the ETNs of the date concerned) is less than KRW 5 billion, the Exchange shall designate the ETNs concerned as administrative issue. Provided that the concerned securities for which one (1) year has not elapsed since the listing date shall be excluded. (Amended on December 16, 2015; July 22, 2020)

1. [Deleted on December 16, 2015]

2. [Deleted on December 16, 2015]

(2) In cases where the cause for designation as administrative issue pursuant to paragraph (1) has been resolved, the Exchange release the stocks concerned from such designation.

(3) The Exchange shall stipulate the criteria for releasing the stocks from designation as administrative issue, the period of such designation and releasing the stocks from such designation and other necessary matters in the Enforcement Rules.

[August 27, 2014.]

#### **§149-7. Delisting**

In the case of falling under any of the following subparagraphs, the Exchange shall delist the ETNs concerned: (Amended on February 11, 2015; December 16, 2015; February 8, 2017; July 22, 2020)

1. Any listed corporation not being qualified: Case where a corporation that has listed ELWs falls under any of the following items. Provided that, when there is a guarantor, item (b) shall be judged on the basis of the guarantor, and items (c) through (h) on the basis of both the listed corporation and the guarantor:

(a) Where the tasks related to ETNs cannot be performed because the permission pursuant to [§149-3(2)1(a)] has been cancelled or business has been suspended;

(b) Where the equity capital noted in [§149-3(2)1(b)] is less than KRW 250 billion;

(c) Where the grade under [§149-3(2)1(c)] is lower than the investment grade under Article 80(5)1 of the Enforcement Decree of the Act;

(d) Where the net capital ratio noted in [§149-3(2)1(d)] continues to be lower than the ratio specified in subparagraph 1(a) of [Table 10-2] of the Regulations on Financial Investment Business for three (3) consecutive months or falls below the ratio stipulated in subparagraph 2(a) of [Table 10-2] of the same Regulations. In this event, if it is difficult to calculate the net capital ratios for foreign financial companies, etc., it shall be the case where a financial ratio that is recognized by the Exchange to be equivalent to the net capital ratio falls below the level determined by the Exchange;

(e) Where the auditor's audit opinion on the individual financial statement or the consolidated financial statement of the latest business year is adverse or disclaimer of opinions;

(f) Where the grounds for dissolution under statutes (excluding the grounds for dissolution due to merger, spin-off, or merger after spin-off)] have occurred;

(g) Where a bill or check issued by a corporation that has listed ETNs is dishonored or transactions with banks have been suspended; and

(h) Case of falling under any of the followings after filing the application for commencement of rehabilitation procedures or bankruptcy:

(i) Where a corporation that has listed ETNs files the application for commencement of rehabilitation procedures or bankruptcy under the Debtor Rehabilitation and Bankruptcy Act

(ii) Where the cause concerned has not been resolved within one (1) month from the date when a person other than the corporation that has listed ETNs filed the application for commencement of rehabilitation procedures or bankruptcy pursuant to the Debtor Rehabilitation and Bankruptcy Act or there is a court's decision to commence rehabilitation procedures or bankruptcy ruling

2. The underlying assets not being qualified: Case where the underlying assets fall under any of the following items:

(a) Where the price or the index of underlying assets cannot be calculated or used. Provided that a temporary interruption such as the suspension of index calculation shall be excluded.

(b) Where the index calculation standards have been changed. Provided that, in cases of falling under any of the followings and being acknowledged by the Exchange to have no issue on investor protection, such cases shall be excluded.

(i) When the change of calculation standards is inevitable due to the amendment of relevant laws and regulations; and

(ii) Case where the market for the trading of underlying assets and the primary constituent stocks of the index remain the same and the continuity of the investment strategies, etc. of the index concerned is maintained even after the change in calculation standards.

(c) Where stocks which are underlying assets of single-stock ETNs is delisted. [April 15, 2026]

3. Redemption at maturity, etc.: In cases of falling under any of the following items

(a) Where the last trading day of ETNs has come;

(b) Where the entire amount has been redeemed before the maturity;

(c) Where the redemption before maturity of a ETN whose redemption value is limited to a certain level specified in the Enforcement Rules is confirmed as the pre-determined conditions are fulfilled; or

(d) Where a cause of early liquidation (hereinafter referred to as the “cause of early liquidation”) mentioned in the investment prospectus (including the preliminary investment prospectus and the simplified investment prospectus) occurs.

4. Provision of liquidity: Case of falling under any of the following items:

(a) Where, as an instance of the corporation that has listed ELWs directly providing liquidity, the agreement for liquidity provision has not been entered into with other liquidity providers within one (1) month from the date when it became impossible to provide liquidity

(b) Where there is no liquidity provider, with whom the agreement for liquidity provision pursuant to [§149-3(2)8] has been entered into, and an additional agreement for liquidity provision has not been entered into with other liquidity provider or a plan for liquidity provision (limited to the case where the corporation that has listed ETNs directly provides liquidity; The same shall apply hereinafter in this Article) has not been submitted within

one (1) month from the date since the occurrence of such an event; and

(c) As a case of falling under the conditions for replacement of liquidity provider, no agreement for liquidity provision has been entered into with other liquidity providers or a plan for liquidity provision has not been submitted within one (1) month since the occurrence of such an event.

5. Case where, while having been designated as administrative issue by falling under [§149-6(1)], the cause for such designation remains unresolved at the end of the following semiannual period.

6. Breach of reporting obligations: Cases where the corporation that has listed ETNs has failed to fulfill the reporting obligations on purpose, due to gross negligence, or habitually

7. Other cases where the Exchange deems that the delisting of ETNs is necessary for the sake of public interest and investor protection.

[August 27, 2014.]

#### **§149-8. Last Trading Date**

The last trading date of ETNs shall be as noted in each of the following subparagraphs:

1. In the case of cash settlement: The two (2) days (it shall be on the basis of the trading day) before the date of maturity; and

2. In cases where the settlement by physical delivery is involved: Five (5) days (it shall be on the basis of the trading day) before the date of maturity

[August 27, 2014.]

#### **§149-9. Reporting Obligations, etc.**

(1) When the causes falling under any of the following subparagraphs have occurred, the corporation that has listed ETNs shall report the details thereof to the Exchange by the deadline stipulated in each relevant subparagraph. (Amended on December 16, 2015; July 22, 2020)

1. Profit distribution: By three (3) days (It shall be on the basis of trading days and limited to a case where the base price is changed due to the distribution of profit) before the base date for profit distribution;

2. Indicative value per security: On a daily basis;

3. When there is a change in the calculation standards for the price or index that the ETN tracks: One (1) month prior to the scheduled date for the change; and

3-2. When there is a decision on the record date for the confirmation of the register of holders for the split or reverse-split of the relevant securities: The date of the decision

3-3. When the cause of early liquidation occurs: the date of the occurrence

4. Other cases that are deemed necessary by the Exchange and stipulated in the Enforcement Rules: Without delay

(2) In cases where a corporation that has listed the ETNs falls under causes for delisting specified in [§143] or is related to rumors and news equivalent thereto, the Exchange may demand an explanation from the corporation that has listed the ETNs to validate the fact concerned.

(3) Any corporation that has listed ETNs shall determine the employees to be in charge of reporting pursuant to paragraph (1) and designate a responsible person among such employees. In such cases, when designating or changing the employees in charge and the responsible person, the corporation concerned shall report the details thereof to the Exchange.

(4) In the case of providing liquidity through other liquidity provider, the corporation that has listed ETNs shall comply with the matters stipulated in the Enforcement Rules.

[August 27, 2014.]

## **CHAPTER IV. SUBSCRIPTION WARRANTS AND SUBSCRIPTION RIGHT CERTIFICATES**

### **§150. Initial Listing**

(1) Each applicant for the initial listing of subscription warrants or subscription right certificates shall submit to the Exchange the application for initial listing and the supplementary documents stipulated in the Enforcement Rules.

(2) To be eligible for listing, subscription warrants shall satisfy all the requirements noted in each of the following subparagraphs: (Amended on June 18, 2014)

1. The applicant for initial listing shall be a common-stock-listed corporation or a foreign corporation that listed stocks, etc.;

2. As of the application date for listing, the stocks to which the warrants are entitled shall not fall under the causes for designation as administrative issue or delisting stipulated in this Regulation;

3. The total number of subscription warrants issued shall be at least 10,000. In such cases, where the new stocks to which the warrant is entitled are the stocks with par value, it shall be based on the par value of KRW 5,000;

4. The remaining period to exercise the subscription warrants shall be no less than one (1) year as of the application date for listing; and

5. The subscription warrants shall have been issued through public offering or secondary distribution. Provided that this subparagraph shall not apply to the case where the subscription rights of the bonds concerned have been given to the shareholders.

(3) To be eligible for initial listing, subscription right certificates shall satisfy all the review requirements noted in each of the following subparagraphs: (Amended on June 18, 2014; August 28, 2019)

1. The applicant for initial listing shall be a common-stock-listed corporation or a foreign corporation listed stocks, etc.;

2. As of the application date for listing, the stocks to which the subscription right certificates are entitled to shall not fall under the causes for designation as administrative issues or delisting prescribed in this Regulation;

3. The transfer of subscription rights shall be allowed, and the subscription right certificates shall have been issued to all shareholders who are entitled to the subscription rights (referring to the shareholders stated in the register of holders under the Electronic Securities Act);

4. The total number of the subscription right certificates shall be at least 10,000. In such cases, where the new stocks to which the subscription right certificates are entitled are the stocks with par value, it shall be based on the par value of KRW 5,000; and

5. The trading period for subscription right certificates shall be at least five (5) days (based on trading days).

#### **§151. Listing Change**

Provisions of [§142] concerning listing change of ELWs shall apply *mutatis mutandis* to the listing change of subscription warrants and subscription right certificates.

## **§152. Delisting**

(1) In cases where the warrants fall under any of the following subparagraphs, the Exchange shall delist the relevant subscription warrants:

1. Where the stock to which the warrants are entitled to is delisted;
2. Where the period for exercising the subscription rights has ended or the exercise of such rights has been completed; and
3. Other cases where the Exchange deems that the delisting of subscription warrants is necessary for the sake of public interest or investor protection

(2) In cases where the subscription right certificates fall under any of the following subparagraphs, the Exchange shall delist the subscription right certificates concerned:

1. Where the stock to which the subscription right certificates are entitled to is delisted;
2. Where it has reached five (5) days (on the basis of trading days) before the opening day of subscription application for the new stocks. Provided that, when the period is determined by the Enforcement Rules taking into account the trading situation of the subscription right certificates, it shall be before such a period; and
3. Other cases where the Exchange deems that the delisting of subscription right certificates is necessary for the sake of public interest or investor protection

## **PART VI. MANAGEMENT OF LISTING**

### **§153. Suspension of Trading and Resumption Thereof**

(1) In cases where a listed corporation or a listed stock falls under any of the following subparagraphs, the Exchange may suspend the trading of the relevant stock: (Amended on June 18, 2014; August 27, 2014; November 4, 2015; June 8, 2016; August 28, 2019; July 22, 2020)

1. Case of being designated as administrative issue pursuant to this Regulation. Provided that the instances of falling under any of the following items shall be excluded:

- (a) Case where, when the trading has not been resumed until the market



closing time after the trading was halted or suspended pursuant to the Business Regulation or the Disclosure Regulation, the Exchange may not suspend the trading of such securities; and

(b) Case where ETF securities, foreign ETF securities or ETNs are designated as administrative issue

2. Case of falling under the causes for delisting pursuant to this Regulation (the instance of having confirmed the fact equivalent thereto, in the case of being subject to listing maintenance review). Provided that, in cases where the delisting has been postponed pursuant to [§51] (including the cases to which [§59] and [§73] are applied *mutatis mutandis*), trading may be suspended or halted when the grace period concerned expires;

3. [Deleted on August 28, 2019]

4. Case where it is necessary to make a new electronic registration and an electronic registration of change and deletion of newly electronically registered stocks due to split of stocks (including foreign stocks), reverse stock-split, swap of stocks, transfer of stocks or conversion between par value stocks and no par value stocks, etc.;

5. Case where the Exchange deems it necessary for the sake of public interest and investor protection, while considering such matters as the financial status, business performance or adherence to the rehabilitation plan, after the court has made the decision on the commencement of rehabilitation procedures (including the equivalent decision in the case of foreign corporations, etc.; the same shall apply hereinafter in this Article);

6. Case where a common-stock-listed corporation submits a report on spin-off or merger after spin-off subsequent to the relisting after spin-off stipulated in [§38(1)2] in accordance with the Disclosure Regulation;

7. Case where a common-stock-listed corporation or a foreign-stocks, etc.-listed corporation makes a report on the trading falling under any of the following items, which is related with an unlisted corporation (including the groups, associations or other issuers of which equity securities are not listed on the KOSPI Market; The same shall apply hereinafter in this Paragraph), in accordance with the Disclosure Regulation:

(a) Merger (excluding the case where the unlisted corporation is a special purpose acquisition company listed on the KOSDAQ Market);

(b) All-inclusive exchange of stocks;

(c) Acquisition of material business or material asset. Provided that the

acquisition of material asset shall be limited to the equity securities of the unlisted corporation concerned which are acquired from key investors; and

(d) Case where the issuance of new stocks to the key investors of the unlisted corporation is made by way of the third-party allotment and the payment for the new stocks is made with the equity securities of the unlisted corporation concerned. Provided that it shall be limited to the case where the amount of equity securities that are invested in kind is 10/100 or more of the total assets for the common-stock-listed corporation or the foreign-stocks, etc.-listed corporation as of the end of the latest business year (referring to the business year that is immediately before the business year to which the date for reporting the new stock issuance pursuant to the Disclosure Regulation belongs).

8. Case where a common-stock-listed corporation or a foreign-stocks, etc.-listed corporation has made a report on the issuance of new stocks or equity-related bonds by way of third-party allotment or on the change of the largest shareholder pursuant to the Disclosure Regulation within six (6) months from the submission date of the material fact reports on the acquisition of material business or material asset from an unlisted corporation (including the key investors of the unlisted corporation). Provided that this subparagraph shall not apply to the case where the corporation concerned has received reviews, after submitting the application for backdoor preliminary listing review, at the time of resolving or deciding to acquire material business or material asset;

9. In relation to the application for backdoor preliminary listing review under [§34] or [§54], the case of falling under any of the following items:

(a) Case where the Exchange informs the result of review that the corporation failed to satisfy the requirements for backdoor listing; and

(b) Case of having confirmed the fact of completion of backdoor listing while the preliminary listing review was taking place. Provided that, as a case where the change of the largest shareholder stipulated in the Enforcement Rules is scheduled within six (6) months from submitting the material fact report on the acquisition of material business or material asset, in the event that the preliminary listing review is taking place following the submission of the application for backdoor preliminary listing review at the time of submitting the relevant material fact report, it shall be the case where the completion of acquisition of material business or material asset has been confirmed.

10. Case where, after having made report on the issuance of new stocks to the largest shareholder, etc. of an unlisted corporation by way of third-party allotment, a common-stock-listed corporation makes the correction on the details of the report concerned as a result of the court's examination into the investment

in kind pursuant to Article 422 of the Commercial Act. Provided that it shall be limited to the case where the amount of equity securities that are invested in kind is at least 10/100 of the total assets of the common-stock-listed corporation as of the end of the latest business year (referring to the business year that is immediately before the business year to which the date of reporting the issuance of new stocks concerned pursuant to the Disclosure Regulation belongs);

11. Case where a corporation that has listed the stocks of a special purpose acquisition company makes report on the merger with a company that is the counterparty in the merger pursuant to the Disclosure Regulation. Provided that, as a case where the counterparty in the merger is not subject to the eligibility review for listing after merger, when it has been confirmed that, according to the details of report or written confirmation, the counterparty company concerned does not fall under any of [§72(2)8(a)(ii) through (iv)] or [§72(2)8(c)], the trading may not be suspended;

11-2. Case where a part of the contingent bonds is converted into stocks or a part of the obligations of the contingent bonds for redemption of principals and interests payment is waived. In such cases, it shall be based on the third business day counting from the day when the event for conversion into stocks or debt restructuring occurred.

12. Case where ETFs (including foreign ETFs) or ETNs falls under any of the following items: (Amended on April 15, 2026)

(a) Where the calculation of the price or index to be tracked is temporarily halted or becomes unavailable for use, making it difficult for the liquidity provider to submit valid quotations within the spread ratio specified in [§20-4(1)2] of the Business Regulation; and [April 15, 2026]

(b) Where trading of stocks which are underlying assets of single-stock ETFs and single-stock ETNs is suspended. [April 15, 2026]

13. Case where ELWs fall under any of the following items:

(a) Where the calculation of the stock price index which is underlying assets has been temporarily halted; and

(b) Where the trading of stocks which are underlying assets has been suspended.

13-2. Case where ETNs fall under any of the following items:

(a) Where it is necessary to make a new electronic registration and an electronic registration of a change or deletion due to the split or reverse-split of the ETNs; and

(b) Where the ETN listed corporation reports the cause of early liquidation pursuant to [§149-9(1)3-3].

14. Case where the trading of stocks to which subscription warrants or subscription right certificates are entitled has been suspended;

15. Case where the institution that has guaranteed the payment of the principal of guaranteed corporate bonds falls under each item of [§92(1)3]; and

16. Other cases stipulated in the Enforcement Rules as the Exchange deems it necessary for the public interests and the protection of investors.

(2) The period for trading suspension pursuant to paragraph (1) shall be any of the following subparagraphs. In such cases, such a period shall be based on trading days: (Amended on November 4, 2015; June 8, 2016; August 28, 2019)

1. Case of falling under paragraph (1)1: One (1) day (excluding the case where the issue concerned has already been designated as administrative issue). Provided that, in the case of falling under any of the following items, the matters specified in each relevant item shall apply thereto. In other cases where the Exchange deems necessary for the sake of public interest and investor protection, trading suspension may be maintained:

(a) Case of being designated as administrative issue due to the failure of submitting the annual report: Until the submission date of the annual report concerned;

(b) Case where the stocks of a special purpose acquisition company are designated as administrative issue due to the causes under [§71(2)3&4]: Until the date when the cause for such designation is resolved;

(c) Case of being designated as administrative issue due to the filing of application for commencement of rehabilitation procedures: Until the date of court's decision to commence rehabilitation procedures

2. Case of falling under subparagraphs 2, 4, 12, 13, 13-2 and 14 of paragraph (1): Until the date when the cause for trading suspension concerned is deemed to have been resolved;

3. Case of falling under subparagraph 15 of paragraph (1): One (1) day;

4. Case of falling under subparagraph 5 of paragraph (1): When the listed corporation concerned satisfies the requirements for sales amount and profitability noted in [§42(1)3(a)] or the cause for trading suspension concerned is deemed to have been resolved, until the date confirming the fact thereof;

5. Case of falling under subparagraph 6 of paragraph (1): By the submission date of the application for eligibility review for re-listing after spin-off and the supplementary documents stipulated in [§39]. If the decision is made to revoke the resolution or the decision made pursuant to paragraph (1)6 before the submission of application for preliminary listing review, until the date of the relevant resolution or decision;

6. Case of falling under subparagraphs 7, 8 and 10 of paragraph (1): Until the submission date of the written confirmation on backdoor listing and the supplementary documents pursuant to [§33] and [§54]. Provided that, in cases where according to the written confirmation, etc., it has been ascertained that the unlisted corporation is the backdoor listing target company pursuant to [§32], it shall be until the submission date [the next day, if the relevant submission date is the reporting date under subparagraphs 7, 8 and 10 of paragraph (1)] of the application for backdoor preliminary listing review, and in case where the resolution or decision is made to revoke the resolution or the decision made pursuant to subparagraphs 7, 8, and 10 of paragraph (1), it shall be until the date of such resolution or decision;

7. Case of falling under subparagraphs 9 of paragraph (1):

(a) Case of paragraph (1)9(a): Until the date of resolution or decision to revoke the transactions falling under any subparagraph of [§32]; and

(b) Case of paragraph (1)9(b): Until the date of notification that the qualification of backdoor listing has been recognized as a result of the review pursuant to [§34] and [§54]

8. Case of falling under subparagraph 11 of paragraph (1):

(a) Case where the counterparty in the merger is subject to preliminary listing review pursuant to [§74]: Until the notification date of the result of the preliminary listing review concerned. Provided that, in cases where ‘unqualified’ result has been notified, it shall be until the day the decision or resolution is made to terminate the merger with the company concerned; and

(b) Case where the counterparty in the merger is not subject to preliminary listing review pursuant to [§74], if it falls under any of [§72(2)8(a)(ii) through (iv) and 8(c)] as of the date of reporting of merger decision or resolution pursuant to [§7(1)3] of the Disclosure Regulation: Until the day the decision or resolution is made to terminate the merger with the company concerned

9. Case of falling under paragraph (1)11-2: Until the previous day of the date of the change in the listing amount of the contingent capital securities.

10. Case of falling under paragraph (1)16: Until the date stipulated in the Enforcement Rules.

(3) The provisions of paragraph (1)1 (except for the case where different class of stocks or different class of foreign stocks have been designated as administrative issue) and paragraph (1)5 shall apply *mutatis mutandis* to the convertible bonds, bonds with warrants, exchangeable bonds, and contingent convertible bonds issued by the listed corporation concerned, and the provisions of [§29(1)1] of the KOSDAQ Market Listing Regulation and [§29(1)1(a) and 1-2] of the Enforcement Rules of the KOSDAQ Market Listing Regulation shall apply *mutatis mutandis* to the convertible bonds, bonds with warrants, exchangeable bonds, and contingent convertible bonds issued by a KOSDAQ-listed corporation. (Amended on November 4, 2015)

#### **§154. Prior Notice and Public Announcement on Administrative Issues**

(1) In cases where the listed stocks are concerned to be designated as administrative issue, the Exchange may make public notice on the fact thereof.

(2) In the case of designating stocks as administrative issue or releasing stocks from such designation, the Exchange shall officially announce the details thereof via electronic information delivery mechanism.

(3) With respect to a listed corporation that is an administrative issue, the Exchange may substantiate the conditions for the listing management such as disclosure for investor protection and shortening of the delisting period. (Amended on October 1, 2014)

#### **§155. Prior Notice and Public Announcement on Delisting**

(1) In cases where a listed corporation or a listed stock falls under any of the following subparagraphs, the Exchange may make public notice on the fact that such a corporation or a stock could fall under the cause for delisting as long as such a corporation or a stock remains relevant to the cause for delisting: (Amended on August 27, 2014, October 1, 2014; February 11, 2015; November 4, 2015; May 2, 2017)

1. Case of being designated as administrative issue pursuant to this Regulation. Provided that the cases where ETF securities, foreign ETF securities or ETNs are designated as administrative issue shall be excluded;

2. Case where debt securities (excluding foreign debt securities) fall under any of the following items:

(a) Case where the fact of falling under the situation of applying for the commencement of rehabilitation procedures or bankruptcy pursuant to

[§57(1)3(a) or 3(b)] of the Disclosure Regulation has been reported; and

(b) [Deleted on November 4, 2015]

(c) Other cases that are deemed necessary by the Exchange for the sake of public interest and investor protection

3. Case where the stocks of an investment company fall under any of the following items:

(a) [Deleted on July 9, 2025]

(b) Case where, in the event that the company duration was specified in the Articles of Incorporation, it has reached thirty (30) days before the expiration of such duration; and

(c) Case of falling under the conditions for replacement of liquidity provider

4. Case where ELWs fall under any of the following items:

(a) Case where it has become one (1) month when counted retroactive from the last day of right exercise period;

(b) Case where a company that has listed ELWs or a liquidity provider has acquired the entire quantity of ELWs issued; and

(c) Case where there is no liquidity provider, with which the agreement for liquidity provision pursuant to [§140(2)7] has been entered into, or the case of falling under the conditions for replacement of liquidity provider

5. Case where beneficiary certificates fall under any of the following items:

(a) Case where the duration of trust contract is specified in the collective investment agreement, and it becomes thirty (30) days before the expiry date of trust of beneficiary certificates; and

(b) Case of falling under the conditions for replacement of liquidity provider

6. Case where ETF securities (including foreign ETF securities) falls under any of the following items:

(a) Case where the coefficient of correlations continues to be less than 0.9 (0.7 for active EFTs) for one (1) month;

(b) Case of falling under the conditions for replacement of liquidity provider;

(c) Case where the causes for failing to meet the requirement for net capital ratio, etc. under [§116(1)5(c)] (including the cases where [§122(1)] is applied *mutatis mutandis*) have occurred;

(d) Case of intending to delist according to the reasons for termination of investment trust noted in Subparagraph 3 or 4 of Article 223 of the Enforcement Decree of the Act; and

(e) Case where an expiration date is stipulated in the collective investment agreement and the date one month prior to the expiration date arrives.

7. Case where ETNs fall under any of the following items:

(a) Case where it becomes one (1) month when counted retroactive from the expiration date;

(b) Case where there is no liquidity provider with which the agreement for liquidity provision under [§149-3(2)8] or case of falling under the conditions for replacement of liquidity provider; and

(c) Case where the causes for failing to meet the requirement for the net capital ratio, etc. noted in [§149-7(1)(d)] have occurred;

(2) In cases where a listed corporation falls under the causes for delisting pursuant to this Regulation, the Exchange shall inform the relevant corporation of such fact, the methods, and procedures for delisting and other necessary matters in writing without delay.

(3) When intending to delist the listed security, the Exchange may officially announce the fact on the delisting of the relevant security.

(4) With respect to the prior notice on delisting noted in paragraph (1), in the case of having confirmed through objective materials that the cause for such prior notice was resolved, the Exchange may terminate such prior notice from the date of confirmation of the relevant fact.

#### **§156. Public Announcement on Backdoor Listing**

In cases where an unlisted corporation falls under the case of backdoor listing, the Exchange may officially announce such fact in a manner that is stipulated in the Enforcement Rules.

#### **§157. Public Announcement on Noncompliance with Obligations**

In cases where a listed corporation fails to fulfill its obligations or to submit documents under this Regulation, the Exchange may officially announce such fact.



## **PART VII. SUPPLEMENTARY PROVISIONS**

### **§158. Listing Fees and Annual Dues**

(1) Each applicant for listing of securities shall pay a listing fee, and a listed corporation shall pay annual dues as long as the securities remain listed. Provided that the payment of the listing fee or annual dues may be exempted for the cases deemed necessary by the Exchange.

(2) With respect to the listing fess and annual dues noted in paragraph (1), the rate of listing fee, the methods for calculation/payment, the scope of exemption and other necessary matters shall be stipulated in the Enforcement Rules.

### **§159. Disposal, etc. of Stocks, etc. under Mandatory Holding**

In cases where disposal, etc. of stocks, etc. under mandatory holding is inevitable for the exercise, etc. of the rights of the stocks, etc., as stipulated in the Enforcement Rules, the person subject to mandatory holding pursuant to this Regulation shall obtain the approval of the Exchange for the disposal, etc. of the relevant stocks, etc. In this case, a person who has acquired or been received the stocks, etc. shall keep mandatory holding of the relevant stocks, etc. for the remaining period of the mandatory holding, except the cases stipulated in the Enforcement Rules. (Amended on December 7, 2022)

### **§160. Methods for Reporting and Document Submission**

The matters to be reported or notified or submitted to the Exchange pursuant to this Regulation shall be prepared in writing and submitted via postal services, in person, through an electronic information delivery mechanism or via facsimile.

### **§161. Notification of Irregular Securities Certificates**

(1) Any listed corporation shall, when it has received a notification about irregular securities (referring to the securities, of which possession have been deprived of for such reasons as the loss, burglary or disfiguring, or which have been counterfeited or altered), notify such a fact to the Exchange (limited to the securities that have been counterfeited or altered) and the KSD without delay, and shall do the same when there has been a change in the details notified.

(2) In cases where a listed corporation has entered into the transfer agency service contract with a transfer agent, the notification noted in paragraph (1) may be made through the transfer agent.

## **§162. Par Value of Listed Stocks**

The par value of the stocks issued by an listing applicant or a listed corporation shall be determined according to the stipulations in the Enforcement Rules. (Amended on June 18, 2014)

## **§163. Listing of Debt Securities, etc. Related to Mergers**

(1) In cases where the securities issued by a corporation that is merged by a KOSPI market-listed corporation, which fall under any of the following subparagraphs, are already listed on the KOSPI Market, the application for listing of such securities may be replaced by recordings of the details pertaining to the listing change of the securities issued by the merged company in the application for supplementary listing of the KOSPI market-listed corporation: (Amended on August 27, 2014)

1. Debt securities;
2. ELWs;
3. ETNs; and
4. Subscription warrants.

(2) In cases where the securities, which were issued by a company merged by an unlisted corporation and fall under any of the following subparagraphs, have already been listed on the KOSPI Market or where a new company has been incorporated as a result of merger and the securities noted in each of the following subparagraphs which were issued by the expired company have already been listed on the KOSPI Market, if the unlisted corporation concerned or the newly incorporated company wishes to keep the securities concerned listed, the application for listing change and the supplementary documents stipulated in the Enforcement Rules shall be submitted to the Exchange: (Amended on August 27, 2014) .

1. Debt securities;
2. ELWs; and
3. ETNs;

(3) The provisions of paragraphs (1) and (2) shall apply *mutatis mutandis* to the case where a listed corporation intends to conduct the listing change of listed securities as a result of a spin-off or a merger after spin-off (including a spin-off or a merger after spin-off due to carving-out) of a company and the transfer of assets and liabilities (including the transfer of claims resulting from the business transfer).

#### **§164. KOSPI Market Listing and Disclosure Committee**

(1) The Exchange may establish a KOSPI Market Listing and Disclosure Committee for the purpose of deliberating on the matters necessary for conducting preliminary listing reviews and listing management pursuant to this Regulation.

(2) The Exchange shall separately determine the matters necessary for the composition and operation of the KOSPI Market Listing and Disclosure Committee pursuant to paragraph (1).

#### **§165. [Deleted on November 4, 2015]**

#### **§166. Sector Classification**

The Exchange may classify the sectors of KOSPI market-listed corporations in accordance with the stipulations of the Enforcement Rules for the purpose of making public the market price information, etc.

#### **§166-2. Public Opinion Gathering**

In case this Regulation (including its Enforcement Rules) is to be amended, public opinion of interested parties should be gathered pursuant to the Enforcement Rules.

[April 29, 2020]

#### **§167. Enforcement Rules**

The matters necessary for implementing this Regulation shall be stipulated in the Enforcement Rules.

**ADDENDA**  
(January 21, 2005)

§1. Effective Date

This Regulation shall become effective on the incorporation date of the Exchange.

§2. Abolishment of Previous Regulation

From the effective date of this Regulation, the Listing Regulation of the Korea Stock Exchange shall be abolished.

§3. Application of Provisions Relating to the Criteria for Designation as Administrative Issue and the Delisting Criteria

The Listing Regulation of the former Korea Stock Exchange shall apply to the case of designation as administrative issue and delisting against the actions taken before this Regulation was put into effective.

§4. Interim Measures for Application for the Initial Listing, etc.

The actions taken before this Regulation was put into effect, such as the application for initial listing pursuant to the Listing Regulation of the former Korea Stock Exchange, shall be construed as the action taken pursuant to this Regulation.

**ADDENDUM**  
(March 25, 2005)

This Regulation shall become effective on March 28, 2005.

**ADDENDA**  
(July 22, 2005)

§1. Effective Date

This Regulation shall become effective on October 4, 2005. Provided that the amended provisions of [§32, §33 and §97] shall become effective on July 25, 2005.

§2. Amendment of Other Regulation

The Stock Market Disclosure Regulation shall be amended as follows:  
“The subscription warrants” in [§40(5)] are replaced by the “the subscription warrants and ELWs pursuant to Article 2-3(1)6 of the Enforcement Decree of the Act, which use the concerned stocks as the underlying asset”.

**ADDENDA**  
(December 9, 2005)

§1. Effective Date

This Regulation shall become effective on December 12, 2005. Provided that the amended provisions of [§37(2)2, §41-2(1)6, §42(2)2, §55/6, §75(1)6(e) & (4)1, §84(2)7, §86-2/4(b) and §87(2)7] shall become effective on January 2, 2006.

§2. Application of Provisions Relating to the Initial Listing

The amended provisions of [§10/1 and §13/5] shall be effective, starting with the corporation which applies for preliminary listing review after this regulation becomes effective.

§3. Application of Provisions Relating to the Listing of New Stocks

The amended provisions of [§46(2) through (4)] shall be effective, starting with the corporation which submits the report on merger, report on stock exchange or report on acquisition of business (or asset) pursuant to Article 190-2 of the Act after this regulation becomes effective.

§4. Application of Provisions Relating to the Delisting of Stocks

When the listed corporation, which the Exchange decided to delist because it fell under the delisting criteria pursuant to [§80/3(a)] (limited to cases due to the uncertainty of assuming as going concern) at the time of this Regulation becoming effective, has received the CPA's audit opinion of unqualified or qualified (excluding the qualified opinion due to the limitation placed on the scope of the audit) according to the half-yearly report submitted after the Exchange's decision to delist and has submitted the opinion letter of the auditor (refers to the same CPA auditor who prepared the audit report) stating that the cause of the advice or disclaimer opinion has been resolved, the Exchange shall deem that the cause for delisting has been resolved.

§5. Amendment of Other Regulation

The Stock Market Business Regulation shall be amended as follows: The provision of [§26(2)5] shall be deleted.

**ADDENDA**  
(December 23, 2005)

§1. Effective Date

This Regulation shall become effective on December 26, 2005. Provided that the amended provisions of [§75(1)6 and §80/8] shall become effective on January 2, 2006, on the basis of trading volume during the period from July 1, 2005, to the end of December 2005.

## §2. Application of Provisions Relating to the Criteria for Designating as Administrative Issue by Trading Volume

The amended provisions of [§75(1)6& (4)1] shall apply to the KOSPI market-listed corporation, which was designated as administrative issue pursuant to [§75(1)6] of the previous Regulation at the time of this Regulation becoming effective, on the basis of the trading volume from July 1, 2005, to the end of December 2005.

## §3. Interim Measures against Unfaithful Disclosure Corporation, etc.

During one (1) year period after this Regulation becomes effective, the provisions of [§75(1)8] shall apply by forgiving five (5) points of demerit points that have been accumulated during one (1) year period before this Regulation becomes effective.

## §4. Application of Provisions Relating to Corporation Designated as Administrative Issue due to Noncompliance with Disclosure Obligations

In the case of a KOSPI market-listed corporation, which has been designated as administrative issue pursuant to [§75(1)8] of the previous Regulation at the time this Regulation became effective, the amended provisions of [§75(4)3] shall apply by excluding the demerit points accumulated because of the noncompliance with the disclosure obligations before the date when designated as administrative issue.

# **ADDENDA** (September 29, 2006)

## §1. Effective Date

This Regulation shall become effective on October 2, 2006.

## §2. Application of Provisions Relating to Delisting

The amended provisions of [§80(18)] shall apply starting with the corporation, which made the decision on the merger, all-inclusive stock swap or acquisition of business or assets at the meeting of the board of directors after this Regulation became effective.

## §3. Application of Provisions Relating to Publication of Merger, All-inclusive Stock Swap, Acquisition of Business or Assets, etc. between KOSPI market-listed

corporation and Unlisted Corporation

The amended provisions of [§97-2] shall apply starting with the corporation, which made the reports on merger, stock swap and acquisition of business or assets after this Regulation became effective.

**ADDENDUM**  
(December 22, 2006)

This Regulation shall become effective on December 26, 2006.

**ADDENDA**  
(April 27, 2007)

§1. Effective Date

This Regulation shall become effective on April 30, 2007.

§2. Application of Provisions Relating to Documents to be submitted at the Time of Applying for Preliminary Listing Review of Stocks

The amended provisions of [§10(1)] shall apply starting with the financial report of the business year that begins after December 31, 2006.

§3. Application of Provisions relating to Income before Tax from Continuing Operations

The amended provisions of [§32(1)5(b)], [§33(2)4(b)], [§36(1)4(a)], [§36(6)3(b)] and [§80/18(b)(i)] shall apply starting with the income for the business year that begins after December 31, 2006.

§4. Application of Provisions relating to Delisting

The amended provisions of [§80/18(d)] shall apply starting with the listed corporation of which the board has made the decision on the issuance of new stocks by way of the third-party allotment after the effective date of this Enforcement Rules.

**ADDENDA**  
(December 7, 2007)

§1. Effective Date

This Regulation shall become effective on January 1, 2008. Provided that the amended provision of [§2(5)] shall become effective on January 20, 2008.

#### §2. Exceptions in Application of Provisions Concerning the Notification of Result of Preliminary Listing Review

The amended provision of [§15(1)] shall become effective starting with the first applicant who submits the application for preliminary listing review after the effective date of this Regulation.

#### §3. Exceptions in Application of Provisions Relating to the Restriction of Disposal of the Quantity Exceeding the Limit on the Capital Increase With/Without Consideration

The former Regulation shall apply to the case where the shareholders, etc. have submitted the written affirmation for safekeeping and the safe custody certificate pursuant to [§32(2)] of the former Regulation at the time of effective date of this Regulation.

#### §4. Exceptions in Application of Provisions Concerning the Government Invested Institutions

The government invested institutions pursuant to [§32(4)3] of the former Regulation as of the effective date of this Regulation shall be deemed to be the public corporations pursuant to the amended provision of [§32(4)3].

#### §5. Exceptions in Application to the Listed Corporation undergoing the Rehabilitation Procedures

The amended provisions of [§75(1)13] shall also apply to the KOSPI market-listed corporations that are undergoing the rehabilitation procedures when this Regulation became effective and the amended provisions of [§95(1)12] shall not apply to the case where, from among the KOSPI market-listed corporations undergoing the rehabilitation procedures when this Regulation became effective, those listed corporations meet the amended provisions of [§36(1)2 & 4a] or the stocks that have not been suspended for trading.

### **ADDENDUM** (December 21, 2007)

This Regulation shall become effective on January 1, 2008. Provided that the amended provision of [§41-2(1)2 and §47-2] shall become effective on the date stipulated in the Enforcement Rules.



**ADDENDA**  
(September 12, 2008)

§1. Effective Date

This Regulation shall become effective on October 1, 2008. Provided that the amended provisions of [§45, §75(1)3 & 11, §75(2) & (4), §76(1)1, §79, §80/4, 9, 17 & 19, §80-2, §80-3, §83(4), §88, §93, §95(1)4, §95(2) and §99] shall become effective on February 4, 2009.

§2. Interim Measures for the extension of the validity of result of preliminary listing review

The amended provision of [§16(1)5] shall also apply to the corporation that has applied for the preliminary listing review or has been notified of the result of the preliminary listing review at the time when this Regulation became effective.

§3. Interim Measures for the stock distribution requirement

The amended provision of [§32(1)4 (including the case §32(1)4 shall apply *mutatis mutandis*) and §36(1)3] shall also apply to the corporation that has applied for the preliminary listing review or has been notified of the result of the preliminary listing review at the time when this Regulation became effective.

§4. Interim Measures for the release from the designation as administrative issue, etc.

(1) In the case of a corporation that has been designated as administrative issue pursuant to [§75(1)(excluding subparagraph 13)] or [§76(1)(excluding subparagraph 8) & paragraph (2)] of the former Regulation at the time when this Regulation became effective, notwithstanding the amended provisions of [§75(4), §79, §80 through §80-3, §83, §93 and §95(2)], the former Regulation shall be to the case of applying the criteria release from the designation as administrative issue and delisting.

(2) The amended provisions of [§80/19] (including the case §80/19 shall apply *mutatis mutandis*) shall also apply to the cases of embezzlement, misappropriation and the violation of accounting standards confirmed after effective date of this regulation.

§5. Interim Measures for the opinion hearing on delisting and postponement of delisting, etc.

In the case of a corporation that came under the delisting criteria pursuant to [§80 or §83] of the former Regulation at the time when this Regulation became effective, notwithstanding the amended provisions of [§79, §80-2, §80-3 and §95(2)], the

former Regulation shall apply to the case of the opinion hearing on delisting and postponement of delisting.

**ADDENDA**  
(January 28, 2009)

**§1. Effective Date**

This Regulation shall become effective on February 4, 2009.

**§2. Interim Measure for Special Bonds**

The financial bonds issued by financial institutions pursuant to the Banking Act, the bonds issued by the merchant banks pursuant to the Merchant Banks Act, the bonds issued by the credit specialized financial companies pursuant to the Specialized credit Financial Business Act, the bonds issued by the residential mortgage securitization companies pursuant to the Residential Mortgage Securitization Company Act and the bonds issued by the securities finance companies pursuant to the Securities and Exchange Act, which has been listed before the effective date of this Regulation, shall be deemed the corporate bonds listed pursuant to this Regulation.

**§3. Exception in Designation Listed Real estate investment trust as Administrative Issue**

The amended provisions of [§92(4)] shall also apply to the real estate investment trust that is designated as administrative issue pursuant to [§75(2)], which shall be released from such designation at the time when this Regulation becomes effective.

**§4. Exception in Announcement of Such Facts as a Merger between KOSPI market-listed corporation and Unlisted Corporation, All-Inclusive Stock Swap, Acquisition of Business or Assets and Investment-in-Kind**

In case of a KOSPI market-listed corporation, which has disclosed such facts as the merger with unlisted corporation, all-inclusive stock swap, acquisition of business or assets, investment-in-kind pursuant to [§97-2] of the former Regulation at the time when this Regulation was put into force, the former Regulation shall apply to the administration of such disclosure.

**ADDENDUM**  
(April 15, 2009)

This Enforcement Rules shall become effective on April 20, 2009.

**ADDENDUM**  
(July 16, 2009)

This Enforcement Rules shall become effective on July 17, 2009.

**ADDENDA**  
(December 2, 2009)

§1. Effective Date

This Regulation shall become effective on December 17, 2009.

§2. Examples in Application of Provisions about Paper Company

The amended provisions of [§7(3)], [§10(3)], and [§32(1)13] shall apply starting with the corporation that submits the application for preliminary listing review after the effective date of this Regulation.

§3. Application Example of Provisions about Backdoor Listing of Foreign Corporations

The amended provisions of [§47(2)] and [§83(1)8-2] shall apply starting with the corporation, which has listed the foreign stocks or DRs of foreign stocks, made the decisions on the merger, all-inclusive stock swap, acquisition of business or assets or investment in kind after the effective date of this Regulation.

§4. Application Example of Provisions about Financial Accounting Standards of Foreign Corporations

The amended provisions of [§5] and [§5-2] shall apply starting with the company that submits the application for preliminary listing review after the effective date of this Regulation.

§5. Interim Measure for Qualifications of Auditor of Listed Foreign Corporations

The corporation that has listed the foreign stocks or DRs of foreign stocks as of the effective date of this Regulation shall satisfy [§5-2] from the business year beginning after January 1, 2011.

**ADDENDA**  
(December 18, 2009)

§1. Effective Date

This Regulation shall become effective on December 21, 2009.

## §2. Amendment of Other Regulation

A part of the KOSPI Market Business Regulation shall be amended as follows:

“[§2(21)] of the KOSPI Market Listing Regulation” noted in [§26(2)4(a)(ii)] shall be “[§2(24)] of the KOSPI Market Listing Regulation”.

### **ADDENDUM** (April 21, 2010)

This Regulation shall become effective on April 26, 2010.

### **ADDENDA** (December 1, 2010)

## §1. Effective Date

This Regulation shall become effective on January 1, 2011. Provided that the amended provisions of [§4] shall be put into effect on December 6, 2010, and the amended provisions of [§80 (excluding each subparagraph), §80/4, 9 & 12-2, §80-3, §80-4(1), (4), (5) & (6), §83 and §95(2)1] shall be put into effect on April 1, 2011.

## §2. Exception to the Backdoor Listing

The amended provisions of [§2(4), §7(3), §9, §10-4, §31, §32-4, §35, §46, §55-2, §80/18, §93(5), §95(1)9 through 10-2, §95(3)4 through 5-2, §97-2] shall apply starting with the case where the report on the decision about the transaction falling under any amended subparagraph of [§2(4)] in accordance with [§7] of the Disclosure Regulation is submitted and the management rights of KOSPI market-listed corporation is changed pursuant to [§2(4)] after the effective date of this Regulation.

## §3. Exception to Submission of Financial Statement and Consolidated Financial Statement of Latest Business Year

The “financial statement (the financial statement of the latest business year shall refer to the financial statement prepared in accordance with Article 13(1)1 of the Act on the External Audit: the same hereinafter in this subparagraph, subparagraph 2, [§10/2, §10-2, §10-3, §12, §14(2) and §18])” noted in the amended provisions of [§10/1] and “the consolidated financial statement of the latest business year shall refer to the consolidated financial statement prepared in accordance with Article

13(1)1 of the Act on the External Audit” noted in the amended provisions of [§11/1] shall apply after the end of the first business year that begins after the effective date of this Regulation. Provided that, for the mutual savings bank under the Mutual Savings Banks Act, it shall apply starting with the first business year beginning after January 1, 2016. [Proviso on November 4, 2011]

#### §4. Exception to Submission of Consolidated Financial Statement

In applying the amended provisions of [§10-2/3], “45 days” shall deem “60 days” only for the business year that arrives the first after the effective day of this Regulation and the business year following that business year.

#### §5. Exception to the Safe Custody of Securities

The amended provisions of [§10/5 and §14(2)4] shall apply starting with the case where the application for preliminary listing review for stocks, foreign stocks and DRs of foreign stocks is filed after the effective date of this Regulation.

#### §6. Exception to the Notification Period of Result of Preliminary listing review

The amended provisions of [§14(4)] shall apply starting with the case where the application for preliminary listing review is submitted after the effective date of this Regulation.

#### §7. Interim Measures for the Requirements for Re-listing of Stocks

In case of the stocks that underwent spin-off before the effective date of this Regulation, notwithstanding the amended provisions of [§36(6)], the requirements for re-listing stipulated in the former Regulation shall apply.

#### §8. Interim Measures for the Requirements for Initial Listing of Investment Company, etc.

In cases where the application for initial listing of the investment company, real estate investment trust or ship investment company was filed before the effective date of this Regulation, notwithstanding the amended provisions of [§37 through §39], the provisions of the former Regulation shall apply.

#### §9. Exceptions to the Requirements for Stock Distribution of Real estate investment trust

In applying the amended provisions of [§38/3], during the period from the effective date of this Regulation to December 31, 2012, “25/100” shall be deemed as “20/100”.

#### §10. Exceptions to the Criteria for delisting due to the Noncompliance of Disclosure Obligation

The amended provisions of [§80/12] shall apply starting with the KOSPI market-listed corporation that is designated as an administrative issue pursuant to [§75(1)8] after the effective date of this Regulation as a result of noncompliance of disclosure obligations.

#### **ADDENDUM**

(April 6, 2011)

This Regulation shall become effective on April 11, 2011.

#### **ADDENDA**

(May 18, 2011)

#### §1. Effective Date

This Regulation shall become effective on May 30, 2011. Provided that the amended provisions of [§2(3)2, §9(1) & (5), §10-2, §12(2) through (5), §15(1)2 & (3), §18, §31, §32(1)5, 6 & 13, §36(2) & (6), §95(1)10-3 & (3)5-3 and §101/1b] shall be put into effect on the day when three (3) months has passed since the effective date of this Regulation.

#### §2. Exception in Applying for Delisting

The amended provisions of [§77] shall apply starting with the case where the application for delisting is submitted after the effective date of this Regulation.

#### §3. Exception for Listing Deferment

The amended provisions of [§103] shall apply starting with the listing application under process as of the effective date of this Regulation.

#### **ADDENDA**

(July 6, 2011)

#### §1. Effective Date

This Regulation shall become effective on July 8, 2011.

#### §2. Interim Measures for the Requirements for Preliminary listing review for Stocks of Real estate investment trust

Notwithstanding the amended provisions of [§7 through §9, §10, §10-5, §15, §16, §21, §35 and §38], the provisions of former version of the Regulation shall apply to the real estate investment trust that has completed the public offering or distribution as of the effective date of this Regulation.

§3. Exception for Stock Distribution Requirement of Real estate investment trust

In applying the amended provisions of [§38/3], “25/100” shall deem “20/100” during the period from the effective date of this Regulation to December 31, 2012.

### **ADDENDA** (November 4, 2011)

#### §1. Effective Date

This Regulation shall become effective on November 21, 2011. Provided that the amended provisions of the proviso to [§10/3], [§10-4(1)3], the provisos to [§14(2)3] and §46(6)], [§77(3)] and [§84(1)] shall be put into effect on November 7, 2011; the amended provisions of [§2(25)3, (26)3 & (36)4, §7-2(3)], the provisos to [§13/4] and [§14(2)2], [§14(2)24-2], [§14-2(1)1, 2-2, & 4-2], [§34(2)4b], [§63(3)], the proviso to [§83(1)9] and [§100-2] shall apply starting with the corporation applying for preliminary listing review after March 1, 2012.

§2. Example in Matters Related to Submission of Documents by Listed Foreign Corporations, etc.

In applying the amended provisions of [§63(3)], for the foreign corporations, etc. that were listed before the effective date of this Regulation, the concerned provisions shall apply starting with the case of submitting the annual report for the business year beginning after January 1, 2013.

### **ADDENDA** (April 18, 2012)

#### §1. Effective Date

This Regulation shall become effective on April 23, 2012. Provided that the amended provisions of [§2(5), (6), (34), (35), (36), (38) & (39), §32(1)2, & 4, §33(2), §34, §36(1)1 & 3, §36(2)2, §37 through §39, §40/3, §41, §46(1), §47, §49 through §51, §75(1) (excluding the former part other than each subparagraph) & (4)1, §78 through §80 (excluding the former part other than

each subparagraph), §95 (excluding paragraph(3)5-3), and §102 through §103-3] shall become effective on July 23, 2012.

## §2. Exception in Designating Stock, etc. as Administrative Issue and Delisting

For the stocks, foreign stocks and DRs of foreign stocks that are listed as of the effective date (July 23, 2012) noted in proviso of [§1] of this Addenda, notwithstanding the amended provisions of [§2(35) & (36), the later part of [§75(1) (excluding each subparagraph) and later part of §80 (excluding each subparagraph)], as before this amendment, the ratio of aggregated number of common stocks and other types of stocks held by the minority shareholders may be used when applying the criteria for delisting and designating as administrative issue pursuant to [§75(1)5b (including the case of applying *mutatis mutandis* to [§76(1)3]) and §80/7 (including the case of applying *mutatis mutandis* to [§83(1)3])].

## §3. Interim Measures for Delisting and Designation of Different class of Stocks as Administrative Issue

(1) In the case of other types of stocks listed on the KOSPI Market as of the effective date (July 23, 2012) noted in the proviso of [§1] of this Addenda, the amended provisions of [§103(1)2 through 5 and §103(3)2 through 5] shall not apply until June 30, 2013, and during the period from July 1, 2013 to June 30, 2014, they shall apply by assuming the number of listed stocks noted in [§103(1)3] to be 25,000 stocks and the average monthly trading volume noted in [§104(1)4] to be 5,000 stocks.

(2) In case of other types of stocks that are listed after the effective date (July 23, 2012) noted in the proviso of [§1] of this Addenda, the amended provisions of [§103-3(1)2 through 5 and §103-3(2)2 through 5] shall not apply until December 31, 2012.

(3) In cases where the listed-other types of stocks that have been designated as administrative issue as of the effective date (July 23, 2012) noted in the proviso of [§1] of this Addenda, it shall deem that the concerned different class of stocks have been designated as administrative issue pursuant to the amended provisions of [§103-3(1)1].

# **ADDENDA** (February 22, 2013)

## §1. Effective Date

This Regulation shall become effective on the date stipulated in the Enforcement Rules.



## §2. Application of Provisions concerning Preliminary listing review

(1) The amended provisions of [§29(1), §30, §53(1), §68 and §76] that are related to the change of requirements for preliminary listing review shall apply, starting with the corporation which applies for preliminary listing review after this regulation becomes effective.

(2) The amended provisions of [§13(4), §22(4)2b, §53(2), §77(3) and §78(3)] that are related to the initial listing of foreign stocks, etc. shall apply, starting with the corporation which applies for preliminary listing review after this regulation becomes effective.

## §3. Application of Provisions concerning ETF Securities

When applying the amended provisions of [§115 and §121], ETF securities that have been listed as of the date for implementing this Regulation shall be deemed listed on the date for implementing this regulation.

## §4. Amendment of Other Regulations

(1) A part of the KOSPI Market Business Regulation shall be amended as follows:

Of [§2(12)], “[§2(7)] of the KOSPI Market Listing Regulation” shall be “[§2(1)4] of the KOSPI Market Listing Regulation (hereinafter referred to as the “Listing Regulation”).

Of the parts except for each subparagraph of [§2(15)], “[§2(12)] of the KOSPI Market Listing Regulation” shall be “[§138/2] of the Listing Regulation”.

Of [§3(2)], “the provisions of proviso of [§2(9)] of the KOSPI Market Listing Regulation” shall be “[§111] of the Listing Regulation”.

Of [§20(3)], “pursuant to the provisions of [§94(2)] of the KOSPI Market Listing Regulation” shall be pursuant to “[§9] of the Listing Regulation”.

Of [§23(1)3], “[§95(3)] of the KOSPI Market Listing Regulation” shall be “[§153(2)] of the Listing Regulation”.

Of [§88(2)1(c)], “pursuant to the provisions of [§95(1)2, §13 and §13(2)] of the KOSPI Market Listing Regulation” shall be “pursuant to the provisions of [§153(1)2, 3 and 16] of the Listing Regulation”.

(2) A part of the KOSPI Market Disclosure Regulation shall be amended as follows:

“[§2(25)3]” in [§2(11)3] shall be “[§2(1)20(c)]” and [§2(26)3]” in paragraph (12)3 of the same Article shall be “[§2(1)22(c)]”.

“[§75]” in [§11(2)1(b)] shall be “[§47]”; “[§11(2)1(c)]”, “[§80-2/8(a)(iv)]” in item (c) of the same subparagraph shall be “[§72(2)8(a)(iv)]” and “[§10-2/3]” in subparagraph 2(b) of the same paragraph shall be “[§67]”.

“[§86-2/1]” in the proviso to the part except for each subparagraph of [§40(2)] shall be “[§143(1)1]”, “[§40(3)2]”, “pursuant to the provisions of [§95(1) and (2)]” in paragraph (3)2 of the same Article shall be “pursuant to [§153]”.

## **ADDENDA**

(June 18, 2014)

### **§1. Effective Date**

This Regulation shall become effective on June 30, 2014.

### **§2. Application of Provisions concerning Listing Requirements**

The amended provisions of [§27(4)2, §29 and §30] and the main sentence of [§31(2)] that are related to the change of listing requirements and [§36(1), §53(1), §60(1), §68(1)1&2, §76 and §127(2)7] shall apply, starting with the corporation which applies for preliminary listing review after the effective date of this Regulation.

### **§3. Application of Provisions concerning Filing of Objection to Delisting**

The amended provisions of [§25(2), §48(3), §65(2), §130(3) and §136(3)] that are related to the filing of an objection to delisting shall apply, starting with the corporation of which the cause for delisting concerned occurs after the effective date of this Regulation.

### **§4. Interim Measures for Listing Maintenance Review**

The amended provisions of [§48(2)1, §49(2) & (4), §130(2)1] shall apply starting with the corporation which is decided to be subject to the deliberation of the Corporate Review Committee after the effective date of this Regulation.

## **ADDENDUM**

(August 27, 2014)

This Regulation shall become effective on September 15, 2012. Provided that the amended provisions of [§143(1)5] shall become effective on November 3, 2014.

**ADDENDA**  
(October 1, 2014)

§1. Effective Date

This Regulation shall become effective on October 6, 2014.

§2. Interim Measures for Municipal Debt Securities

The bonds that fall under Article 68(7) of the Local Public Enterprises Act and have been issued before the effective date of partial amendments of the Local Public Enterprises Act (Law No. 12727) shall comply with the previous provisions despite the amended provisions of [§85/7].

**ADDENDUM**  
(February 11, 2015)

This Regulation shall become effective on January 1, 2016. Provided that it shall become effective on February 26, 2015, for financial investment companies that reported early application of the net capital ratio to the Governor of the Financial Supervisory Service.

**ADDENDA**  
(April 29, 2015)

§1. Effective Date

This Regulation shall become effective on April 29, 2015.

§2. Application of Provisions concerning Listing Requirements for Stocks of Real estate Investment Trusts

The amended provisions of [§127(2)6(a)] that are related to the change of listing requirements shall apply starting with the corporation which applies for preliminary listing review after the effective date of this Regulation.

§3. Application of Provisions concerning the Designation of Administrative Issues and Delisting of Stocks of Real Estate Investment Trusts

The amended provisions of [§129(1)4] and [§130(1)4] shall apply starting with the corporation of which the causes for designation of administrative issues and delisting concerned occur after the effective date of this Regulation.

#### §4. Application of Provisions concerning Listing Maintenance Review of Stocks of Real Estate Investment Trusts

The amended provisions of [§130(2)4] shall apply starting with the corporation which is decided to be subject to the deliberation of the Corporate Review Committee after the effective date of this Regulation.

### **ADDENDA** (November 4, 2015)

#### §1. Effective Date

This Regulation shall become effective on November 4, 2015. Provided that the amended provisions of [§2], [§68], [§85] [§86], [§88], [§89] [§92] and [§153] shall become effective from the date stipulated by the Enforcement Rules.

#### §2. Application of Provisions concerning Listing Requirements

The amended provisions of [§29(1)], [§42(5)], [§61(1)8], [§101(3)5], [§127(2)8] and [§133(3)5] that are related to the change of listing requirements shall apply, starting with the corporation which applies for preliminary listing review after the effective date of this Regulation.

### **ADDENDA** (December 16, 2015)

#### §1. Effective Date

This Regulation shall become effective on December 17, 2015. Provided that the amended provisions of [§140] shall become effective on February 1, 2016.

#### §2. Application of Provisions concerning Designation of Administrative Issues

The administrative issues designated pursuant to [§115(1)2] or [§149-1(1)2] of the previous Regulation before the effective date of this Regulation shall be released from the designation of administrative issues from the effective date of this Regulation.

### **ADDENDUM**

(Regulation No. 1331 / June 8, 2016)

This Regulation shall become effective on June 13, 2016. Provided that the amended provisions of the latter part of [§32(2)1] and [§85/5-3] shall become effective on July 30, 2016.

#### **ADDENDA**

(Regulation No. 1368 / October 5, 2016)

##### **§1. Effective Date**

This Regulation shall become effective on October 10, 2016.

##### **§2. Application of Provisions concerning Listing Requirements for Stocks of Real Estate Investment Trusts**

The amended provisions of [§127(2)6(a)] concerning the change of listing requirements shall apply, starting with the corporation which applies for preliminary listing review after the effective date of this Regulation.

##### **§3. Application of Provisions concerning the Designation of Administrative Issues and Delisting of Stocks of Real Estate Investment Trusts**

The amended provisions of [§129(1)11] and [§130(1)13] shall apply, starting with the corporation of which the causes for designation of administrative issues and delisting concerned occur after the effective date of this Regulation.

#### **ADDENDUM**

(Regulation No. 1410 / February 8, 2017)

This Regulation shall become effective on February 9, 2017.

#### **ADDENDUM**

(Regulation No. 1449 / May 2, 2017)

This Regulation shall become effective on the date set by the Enforcement Rules.

#### **ADDENDUM**

(Regulation No. 1504 / December 20, 2017)

This Regulation shall become effective on January 1, 2018.

### **ADDENDUM**

(Regulation No. 1519 /January 31, 2018)

This Regulation shall become effective on February 1, 2018.

### **ADDENDA**

(Regulation No. 1615 / December 20, 2018)

#### **§1. Effective Date**

This Regulation shall become effective on January 1, 2019.

#### **§2. Application of Provisions concerning Provisions concerning Listing Requirements for Stocks of Real Estate Investment Trusts**

The amended provisions of [§124], [§127], [§132-2] and [§132-3] concerning the listing requirements for the stocks of real estate investment trusts shall apply, starting with the corporation which files the application for the preliminary listing review or initial listing after the effective date of this Regulation.

#### **§3. Application of Provisions concerning Designation of Administrative Issues and Delisting of Stocks of Real Estate Investment Trusts**

The amended provisions of [§129], [§130], [§132-5] and [§132-6] concerning the designation of administrative issues and delisting of the stocks of real estate investment trusts shall apply, starting with the corporation of which the causes for designation of administrative issues and delisting concerned occur after the effective date of this Regulation.

### **ADDENDUM**

(Regulation No. 1646 / March 20, 2019)

This Regulation shall become effective on March 21, 2019.

### **ADDENDA**

(Regulation No. 1691 / June 26, 2019)

#### **§1. Effective Date**

This Regulation shall become effective on July 1, 2019.

#### **§2. Application of Provisions concerning Appointment of Auditors of Foreign**

## Companies

The amended provisions of [§15], [§57(2)2], [§58(2)] and [§79(6) & (7)] shall apply starting with the first business year after the effective date of this Regulation. Provided that, in cases where the contract for appointment of auditor has been entered into with a person falling under any of the subparagraphs of [§15(1)] in accordance with the previous Regulations before the effective date of this Regulation, the amended provisions shall apply starting with the first business year after the termination of the relevant contract.

### **ADDENDA**

(Regulation No. 1721 / August 28, 2019)

#### §1. Effective Date

This Regulation shall become effective on September 16, 2019.

#### §2. Transitional Measures concerning Periods of Safe Custody of Stocks, etc. in Mandatory Safe Custody

The periods of safe custody of the stocks, etc. that were under safe custody pursuant to the previous Regulations at the time this Regulation became effective shall be deemed to be the periods of mandatory holding under this Regulation.

#### §3. Application of Provisions concerning Trading Suspension of Stocks, etc. with stock-split, reverse stock-split, stock swap, stock transfer or conversion between par value stocks and no par value stocks

The periods of trading suspension, trading resumption, etc. of the stocks, the trading of which was suspended at the time this Regulation became effective pursuant to the previous provisions of [§153(1)4] shall be governed by the previous provisions.

### **ADDENDUM**

(Regulation No. 1826 / April 29, 2020)

This Regulation shall become effective on May 8, 2020.

### **ADDENDA**

(Regulation No. 1852 / July 22, 2020)

#### §1. Effective Date

This Regulation shall become effective on July 22, 2020. Provided that, the amended provisions of the following subparagraphs shall become effective on the dates noted in each of the relevant subparagraphs:

1. Amended provisions in [§149-5], [§149-6], [§149-9(1)3-2], [§153(1)13-2(a)] and [§153(2)2] (limited to provisions concerning suspension of trading pursuant to [§153(1)13-2(a)]): September 7, 2020; and
2. Amended provisions in [§61(1)3 and 4], [§61(1)3 and 5] and [§65(1)3 and 5]: October 1, 2020.

## §2. Application of Provisions concerning Listing Requirements for ETNs

The amended provisions of [§149-3] related to changes in listing requirements shall apply starting with the corporation which applies for preliminary listing review after the effective date of this Regulation.

## §3. Special Cases Concerning Designation as Administrative Issue and De-listing of Different Class of Stock

The amended provisions of [§149-3] related to changes in listing requirements shall apply starting with the corporation which apply for preliminary listing review after the effective date of this Regulation.

(1) Notwithstanding the amended provisions of [§64(1)3 and 5] and [§65(1)3 and 5], in case of different class of stock that are listed as of the effective date pursuant to subparagraph 2 of [§1] of this Addendum, the number of listed securities pursuant to the amended provision of [§64(1)3 and 5] and [§65(1)3 and 5] and the listed market capitalization pursuant to the amended provisions of [§64(1)3 and 5] and [§65(1)3 and 5] during October 1, 2020 to September 30, 2022, shall be the number of listed securities and listed market capitalization noted in the following table:

| Applicable Period            | No. of Listed Securities | Listed Market Capitalization |
|------------------------------|--------------------------|------------------------------|
| Oct. 1, 2020 ~ Sep. 30, 2021 | 50,000                   | KRW 500 million              |
| Oct. 1, 2021 ~ Sep. 30, 2022 | 100,000                  | KRW 1 billion                |

(2) In case of designation as an administrative issue pursuant to [§64(1)3 and 5] at the time this Regulation was applied, it shall be deemed to have been designated pursuant to the relevant amended Regulation.

(3) In case of designation as an administrative issue pursuant to [§64(1)5] and [§65(1)5] at the time this Regulation was applied, it shall be deemed to have been designated pursuant to the previous Regulation.



**ADDENDA**  
(Regulation No. 1912 / March 8, 2021)

§1. Effective Date

This Regulation shall become effective on March 8, 2021.

§2. Application of Provisions concerning Listing Requirements, etc.

The amended provisions of [§29(1)4(d) and (e)] shall apply starting with the corporation which apply for preliminary listing review after the effective date of this Regulation.

§3. Application of Provisions concerning Designation of Administrative Issue in Case of Failing to Meet Sales Requirement

The amended provisions of the proviso to [§47(1)7] shall also apply to the corporation listed by meeting the management performance requirements of [§29(1)4(d)] of the previous Regulation before the enforcement date of this Regulation.

**ADDENDA**  
(Regulation No. 1976 / August 25, 2021)

§1. Effective Date

This Regulation shall become effective on August 26, 2021. However, the amended provisions of [§2(1)1], [§23(1)2], [§67(2)], [§149-3], [§68(1)9], [§72(2)8], [§74], [§75], [§76], [§76-2] related to the listing after merger of a special purpose acquisition company and [§3] of the Addenda shall become effective from the date stipulated in the Enforcement Rules.

§2. Transitional Measures concerning Listing after Merger of Special Purpose Acquisition Company

The amended provisions of [§67-2] shall also apply to the special purpose acquisition companies listed as of the effective date of this regulation.

§3. Amendments of Other Regulations

A part of the KOSPI Market Disclosure Regulation shall be amended as follows:

Of [§11(2)1(d)], “merger by a method in which a new corporation is established or the relevant KOSPI market-listed-special purpose acquisition company” shall be “merger by a method in which a new corporation is established”.

**ADDENDA**  
(Regulation No. 2025 / March 16, 2022)

§1. Effective Date

This Regulation shall become effective on March 18, 2022.

§2. Application of Provisions concerning Mandatory Holding

(1) The amended provisions of [§27(1) 1 through (3)], [§35(1)1 and 2], [§40(1)1, 2 and 4], [§67(3), and [§75(1)1 and 2] shall apply from the corporation which applies for preliminary listing review after the effective date of this Regulation.

(2) The amended provision of [§49] shall apply from the listed corporation that is subject to the deliberation of the Corporate Review Committee after the effective date of this Regulation.

**ADDENDUM**  
(Regulation No. 2061 / August 26, 2022)

This Regulation shall become effective on August 31, 2022.

**ADDENDA**  
(Regulation No. 2087 / December 7, 2022)

§1. Effective Date

This Regulation shall become effective on December 12, 2022.

§2. Application of Provisions concerning Designation as and Release from Administrative Issue

(1) An issue that has been designated as an administrative issue pursuant to [§47(1)8], [§57(1)7], and [§129(1)5] of the previous Regulation before the effective date of this Regulation shall be released from administrative issue on the effective date of this Regulation.

(2) The amended provisions of [§47], [§57], and [§129] shall apply from the listed corporations of which the cause of designation as or release from administrative issue occurs after the effective date of this Regulation.

§3. Application of Provisions concerning Reason of Delisting

The amended provisions of [§48(1)&(2)], [§58(1)], the proviso to [§72(1)], and [§130(1)&(2)] concerning delisting shall apply from the listed corporation of which reason of delisting concerned occurs after the effective date of this Regulation.

#### §4. Application of Provision concerning Objection to Delisting

The amended provisions of [§48(3)], [§130(3)], and [§136(3)] concerning formal objection to delisting shall apply from the listed corporation of which the reason of delisting concerned occurs after the effective date of this Regulation.

#### §5. Application of Provision concerning Listing Requirements for Stocks of Real Estate Investment Trusts

The amended provisions of [§124(5)] shall apply from the corporation that applies for preliminary listing review after the effective date of this Regulation.

#### §6. Application of Provision concerning Disposal, etc. of Mandatory Holding of Stocks

The amended provisions of [§159] shall apply from the corporation that applies for the preliminary listing review after the effective date of this Regulation.

#### §7. Amendments of Other Regulations

A part of the KOSPI Market Disclosure Regulation shall be amended as follows:

Of [§7(1)2(e)(i)(c)], “sales amount (limited to the sales of goods and the service provided; the same hereinafter in (iii) and [§40(2)4(a)(iii)])” shall be “sales amount”.

### **ADDENDA**

(Regulation No. 2342 / July 9, 2025)

#### §1. Effective Date

This Regulation shall become effective on July 10, 2025. Provided that the amended provisions of [§47(1)9] and [§48(1)9] shall become effective on January 1, 2026, and the amended provisions of [§47(1)7] and [§48(2)2] and [§6] of this ADDENDA shall become effective on January 1, 2027.

#### §2. Application of Provisions Concerning Review Requirements for Relisting after Spin-off

The amended regulations of [§42(2)3(a)] shall apply from the corporation that applies for preliminary listing review for relisting after spin-off after the effective

date of this Regulation.

### §3. Interim Measures and Special Application Concerning Sales Amount Not Up to Standards

(1) Notwithstanding the amended regulations of [§47(1)7] and [§48(2)2], if a listed corporation reports to the Exchange pursuant to the disclosure regulations for the period from January 1, 2027 to December 31, 2028 that it has received an audit report (limited to an audit report in which the auditor's opinion is "unqualified"), the sales amount noted in the revised regulations of [§47(1)7] and [§48(2)2] shall be applied with the sales amount stated in the following table.

| Application period                        | Sales amount   |
|-------------------------------------------|----------------|
| From January 1, 2027 to December 31, 2027 | KRW 10 billion |
| From January 1, 2028 to December 31, 2028 | KRW 20 billion |

(2) Listed corporations that were designated as administrative issues due to insufficient sales amount under the previous regulations at the time of enforcement of this Regulation shall be deemed to have been designated as administrative issues under the amended regulation of [§47(1)7].

(3) When determining whether to terminate the designation of a listed corporation whose stock is designated as an administrative issue due to insufficient sales pursuant to the previous regulations at the time of application of this regulation, the requirement for sales amount not up to standards at the time of designation as an administrative issue shall be applied.

(4) If a listed company that has been relieved from the designation as an administrative issue pursuant to paragraph (3) fails to meet the sales amount requirement stipulated in the amended regulation of [§47(1)7], the Exchange shall redesignate it as an administrative issue.

### §4. Interim Measures and Special Exceptions Concerning Market Capitalization Not Up to Standards

(1) Notwithstanding the amended regulations of [§47(1)9] and [§48(1)9], market capitalization noted in the amended regulations of [§47(1)9] and [§48(1)9] for the period from January 1, 2026 to December 31, 2027 shall be applied with the market capitalization stated in the following table.

| Application period                        | Sales amount   |
|-------------------------------------------|----------------|
| From January 1, 2026 to December 31, 2026 | KRW 20 billion |
| From January 1, 2027 to December 31, 2027 | KRW 30 billion |

(2) Listed corporations that were designated as administrative issues due to insufficient market capitalization under the previous regulations at the time of

enforcement of this Regulation shall be deemed to have been designated as administrative issues under the amended regulation of [§47(1)9].

(3) The number of days of shortfall in market capitalization calculated pursuant to the previous regulations at the time of application of this regulation shall be deemed as the number of days of shortfall in market capitalization calculated pursuant to the amended regulations of [§47(1)9] and [§48(1)9].

#### §5. Application of Provisions Concerning Auditor's Opinion Not Up to Standards

The amended regulations of [§48(1)2-2], [§51(5) and (6)] shall apply from the corporation that falls under the auditor's opinion not up to standards noted in [§48(1)2] for the first time after the effective date of this Regulation.

#### §6. Amendment of Other Regulations

The KOSPI Market Disclosure Regulations shall be revised as follows:

- In [§7(1)2(e)(i)Ⓢ], “KRW 5 billion” shall be revised to “KRW 30 billion”.
- In [§40(2)4(a)(iii)], “KRW 5 billion” shall be revised to “KRW 30 billion”.

#### §7. Special Exceptions to Amendment of Other Regulations

Notwithstanding the amended regulations of the KOSPI Market Disclosure Regulations revised in accordance with [§6] of this ADDENDA, sales amount noted in the amended regulations of the KOSPI Market Disclosure Regulations revised in accordance with [§6] of this ADDENDA for the period between January 1, 2027 and December 31, 2028 shall be applied with the sales amount stated in the table in [§3(1)] of this ADDENDA.

### **ADDENDA**

(Regulation No. 2433 / April 15, 2026)

#### §1. Effective Date

This Regulation shall become effective on the date of promulgation of the Draft Partial Amendment to the Enforcement Decree of the Financial Investment Services and Capital Markets Act”, which was previously announced for legislation (Public Notice No. 2026-53).

#### §2. Amendments of Other Regulation

(1) Part of the KOSPI Market Business Regulations shall be partially revised as follows:

In [§26(3)], “of subscription warrants and subscription right certificates” shall be replaced with “ of subscription warrants, subscription right certificates, single-stock ETFs under [§113(2)4(c)(v)] of the Listing Regulations, and single-stock ETNs under [§149-3(2)2(c) of the same Regulations”.

(2) Part of the KOSPI Market Disclosures Regulations shall be partially revised as follows:

In [§40(6)], “case of the derivatives-combined securities” shall be replaced with “cases of the derivatives-combined securities under Subparagraph (c) of Article 125(2) of the Enforcement Decree of the Act, single-stock ETFs under [§113(2)4(c)(v)] of the Listing Regulations, and single-stock ETNs under [§149-3(2)2(c) of the same Regulations”.